



Ready and Equipped

Vision

Attract and retain customers for life

Mission

Always there to serve you better

READY AND EQUIPPED



We never give up, or give in,
to the threats and the pressures.
Instead, we build capacity and resilience
to face challenges and be ready.
Despite the many macroenvironmental threats
we faced in recent years we were ready and
equipped to move forward with speed and strength,
to achieve growth in our top-line and
enhance our bottom-line.
We were ready and equipped to respond to new
opportunities with the required skills and products
that have made this year a resounding
success for our Company.

Overview

Financial Highlights	03
Chairperson's Statement	04-05
Management Discussion & Analysis	
Operating Environment	06-07
Financial Capital	08-11
Manufactured Capital	12
Human Capital	13-15
Natural Capital	16
Social & Relationship Capital	17
Intellectual Capital	18

Governance

Board of Directors	19-21
Corporate Governance Report	22-34
Audit Committee Report	35
Remuneration Committee Report	36
Related Party Transactions Review Committee Report	37
Enterprise Risk Management	38-41

Financial Information

Annual Report of the Board of Directors	42-44
Directors' Responsibility for Financial Reporting	45
Independent Auditors' Report	46-49
Statement of Profit or Loss & Other Comprehensive Income	50
Statement of Financial Position	51
Statement of Changes in Equity	52
Statement of Cash Flows	53
Notes to the Financial Statements	54-85

Supplementary Information

Shareholder & Investor Information	86-87
Value Added Statement	88
Ten Year Summary	89
Notice of the Meeting	90-91
Form of Proxy	92-93
Guidelines & Registration Process - Virtual Meeting	94-96
Corporate Information	Back Inner Cover

FY 2023/2024 FY 2022/2023 Change %

Operating Results

Revenue	LKR '000	6,123,806	5,246,866	16.71
Gross Profit	LKR '000	1,376,778	876,335	57.11
Operating Profit	LKR '000	719,443	422,375	70.33
Profit before Taxation	LKR '000	569,981	184,857	208.34
Profit after Taxation	LKR '000	438,720	133,520	228.58
Gross Dividend Paid	LKR '000	25,553	25,553	-
Interest Coverage	No. of Times	3.81	1.62	134.94
Gross Profit Margin	%	22.48	16.70	34.61
Operating Profit Margin	%	11.75	8.05	45.94
Net Profit Margin	%	7.16	2.54	181.53

Financial Position

Total Assets	LKR '000	5,148,268	4,897,238	5.13
Total Debt (D)	LKR '000	886,883	1,713,174	-48.23
Current Assets	LKR '000	3,786,229	3,348,990	13.06
Current Liabilities	LKR '000	2,539,124	2,648,679	-4.14
Shareholders' Fund (E)	LKR '000	2,266,454	1,857,416	22.02
Gearing Ratio (D/D+E)	%	28.13	47.98	-41.38
Current Ratio	No. of Times	1.49	1.26	17.93
Return on Assets (ROA)	%	8.52	2.73	212.56
Return on Capital Employed (ROCE)	%	20.34	12.06	68.66

Shareholder Information

Return on Equity (ROE)	%	19.36	7.19	169.28
Earnings per Share (EPS)	LKR	85.85	26.13	228.58
Dividend per Share - Paid (DPS)	LKR	5.00	5.00	0.00
Market Capitalization	LKR '000	815,134	807,468	0.95
Market Price as at 31 st March	LKR	159.50	158.00	0.95
Price Earnings Ratio (P/E)	No. of Times	1.86	6.05	-69.28
No. of Shares	Nos.	5,110,560	5,110,560	0.00
Net Assets per Share	LKR	443.48	363.45	22.02

Revenue

LKR **6.1** Bn
2022/23 LKR 5.2 Bn

PBT

LKR **570.0** Mn
2022/23 LKR 184.9 Mn

Net Profit Margin

7.2%
2022/23 2.5 %

Equity

LKR **2.3** Bn
2022/23 LKR 1.9 Bn

ROCE

20.3%
2022/23 12.1 %

ROA

8.5%
2022/23 2.7%

EPS

LKR **85.9**
2022/23 LKR 26.1

FINANCIAL CALENDAR

1 st Quarter - 2023/2024	11 th Aug 2023
2 nd Quarter - 2023/2024	15 th Nov 2023
3 rd Quarter - 2023/2024	14 th Feb 2024
4 th Quarter - 2023/2024	28 th May 2024
Annual Report 2023/2024	30 th Aug 2024
41 st Annual General Meeting	22 nd Sep 2023
42 nd Annual General Meeting	25 th Sep 2024

CHAIRPERSON'S STATEMENT

“ Looking back on the immediate previous financial year, despite the entire national economy being in a state of turmoil, I am proud to announce that in the financial year 2023/2024, Abans Electricals PLC has achieved the best results in the history of the Company.”



Dear Shareholders,

It is my greatest pleasure to welcome you to the 42nd Annual General Meeting of Abans Electricals PLC and to present the Annual Report and Financial Statements of your Company for the financial year 2023/2024. Looking back on the immediate previous financial year, despite the entire national economy being in a state of turmoil, I am proud to announce that in the financial year 2023/2024, Abans Electricals PLC has achieved the best results in the history of the Company. Abans Electricals achieved this remarkable feat due to the Company's agility and responsiveness in seizing opportunities that rose in the market, especially in the solar power sector.

Macro Environment

The key macroeconomic factors that influenced the Company in 2023/2024 were interest rates, inflation, the exchange rate, foreign reserves, credit growth, tourism growth and foreign worker remittances. The macroeconomic environment remained challenging during the first and second quarters of the year

for the Company's business activities. However, improvements were observed in the third and fourth quarters of the year, with a gradual decline in interest rates, stabilization of the rate of inflation, the appreciation of the rupee and strengthening of national foreign reserves due to growth in inward remittances and tourism arrivals.

As a manufacturer, Government policy changes such as the VAT increase, import restrictions and increased electricity and fuel prices, also had an unavoidable impact on our financial performance. Abans Electricals' agility in capitalizing on sudden market opportunities due to import restrictions contributed towards the growth in local manufacturing sector, and the imposition of VAT effective from 1st January 2024 on the solar business, contributed towards boosting the revenue from solar power installations in the third quarter.

Financial Highlights

The increase in business activities during the year is reflected in the total revenue of the Company, which grew by 16.71% from Rs 5,246.9 Mn in the previous year, to Rs 6,123.8 Mn this year.

The operating profit increased by 70.33% from Rs 422.4 Mn in the previous financial year, to Rs 719.4 Mn this year. Consequently, the profit before taxation surged by 208.34% from Rs 184.9 Mn, to Rs 570.0 Mn, making this the best year in the Company's history. With the growth in profitability, the Shareholders' Fund increased by 22.02% from Rs 1,857.4 Mn to Rs 2,266.5 Mn by the end of the year. The total asset base increased from Rs 4,897.2 Mn, to Rs 5,148.3 Mn, which is a growth of 5.13%. Therefore, based on the Company's performance, the Board of Directors have recommended a dividend of Rs 10.00 per share.

Due to the prevalent macro-economic conditions, the Company experienced a marginal decline in the manufacturing segment. However, the last quarter of the year demonstrated a growth trend in both volume and value, with value creation and profitability also improving. Therefore, the decline in the topline was mostly due to reductions in selling prices, in order to transfer the cost reduction benefits to end customers and to penetrate the market. As a responsible corporation, whenever the Company benefited with regard to costs, these savings are passed on to the end customers, and leveraged to target volume growth in the business through greater cost competitiveness. Meanwhile, the after-sales service business of the Company has shown a growth as established by the improvement of income and operating results. The expansion in the solar business shows the Company's contribution to support environmental conservation initiatives and green concepts, while the growth in our local manufacturing business contributed towards conserving foreign currency outflow and creating local employment opportunities.

Another challenge faced by the Company was brain drain, due to migration of skilled employees at every level, which made the retention of our skilled labour force a challenging task. We have continued to support staff in monetary terms to ease their high living costs. The Company has also continued to invest in expanding the application of modern IT solutions in its business activities and made progress with regard to digitalizing its operations.

Abans Electricals is currently in the process of implementing a state-of-the-art, ERP system that extends across its manufacturing, quality management, sales and distribution, inventory management as well as financial reporting. The rollout of this comprehensive ERP system will contribute significantly towards enhancing operational oversight and efficiencies in the future.

Governance and Compliance

As a member of the Abans family, good governance and regulatory compliance are non-negotiable at Abans Electricals and are subject to continuous oversight by the Board, as well as Board sub committees and senior management. All regulatory and good governance procedures were observed across all operations and business lines, and we also maintained strict internal controls to safeguard shareholder assets and to protect the Abans brand image and reputation. Continuous risk monitoring, internal controls and external audits, were upheld throughout the year. Maintaining dedicated leadership and good governance has ensured sustainable growth during the year. The Board, Board Sub-Committees, and management teams worked with one focus to navigate the changes to the risk profile during the year, and to safeguard the best interests of shareholders and other stakeholders. To strengthen compliance with the Securities and Exchange Commission and the Colombo Stock Exchange guidelines, Mr. Rajaratnam Selvaskandan was appointed as the Senior Independent Director to the Board of Abans Electricals PLC.

Plans and Outlook

Against the improving macro-economic outlook, Abans Electricals is well positioned to benefit from the recovery in consumer demand. In the new financial year, we are looking to grow the injection moulding operation and we will also look for new business opportunities and avenues for new revenue sources. Our after sales services will be continually improved to provide better and faster services. Investments towards improving our processes, expanding digitalization, and strengthening our resources,

will continue. We are also examining methods to localize new consumer durable products, and we are in the process of improving the supply chain operation to obtain more competitive pricing. Continuous improvements to increase productivity in all operational and supporting services will be a priority, to reduce costs, improve quality and to be competitive in the market.

Economic stability will contribute towards improving consumer confidence and to increase demand in the future. As the upcoming election results will impact the future of the country, we will be alert to any policy changes. How the Government manages foreign debt restructuring and repayment plans will also affect the future of businesses, and the lifting of vehicle import restrictions is also a critical factor to consider, as we strategize for the new financial year.

Appreciations

I would like to extend my appreciation to the management and all staff who contributed towards achieving this success. I would like to extend my appreciation to Mr. Athula Siriwardane, who resigned from the Board during the financial year under review, for the services rendered by him to the Company. The Board of Directors were constantly vigilant of market changes and were quick to guide the Company towards growth during the year, and I am grateful for their dedicated service.

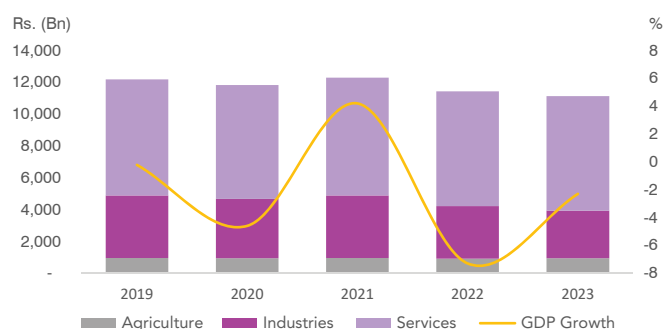
I am also grateful to all our business partners for their continued loyalty to the Company. In the new financial year, we will continue to look at enhancing our value proposition for all our stakeholders.

Sincerely,

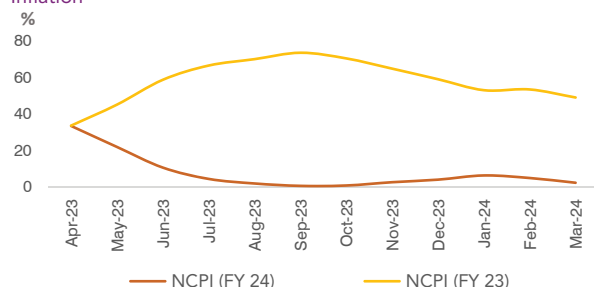


Aban Pestonjee
Chairperson

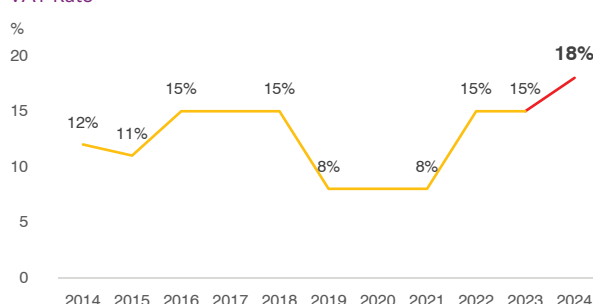
GDP Growth



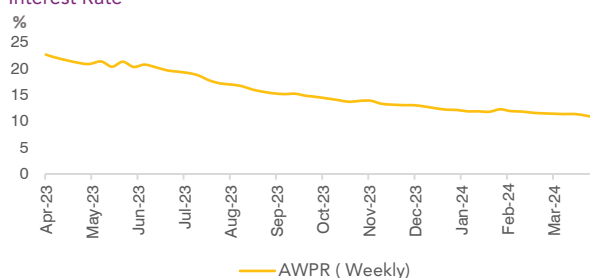
Inflation



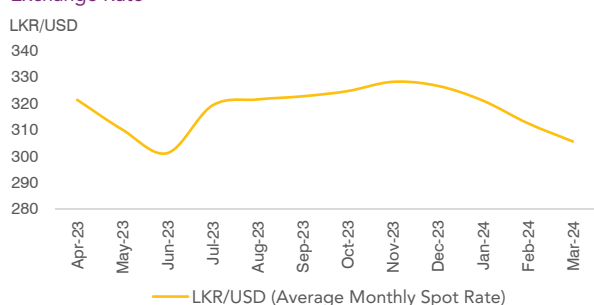
VAT Rate



Interest Rate



Exchange Rate



OPERATING ENVIRONMENT

Macro-economic conditions have an unavoidable impact on the business activities and financial status of Abans Electricals. The main economic indicators that directly impact the Company's financial performance are; the exchange rate, which is important in relation to the Company's import expenditure, market interest rates which impacts the Company's finance costs, and the cost of living or inflation rate which causes fluctuations in consumer demand for the Company's manufactured products and other services. During the current financial year, all of the key macro indicators moderated against the previous financial year, resulting in a more business conducive environment.

Sri Lankan Economy

The Central Bank's Annual Economic Review 2023 stated that after six consecutive quarters of contraction, Sri Lanka's economy recorded an expansion in the second half of 2023, indicating a turnaround in the economy. Overall, however, the economy continued to report a negative growth of 2.3%. Nevertheless, this is an improvement compared to the contraction of 7.3% in 2022. Driven by Government and Central Bank policy measure and structural reforms under the International Monetary Fund's Extended Fund Facility (IMF-EFF) all key economic indicators improved by end 2023, when compared to end 2022.

The service sector contracted by 0.2% and industry activities also contract by 9.2% due to subdued demand conditions. Manufacturing, the largest segment of the industry sector, contracted mainly due to the significant decline in global demand for textiles, wearing apparel and leather-related products. However, most of the other manufacturing activities recorded a strong recovery in the latter part of 2023.

Inflation Rate

The inflation rate moderated significantly within 2023, compared to 2022. The Colombo Consumer Price Index (CCPI) year-on-year headline inflation reduced to 4.0% from 57.2% in 2022 and the National Consumer Price Index (NCPI) based year-on-year headline inflation also dropped to 4.2% by end 2023, compared to 59.2% at end 2022. This decline in inflation was primarily due to the normalization of supply bottlenecks and cost-reflective fuel price adjustments, together with the impact of the appreciation of the exchange rate.

Tariffs and Taxes

Upward tariff adjustments and the increased Value Added Tax (VAT) were key contributors to increase cost of living during the year.

Electricity tariffs were revised upward by 146% for bills consuming 90 units from 16th February 2023, while domestic consumers experienced a tariff hike of 66% on average. Although electricity tariffs were adjusted downward by 24% for bills consuming 90 units, from 01st July 2023, this was again followed by an upward revision of 18%, effective from 20th October 2023.

Water tariffs increased by 102% for bills consuming 22 units effective from 01st August 2023.

The VAT rate was increased from 15% to 18% and the removal of VAT exemptions at the beginning of 2024 caused the inflation rate to fluctuate.

Interest Rates

Market liquidity improved in 2023 due to measures taken by the Central Bank, including conducting term reverse repo auctions under open market operations (OMO), in addition to the overnight liquidity provision, in line with the accommodative monetary policy stance and the provision of special liquidity assistance to certain licensed banks. In addition, the Central Bank made substantial

purchases of foreign exchange and reduced the Statutory Reserve Ratio (SRR) applicable on all rupee deposit liabilities of Licensed Commercial Banks (LCBs) by 200 basis points to 2.00% with effect from 16th August 2023, which caused domestic money market liquidity, which remained in deficit, on average, of around Rs. 450 Bn during 2022, to improve to an average deficit of around Rs. 70 Bn during 2023.

Market interest rates also, reduced in 2023, driven by the accommodative monetary policy measures implemented since June 2023, supported by several other factors. Administrative measures and moral suasion to reduce excessive market interest rates, supported by rapid disinflation, and the decrease in risk premia attached to yields on government securities following the Domestic Debt Optimisation (DDO) operation, are other reasons for the reduction in market lending rates.

Market interest rates declined significantly in 2023 from notably high levels recorded in 2022. The Average Weighted Deposit Rate (AWDR) and Average Weighted Fixed Deposit Rate (AWFDR) declined by a range of 2.42% - 3.61%, while the Average Weighted New Deposit Rate (AWNDR) and Average Weighted New Fixed Deposit Rate (AWNFR) during a particular month declined by a range of 12.01% - 12.40% during 2023. The Average Weighted Prime Lending Rate (AWPR), which is one of the benchmark interest rates in the retail market, declined notably by 15.11% in 2023. The downward trend in market interest rates continued in early 2024.

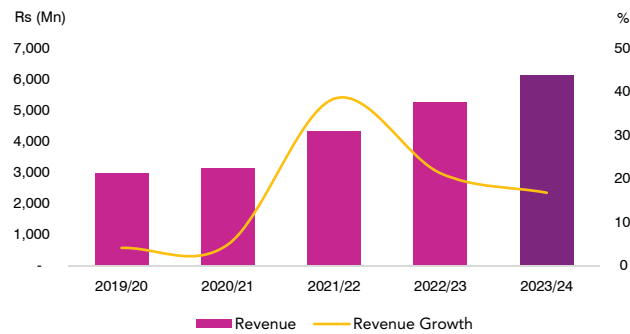
Exchange Rate

Liquidity in the domestic forex market improved in 2023 and the Sri Lankan rupee, which depreciated by 44.8% against the US Dollar in 2022, appreciated by 12.1% in 2023. The Sri Lanka Rupee also appreciated against the Euro (7.9%), the Pound Sterling (6.0%), the Japanese Yen (19.5%) and the Indian Rupee (12.6%) during 2023.

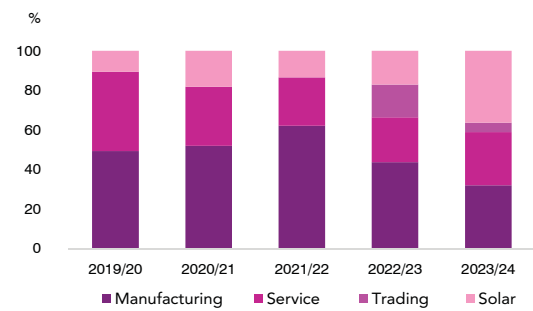
A moderate level of trade deficit, rebounding workers' remittances, earnings from tourism and other net inflows to the services sector contributed to the current account surplus in 2023, resulting in a stable exchange rate. Policies by the Central Bank to enhance forex liquidity and greater flexibility in the determination of exchange rates, as well as other factors, such as favourable market sentiments subsequent to the commencement of the IMF-EFF arrangement in March 2023 and increased forex inflows in the form of export proceeds, workers' remittances, and foreign investments to the government securities, along with lower imports, all contributed towards the rupee appreciation.

Further, the receipts of the special policy based loan for budget support from ADB in May 2023 and the World Bank financing in June 2023 were conducive to the improvement in market sentiments.

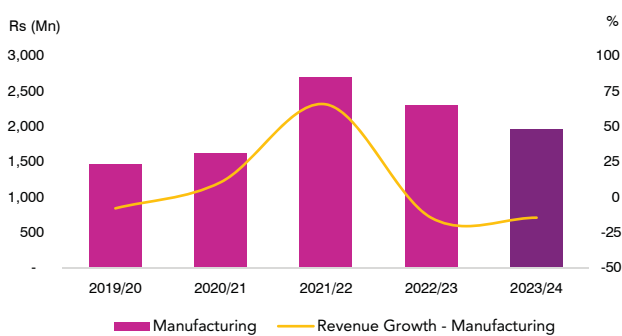
Total Revenue



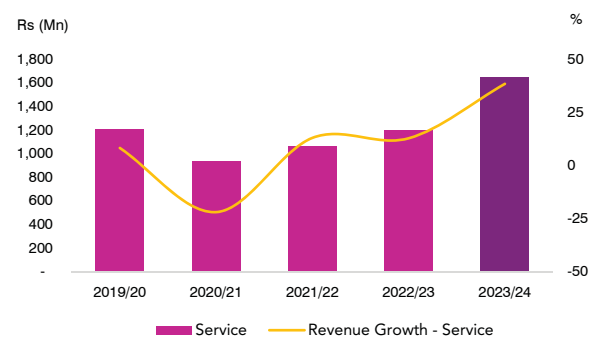
Revenue Composition



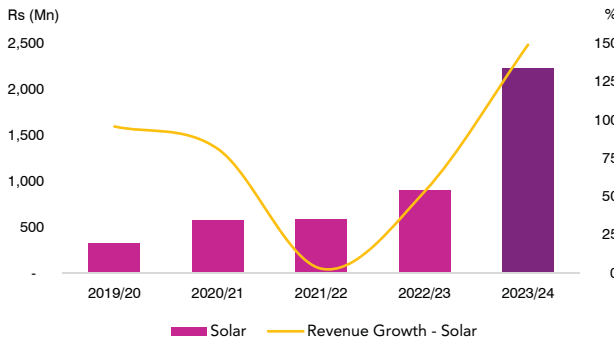
Manufacturing Revenue



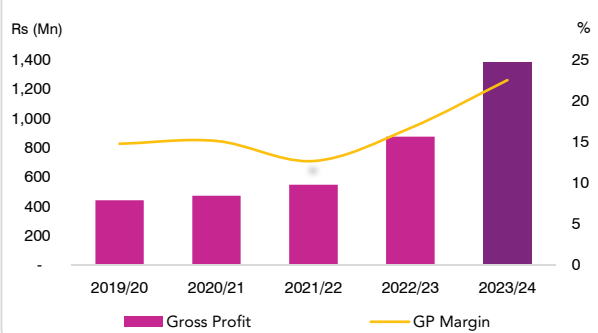
Service Revenue



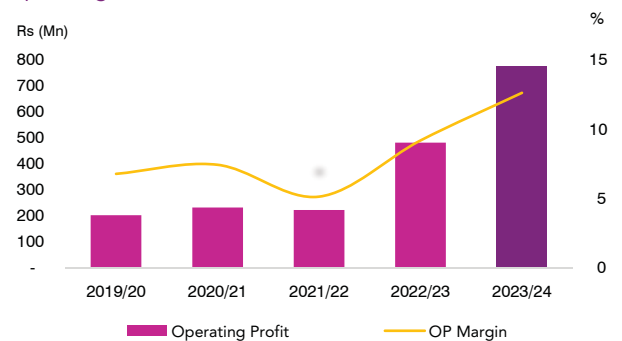
Solar Revenue



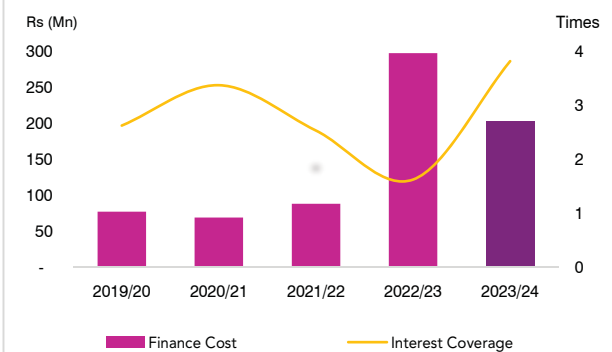
Gross Profit



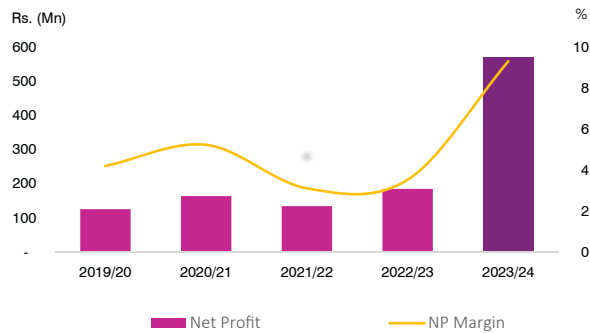
Operating Profit



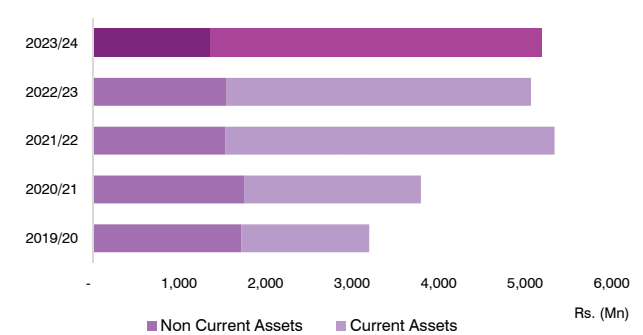
Finance Cost



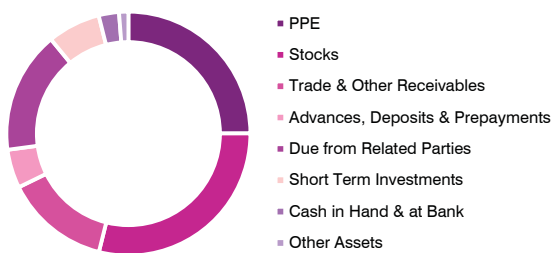
Net Profit before Taxation



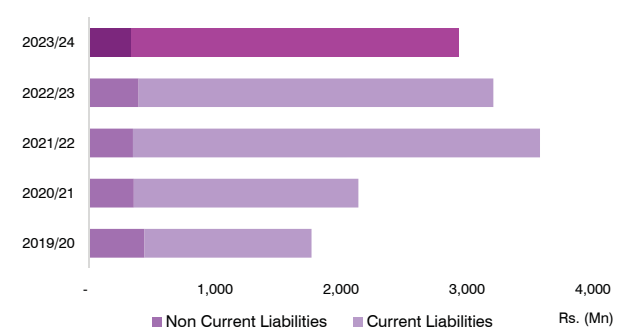
Total Assets



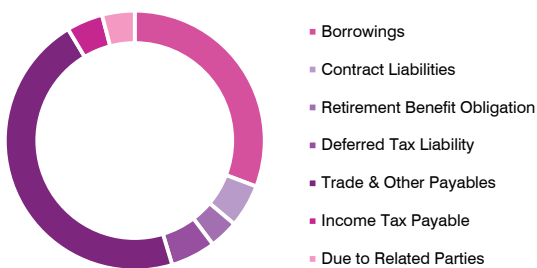
Total Asset Composition (%)



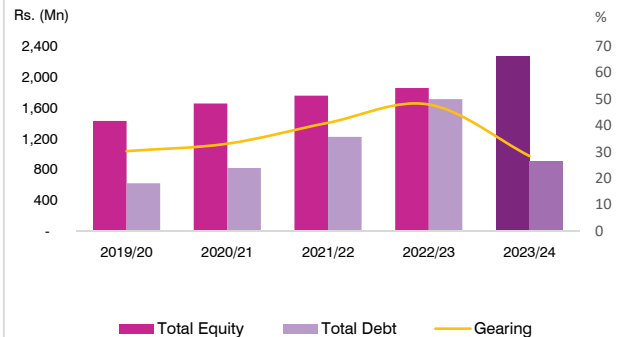
Total Liabilities



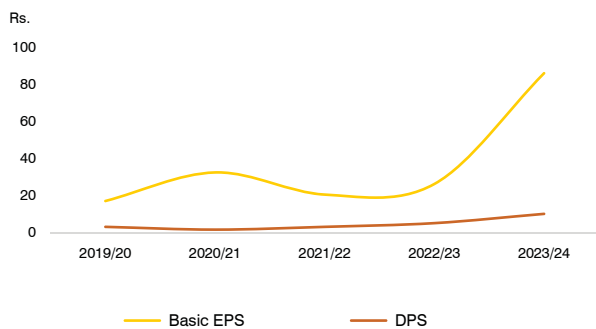
Total Liability Composition (%)



Capital Structure



EPS/DPS



Overview of Financial Performance

Against an environment of unpredictability, Abans Electricals PLC has reported the best financial performance in its history in the financial year 2023/2024, demonstrating resilience and adaptability to unavoidable external macro developments.

The improvement in financial performance can be attributed to the Company's agility to respond quickly to emerging opportunities in the market. Although market conditions remained downcast in the first two quarters of the year, the last two quarters demonstrated a gradual improvement in demand, with demand for solar power installations surging in December 2023, which boosted revenues for the year.

Reviewing the Company's performance, in August 2023, the Board of Directors declared and paid the first and final dividend for the financial year ended 31st March 2023, amounting to Rs. 25,552,800 (at Rs. 5/- per share).

Revenue

The overall revenue of the Company increased by 16.71% against the previous financial year, from Rs 5.2 Bn, to Rs 6.1 Bn. The revenue from the manufacturing business declined by 14.64% due to adjustments of selling prices in response to market conditions, to pass-on the cost reduction benefits to end customers and also to penetrate the market. Revenues from after sales services increased with the volume increase in completed customer service requests for repairs, and services and sale of spare parts. Capitalization of the VAT impact on the solar business segment resulted in an increase in solar revenue. The electricity tariff hike and the gradual decrease in interest rates resulted in an increasing demand for solar systems from both domestic and commercial customers.

During the previous financial year, banks restricted the provision of new bank facilities to new companies, and Abans Electricals capitalized on this opportunity and supplied raw materials and parts to a group

affiliate Company. In the current financial year, there were no such restrictions by banks.

Therefore, Abans Electricals sold the balance raw materials to that affiliate Company. Consequently, the revenue from trading declined by 66.45% against the previous year, to Rs 291.6 Mn

Cost Management

Cost efficiency was emphasized during the year across all operations to maximize savings. Therefore, we reviewed and revised existing borrowing terms to match market rate movements by negotiating interest rates with our banks, and by renegotiating bank commissions and fee charges, as well as employing better treasury management. Consequently, the net finance cost for the year declined by 37.07% from Rs 237.5 Mn to Rs 149.5 Mn.

In addition, the growth in sales volumes strengthened the Company's bargaining position to negotiate better credit terms with both foreign and local suppliers. At the operational level, we focused on turning around inventories fast, to ensure the existing stocks represented up to date market prices, reflecting key market factors such as the exchange rate, inflation, interest rates etc for more favourable outcomes. The non-production overhead expenses were also reviewed and controlled, and compared against budget variances. Productivity was improved and process improvements were implemented in all operations.

Profitability

The growth in the topline resulted in enhancing the gross profit and operating profit. The gross profit grew by 57.11%, from Rs 876.3 Mn, to Rs 1.38 Bn, while the operating profit increased by 70.33% from Rs 422.4 Mn, to Rs 719.4 Mn.

The reduction in market interest rates and cash collection from customers in line with sales growth, contributed towards reducing the Company's borrowing exposure. The lower borrowings reduced the overall finance cost, from Rs 297.2 Mn to Rs 202.8 Mn during the current financial year, which

boosted the Profit before Tax (PBT).

The growth in PBT by 208.34% from Rs 184.9 Mn, to Rs 570.0 Mn contributed towards the higher Profit after Tax (PAT). The PAT increased by 228.58% against the previous financial year, from Rs 133.5 Mn to Rs 438.7 Mn. The Net Profit Margin also increased by 181.53% from 2.54% in the previous year to 7.16% in the current year.

Tax Expenditure

Tax expenses increased in the current financial year, from Rs 51.3 Mn in the previous financial year, to Rs 131.3 Mn, due to the increase in taxable income and application of a full year tax rate at 30%. For further details on the tax impact on the Company, please refer to the Note 09 of the financial statements on page no. 65.

Total Assets

Total Assets grew by 5.13% from Rs 4,897.2 Mn, to Rs 5,148.3 Mn, with Current Assets increasing by 13.06% from Rs 3,349.0 Mn, to Rs 3,786.2 Mn. While there was no significant change in overall inventory, the composition of inventory was changed. The manufacturing raw material stocks were converted into sales, and new stocks of raw materials were held to supply confirmed solar installation projects. The increase in on-going solar projects increased the work in progress stock level.

The increase in solar installation sales resulted in an increase in the trade debtor balance. However, the related party progressive payment collection reduced the overall outstanding balance.

With regard to non-current assets, the PPE saw an addition of Rs 41.1 Mn as a result of investing Rs 32.7 Mn in plant, machinery and tools to improve production capacity and uplift service operations, as well as Rs 6.6 Mn to upgrade IT infrastructure facilities, while Rs 91.1 Mn was reduced due to the disposal of a property and from Rs 80.3 Mn in annual depreciation.

Total Liabilities

Total liabilities decreased from Rs 3,039.8 Mn to Rs 2,881.8 Mn with current liabilities reducing by

4.14% from Rs 2,648.7 Mn to Rs 2,539.1 Mn. Trade payables and accrued charges increased due to business growth, and purchase of material and services on credit terms for ongoing solar projects. The increase in staff related payables and solar warranty provisions caused the provision balance also to increase. Advances received for on-going and confirmed solar projects caused the advance balance to increase.

Non-current Liabilities declined by 12.4% from Rs 391.1 Mn to Rs 342.7 Mn. The deferred tax liability reduced due to realization of unrealized revaluation gain on property disposal, and the increase in provisions made.

Cash Flow

The operating cash flow of the Company improved during the year due to the growth in profits. The net working capital movement became positive with favourable credit terms negotiated with suppliers and other service providers. Disposal of property, plant and equipment (PPE), and proceeds received from fixed deposits also generated cash for the Company. Apart from paying dividends, the majority of cash generated from operating and investment activities were used to settle both long term and short term borrowings, which resulted in reducing the leverage of the Company enhancing operational flexibility.

Changes to Financial Capital

Abans Electricals PLC's financial capital comprises the two components of debt and equity. During the current financial year, the debt component declined by 48.23%. Long term debts were slashed by capital repayments and no new debts were contracted during the year. The short-term debts, which were mainly import loans, short term borrowings and overdrafts, were reduced by utilizing cash generated from operating activities. Consequently, the gearing ratio declined from 47.98% in the previous financial year, to 28.13%, and the current and quick ratios (times) improved from 1.26 and 0.57 to 1.49 and 0.79, respectively, indicating the stronger liquidity position of the Company.

Total equity increased by 22.02% year on year, due to the growth in profits earned during the year.

Revenue

LKR **6.1** Bn 
2022/23 LKR 5.2 Bn

Gross Profit

LKR **1.4** Bn 
2022/23 LKR 0.9 Bn

Operating Profit

LKR **719.4** Mn 
2022/23 LKR 422.4 Mn

Net Profit

LKR **438.7** Mn 
2022/23 LKR 133.5 Mn

Tax Expense

LKR **131.3** Mn 
2022/23 LKR 51.3 Mn

Total Assets

LKR **5.1** Bn 
2022/23 LKR 4.9 Bn

Total Liabilities

LKR **2.9** Bn 
2022/23 LKR 3.0 Bn

Total Equity

LKR **2.3** Bn 
2022/23 LKR 1.9 Bn

Abans Electricals' manufactured assets did not experience significant changes during the current financial year, with the exception of planned enhancement of machinery and equipment in line with business growth targets.

The manufacturing capital of Abans Electricals is utilized to manufacture and to assemble a selected range of consumer durable products, which are retailed through the Abans retail network and other selected retailers. In addition, the Company utilizes its manufactured capital to manufacture plastic components at its injection moulding plant, which are used to manufacture the above products.

Our after-sales service and solar panel installation business also utilize the Company's manufactured assets such as buildings, vehicles, equipment, spare parts and components.

Raw materials and components for the Company's manufacturing activities, as well as for after sales support and solar panel installations, are obtained through both imports and local suppliers. Under the Company's backward integration strategy, the sourcing of raw materials from local suppliers has continued to increase.

Changes to Manufactured Capital - FY 2022/23 vs FY 2023/24

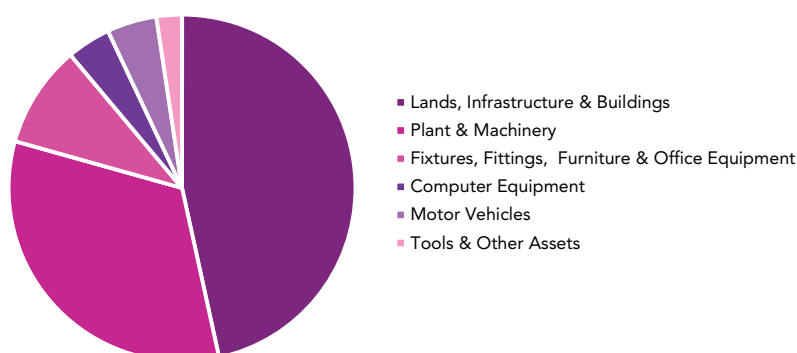
The Company's manufactured capital base comprises buildings, plant and machinery, stock holdings of components and parts, tools and equipment, stocks of manufactured items and vehicles. The Company has continued to strengthen its manufactured capital base by investing in maintenance, replacement and upgrades of components and machinery.

Plant and machinery assets were enhanced, during the year due to moulds additions for manufacturing of plastic components for Group companies, which created additional revenue.

Plans for the Future

Moving forward, the growth strategy will be to enhance the customer value proposition through value additions. Therefore, we will increase our investments in eco-friendly technologies that will reduce environmental impacts, while adding value to our products. We will also increase our investments in digital infrastructure to improve cost efficiencies with the objective of making our products and services more cost competitive, which will benefit consumers. We will facilitate business growth by expanding our production capacity in key growth sectors.

PPE Composition (%)



Land & Building

LKR 0.94 Bn

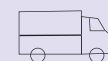
2022/23 LKR 1.03 Bn



Plant & Machinery

LKR 663.5 Mn

2022/23 LKR 638.2 Mn



Motor Vehicle

LKR 93.8 Mn

2022/23 LKR 104.4 Mn



Fixtures, Fittings, Furniture & Office Equipment

LKR 193.2 Mn

2022/23 LKR 193.0 Mn



Computer

LKR 82.9 Mn

2022/23 LKR 83.3 Mn



Tools

LKR 46.1 Mn

2022/23 LKR 66.8 Mn

As a manufacturer and service provider in the specialized fields of white goods and solar energy, our human capital base comprises a highly skilled group of personnel who are trained and experienced in their specific fields of expertise. Therefore, we are fully cognizant that our employees are a key asset of the Company and a competitive advantage in the increasingly price competitive marketplace, enabling continuous value creation for all stakeholders.

During the year under review, we continued to invest in building our human capital base by enhancing their skills through targeted training and development programmes. In the prevailing environment of high brain drain, we also focused on retaining our trained employees through employee welfare initiatives and incentives that go above and beyond the statutory minimum.

Applicable Labour Laws

- Wages Board Ordinance
- Employees' Provident Fund Act
- Employees' Trust Fund Act
- Employment of Women, Young Persons and Children Act
- Maternity Benefits Ordinance
- Shop and Office Employees (Regulation of Employment and Remuneration) Act
- Workmen's Compensation Ordinance

Maintaining our customary high degree of compliance, we remained fully compliant with all applicable labour laws and regulations during the year under review, while EPF, ETF, gratuity payments and all other payments designated under labour laws and regulations, were made on time. To ensure the safety and health of employees, all health and safety standards were implemented, and all relevant health and safety regulations were complied with. In addition, a range of welfare benefits were provided for employees. As an ethical and compliant employer, the Company does not employ

child labour. During the recruitment process of an employee, the Company strictly monitors the age of each candidate, in compliance with the Sri Lankan labour law framework.

Employee Benefits

Abans Electricals has an extremely attractive benefits package for employees in addition to competitive remuneration packages, which includes rewards, bonuses and production incentives, medical assistance (Insurance cover), and meal arrangements. Aimed at motivating employees and enhancing employee contributions and satisfaction levels at work, our range of employee benefits far exceeds regulatory requirements.

Employee Welfare

Fully cognizant of the stress placed on employees due to the rising cost of living and the pressures of life, we continued to extend many different employee welfare programmes to support our employees and their families during the current financial year as well. These welfare initiatives also included continuous communications with employees and organizing employee engagement activities for employees to interact cordially with each other, to create a friendly and pleasant work environment.

Some of the employee welfare activities conducted during the year include, 'Shapes of Tomorrow,' which is a programme to provide certificates and financial rewards for children of employees who passed the Grade 5 scholarship examination and got excellent results at the G.C.E. Ordinary Level and Advanced Level examinations. Welfare packs were distributed for employees in the current financial year as well, continuing from its original introduction during the COVID 19 period. The programme was maintained uninterrupted to provide essentials for employees during the prevailing economic hardships. Other welfare measures included the Reward on Childbirth programme, educational aid distribution and death donations.

Training and Development

We continued to invest in training our employees and developing skills in line with strategic growth targets as well as personnel development goals. Training requirements among different employee categories are identified through feedback from line managers and heads of departments, as well as training gaps identified during annual performance evaluations. The types of training programmes conducted during the current financial year included, technical and soft skills development training, training on Incoterms and international payment terms, awareness programmes and emotional intelligence development.

As part of the training line up for year, our employees participated in a panel discussion on 'Navigating the trade wave in 2024 and beyond,' which was organized for importers by the International Chamber of Commerce. They discussed leveraging on existing free trade agreements (FTAs) effectively, government policy perspectives on trade facilitation, customs facilities to streamline import processes, the implication of the Red Sea Crisis on the shipping industry and potential strategies for mitigation and understanding the significance of national quality infrastructure and requirements for a quality policy for importers, in today's landscape.

Our employees also participated in the HR Way Forward - 2024, a brainstorming event for 2024, organized by Abans PLC. This session was organized to brainstorm perspectives for 2024 as a strategic business partner in HR.

Performance Management and Rewards

Our employees are given the opportunity to advance in their careers, and enhance their incomes, through annual increments, incentives and bonus payments that are linked to performance. This process is streamlined by setting clear KPIs for all the employees,

including management staff, back office and production level staff. To ensure relevance against Company objectives, the KPIs are reviewed on a quarterly and annual basis. Employees received monthly incentive entitlements based on the quarterly KPI achievement grading. The annual bonus and career progress are also based on annual performance appraisals and the cumulative results of quarterly performances. In addition, other entitlements are also available for employees such as employee medical scheme & health insurance benefits, employee sales scheme for Abans products, cost of living adjustments and distress loans.

Grievance Management

The Company's belief in fairness, diversity and equality and open and honest communication is encouraged at all levels of management. We maintain an 'Open Door' approach towards employee problems and grievance handling and we ensure that all employees have direct access to the Head of HR and respective Divisional Heads and also the Chief Executive Officer, to address any concerns. In addition to the above, we have introduced a suggestion box, in an easily accessible location, for employees to report grievances anonymously.

During the current financial year, we conducted continuous awareness programmes for employees regarding the grievance handling process of the Company. In addition, we also implemented the grievance reporting process. Once a grievance is reported, it is directed to the HR Business Partner (HRBP) to investigate and obtain a resolution through the management. The resolution is communicated to the employee through the HRBP and follow-up feedback is obtained from the employee.

Occupational Health and Safety

As a responsible employer, health and safety of our employees is a high priority of the Company at all times. Therefore, the Company implements all required safety protocols in its activities and continually monitors and evaluates the Health and Safety metrics, while

also conducting safety related training for employees. During the current financial year, we conducted a health & safety awareness session for technical and non-technical staff. Audit findings and incident reports are used to make ongoing improvements in the processes.

The Company also organized health checkups for employees during the year, including a free health camp for vision and hearing, at the office premises. Employees were offered a vision and hearing testing package free of charge, including a refraction test and a hearing screening test. Any weaknesses were identified, and referrals were provided for further treatment, where required.

Another initiative was a mobile dental camp held at the office premises. This event provided both dental screening, scaling and permanent filling by a qualified dentist, and employees were educated on oral health by a qualified scientist after each treatment.

Employee Events in 2023/24

• New Year Ceremony 2024

Our employees across the rank and file got together to celebrate the new year on 01st January 2024, with joyful wishes for each other and the Company, which was followed by a pirith chanting ceremony to obtain blessings of the triple gem for the year.

• Service Appreciation 2023

The company conducts a service recognition ceremony in appreciation of long-standing employees. The ceremony recognizes for all employees with a service period of over 5 years. Awards and gifts were presented for those marking 5, 10, 15, 20, 25 years of service and more.

• Secret Santa 2023

This is an annual Christmas event organized by the Company and provides an opportunity for employees to mingle and socialize, amidst many entertainments.

• Women's Day Celebration 2024

During this event, Ladies were appreciated with lovely red roses and gifts.

• Get Together

The annual get together is conducted by the Company to help the staff take a break and relax from their office work and enjoy themselves.

Plans for the Future

We will continue to develop our human capital in the new financial year through a comprehensive training calendar that will enhance the technical and soft skills of our employees, and also by recruiting new talent and experience to enrich our talent base. In the new financial year, we also plan to conduct a Company policy review to improve and upgrade our human resource policies in line with current market trends and employee aspirations.

Our Employee Profile

• New Recruitments

Male	Female	Total
228	52	280

• Composition of Employee Carder

Age Wise	2023/24	2022/23
18-30	288	269
31-50	322	340
50+	38	46
Total	648	655

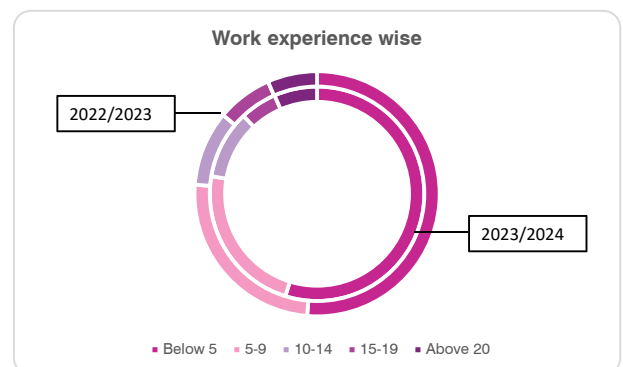
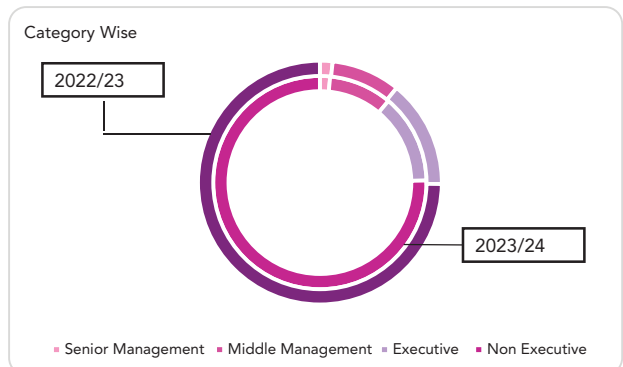
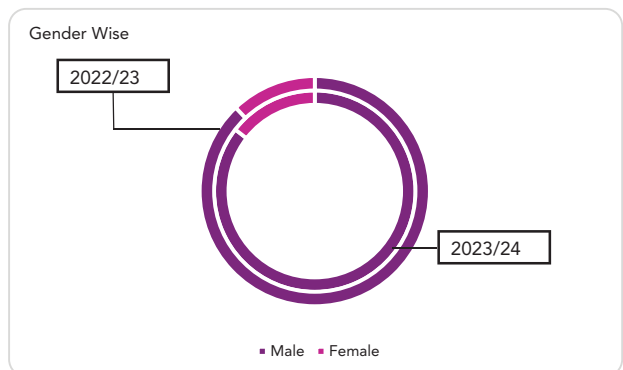
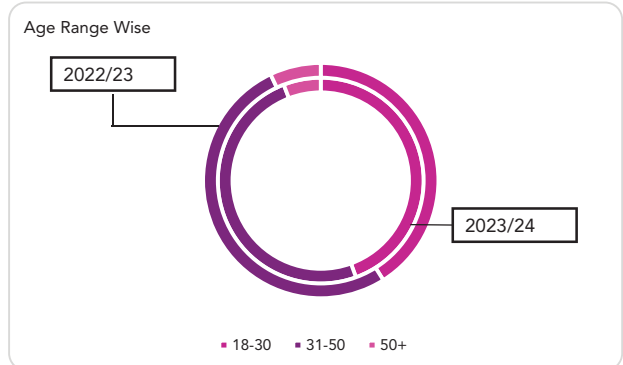
Gender Wise	2023/24	2022/23
Male	554	576
Female	94	79
Total	648	655

Category Wise	2023/24	2022/23
Senior Management	10	11
Middle Management	62	60
Executive	88	94
Non-Executive	488	490
Total	648	655

Work Experience Wise	2023/24	2022/23
Below 5 Years	355	336
5- 9 Years	148	163
10-14 Years	67	65
15-19 Years	36	48
20 Years Above	42	43
Total	648	655

• Employee Retention and Turnover

Year	2023/24	2022/23
Employee Retention	58%	65%
Turnover	42%	39%



Abans Electricals is highly conscious of its environmental obligations and continued to take all possible actions during the current financial year to minimize environmental impacts through its business operations by continually enhancing the efficiency of its manufacturing processes, implementing the 3R model within its premises, monitoring resource consumption and practicing safe disposal of waste. In addition, we are also adopting solar power for our business operations, and we are aggressively promoting solar energy solutions to the public, to support the growth of renewable energy use within the country.

Environmental Conservation

Environmental conservation is a core component of our environmentally sustainable business model, where we make all efforts to minimize negative environmental impacts and conserve resources. We have invested in recycling to reduce resource consumption as well as to minimize potential negative impacts on the environment through manufacturing waste. As part of the recycling model of the Company, all damaged plastic components from the injection moulding plant are recycled and reused, reducing plastic waste generated through our manufacturing processes. In addition, we have also invested in solar power, as a renewable option for energy generation for business operations. All non-hazardous waste that cannot be recycled, or reused, is segregated for municipal collection.

The HR Department regularly monitor compliance with environmental regulations and guidelines. No penalty or fine was imposed during the year, for non-compliance with any environmental regulation, or guideline.

Resource Conservation

• Managing Water Consumption

We are fully cognizant that water is a precious and finite resource which is essential for all forms of life on the plant and therefore should be

prioritized for conservation. Therefore, as a business, we contribute towards water conservation by taking all possible precautions to reduce water wastage through leaks, contamination and evaporation, and we have also installed water efficient fixtures to prevent excessive water outflows. In addition, we encourage employees to adopt water saving practices at work, and we monitor consumption levels by reviewing water bills on a monthly basis.

• Managing Energy Consumption

We have adopted solar panels to meet our energy requirements, which has effectively reduced the consumption of fossil fuel-based electricity in our business premises. The monthly electricity consumption is monitored and the electricity meter data is analysed for usage.

To instil a responsible attitude towards energy conservation within the Company, we raise awareness among employees regarding energy efficiency and energy conservation.

3R Related Activities

• Reduce

We consume a wide range of raw materials and natural resources as part of our business operations. Therefore, reducing resource consumption has been identified as a priority to minimize environmental impacts through our business operations and also as a key component of enhancing cost efficiency of our operations. In order to control resource consumption, we continually review and improve the efficiency of our production practices. Our manufacturing equipment are also well maintained and upgraded when required to reduce damaged products and manufacturing waste.

We stringently observe all proper manufacturing practices, such as maintaining manufacturer recommended temperature of machines, keeping the material percentages to the predetermined exact rate and conducting timely

repairs and servicing of machinery. When we test our washing machines, we clean and reuse the same water to reduce water consumption. These practices are ingrained into our daily operations by enhancing employee awareness.

• Recycle

During the year, we crushed and recycled 18,731 kgs of damaged plastic components, thereby reducing our landfill impact and environmental impacts.

We encourage recycling and reuse by sending the Styrofoam packaging used in raw material packings and customer-returned packaging of our sold finish goods, to one of our affiliate companies, to manufacture Styrofoam packing material for future use. Furthermore, we collect plastic components and material scraps from affiliate companies and reuse them to produce plastic components, or to sell outside. However, we ensure desired quality standards are met when using recycled materials in our production processes.

• Reuse

We have implemented systems to collect, and reuse recycled plastic components, carton boxes, styrofoam and plastic bags, which have extended the productive life cycles of these items, and again reducing wastage and landfill.

We create value for overall society through our business operations, by working closely with our key stakeholder groups that are indispensable for our operations. As a manufacturer and service provider, our reputation as a reliable and trustworthy Company is essential to maintain our brand image and customer loyalty in the present highly competitive market. Therefore, meeting and exceeding our customer expectations has been a priority for business growth and we have continued to invest in our customer value proposition. Our network of local and foreign suppliers are essential business partners in ensuring business continuity and quality of our products and services, and we have continued to strengthen our relationships with our supplier base during the year. We also represent the brand of the Abans Group, which is one of the most respected brands in the country and uphold the values and standards associated with the Abans brand in our engagements and interactions with our external stakeholders.

Regulatory Compliance

Abans Electricals PLC has maintained full compliance with all applicable laws and regulations in the financial year 2023/2024. All statutory payments were made on time, as was as all regulatory records and returns. The Company did not face any significant fines, or penalties for non-compliance, or delays in compliance.

Stakeholder Engagement

Our key stakeholders play vital roles in our day-to-day business operations and business continuity through their inputs and influence on the Company's operations and business strategies. Hence, we maintain regular engagements, while ensuring professional communications and ethical interactions with all of them.

How We Created Value for Our Customers

Although economic indicators improved gradually, our customers continued to face difficult economic conditions during the year, which impacted demand for our goods and services. Therefore, we prioritized the supply of high-quality products, at affordable prices, to support our customers. We maintained our quality standards by implementing various strategies and actions to prevent quality related problems, such as implementing a documentation system to continually monitor quality aspects of our products along the manufacturing process. With regards to our service delivery, we emphasized on-time service arrangements for our customers and maintained flexibility in providing after sales services, which contributed towards greater customer satisfaction. We also maintained regular communications with customers and provided the customer with all relevant information.

Improvements to Customer Care

We regularly invest in improving customer care and after sales services to ensure customer satisfaction and in the current year, we reviewed our existing customer care processes and made improvements to enhance our customer value proposition. We digitalized our user manual (Customers can easily refer the user manual online, for our washing machine, by scanning the code on the washing machine). Customers can easily access operating instructions on YouTube. We are using customer relationship management platforms to improve our customer care. Our after-sales service delivery will be digitized via a mobile application. Customers will

be provided access to this mobile app which can be used to lodge complaints, plan service visits etc. through their mobile phones, and also receive timely updates about their service jobs. This application will also, make it possible to monitor customer satisfaction levels to enable closer monitoring of KPIs.

Creating Value for Our Suppliers

Our suppliers are business partners that support our business growth and as such, are treated with respect and trust. During the current year, we increased purchases of solar materials from our suppliers in response to the growth in demand for solar installations and services. We also added new suppliers to supply raw materials for plastic items production. We maintain proper supplier documentation systems at the vendor registration process, to engage effectively with our suppliers, including separate vendor registration systems for Companies and individuals, to make registrations easier for our suppliers.

Corporate Social Responsibility (CSR)

Abans Electricals also found the time to conduct an impactful CSR activities during the year by accommodating students from universities and technical colleges for factory visits. The programme benefited students by facilitating a hands-on learning experience on industrial processes and by demonstrating how theoretical concepts are applied in real world manufacturing settings.

Plans for the Future

In the new financial year, we will focus on continually improving our service standards to retain our growing customer base by going above and beyond customer expectations. As a key component of this objective, we will strengthen our customer service team and increase the number of service agents to reduce the area coverage per agent, and to improve customer reachability within a shorter time. In addition, we are planning to initiate SMS notifications regarding the expiry of service periods to help the customers continue after sales services for products which are purchased from Abans.

Stakeholder Group	Purpose of Engagement	How We Ensured Meaningful Engagement
Abans PLC (Significant Shareholder)	Maintain managerial control and providing operational assistance for affiliate Companies	Adhering to policies and controls imposed by the parent Company
Customers	To sell products and services	Providing high quality goods and services and after sales services
Suppliers	To purchase materials required for operations	Settling supplier payments on time, maintaining proper communications, and receiving quality material on time
Employees	To perform tasks for the Company	Paying salaries on time, providing welfare facilities and support for career development
Regulators	To comply with rules and regulations	Ensuring adherence to the rules and regulations imposed by regulators
Providers of Financial Capital	To obtain financial assistance required by the Company	Ensuring on time interest and loan repayment

As a manufacturer of white goods and plastic components for the Abans Group and external customers, as well as a provider of technical services for after-sales support and solar panel installation, Abans Electricals has developed a unique and specialized base of intellectual capital.

Customized Systems

In the field of manufacturing, Abans Electricals has years of hands-on experience in building high quality and durable electrical items. The Company's manufacturing activities are supported by assembly and production systems and processes that are unique to the Company. These systems and processes have been continually improved over the years for cost efficiency. The manufacturing operations are backed by a network of local and international supply chains that have been built up over the years. The company also invests in research and development for manufacturing and assembling products that align with consumer expectations.

The Company's technical knowledge of solar power systems and the technical skills and competencies of the service teams are also essential components of the intellectual capital base, and contribute towards operational efficiencies, customer satisfaction and customer retention. The Company also regularly upgrades its IT systems and other processes to improve operational efficiencies.

Abans Brand

The Abans brand is another dimension of the intellectual capital of the Company, which encourages market credibility and trust among the Company's stakeholders.

Organization Culture

The tacit knowledge encapsulated within the Company through years of practical experience, represents a major component of the Company's intellectual capital. Therefore, Abans Electricals makes all efforts to expand and strengthen its intellectual capital base by developing its personnel. The Company strives to foster a continuous learning culture, where collective organizational knowledge is shared and transmitted to new generations.

Changes to Intellectual Capital in 2023/2024

During the current financial year, we continued to experience brain drain as many highly skilled and trained employees tend to go abroad for new employment opportunities in response to the rising cost of living. While addressing this challenge that could weaken the Company's intellectual capital base, we also focused on customizing internal systems, and on process improvements, to maintain operational efficiencies.

A key improvement during the year, was the automation and integration of our processes to increase efficiency and effectiveness, via an ERP system.

Plans for the Future

A dynamic intellectual base is essential for success in the current highly competitive and knowledge driven environment. Therefore, in order to protect and enhance our unique intellectual asset base, in the new financial year, we plan to increase investment in training programs for our employees to improve their knowledge and skills. To provide greater value for money for Sri Lankan consumers within the existing difficult economic environment, we will increase investments and time allocations to develop product designs that best suit the requirements and budgets of Sri Lankan consumers.

We will facilitate an organizational culture that encourages employee to learn new things, and also create an atmosphere where employees are motivated to innovate and think creatively. As a key enabler, we will establish a reward system to reward employees for their intellectual contributions. We will also facilitate knowledge transfer from experienced staff to the next generation.

In response to the rising cost environment, we will develop cost effective supply chains and create new products that are affordable to customers. This includes continuous research and development activities to develop import substitution products that meet customer expectations at affordable prices.



Mrs. Aban Pestonjee
Chairperson



Mr. Behman Pestonjee
Executive Director



Mrs. Saroshi Dubash
Managing Director



Mr. Dinal Phillips
Independent Non-Executive Director



Mr. Kumar De Silva
Independent Non-Executive Director



Mr. R Selvaskandan
Senior Independent Non-Executive Director



Mr. Athula Siriwardane
Executive Director



Mr. Jagath Jayasundara
Executive Director/CEO

Mrs. Aban Pestonjee Chairperson

Mrs. Aban Pestonjee is the founder of the Abans brand and is a leading business personality as well as a pioneer woman entrepreneur in Sri Lanka. As a South Asian woman in a male-dominated business world, she is an inspiration to generations of Sri Lankan business women. Mrs. Pestonjee's vision, leadership and entrepreneurial spirit resulted in the diversified Abans Group, based on the concept of 'identifying a need and fulfilling it'.

Due to her remarkable achievements as an entrepreneur, Mrs. Pestonjee has been recognized globally with many awards and accolades and was interviewed by The Harvard Business School, with the interview transcript held in the school's Baker Library, available to students for research and case studies. She was appreciated as one of Sri Lanka's most admired leaders in 2021, at the Most Admired Companies Awards, organized by the International Chamber of Commerce Sri Lanka and the Chartered Institute of Management Accountants.

Some of the awards received by Mrs. Pestonjee include, the Global Strategy Leadership Award presented at the World Strategy Summit; Award of Excellence for Women Achievers for Outstanding Achievements, presented by the SAARC Women's Association and the Bronze Award, under the large business category at the Women Entrepreneur of the Year awards by the Women's Chamber of Industry and Commerce, both in the year 2000; the KOTRA Plaque of Appreciation presented in 2005, for forging strategic foreign economic ties between Korea and Sri Lanka; Leading Woman Entrepreneur of the World Award presented by the Princess of Thailand in 2006; Woman Entrepreneur of the Year Award by the Women's Chamber of Industry and Commerce at the Woman Entrepreneur of the Year 2017 Awards as well as the Gold Award in the Extra Large Business Enterprise Category and Sri Lanka's Entrepreneur of the Year Award at the Derana Sri Lankan of the Year Awards 2017.

Other positions held by Mrs. Pestonjee include, directorships at Abans PLC, Abans Retail Holdings (Pvt) Ltd,

Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, Abans Tourist Hotel (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Engineering (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd and A B Manufacturing (Pvt) Ltd.

Mr. Behman Pestonjee (Tito) Executive Director

Passed Away on 17th June 2023

Mr. Behman Pestonjee, who was a founder Director of Abans PLC, was a key figure in developing and expanding the Company over the years by directing most of the critical functions of the organization. A qualified Marine Engineer, Class 1 (D.O.T. London), Mr. Tito Pestonjee's visionary leadership contributed directly towards the Company's success. Under his leadership in developing business partnerships, the Abans retail network expanded from a single store to over 400.

Mr. Tito Pestonjee had a practical and motivational management style and was an inspirational and people-oriented leader, who instilled his strong work ethic within the organization. He was a highly respected business leader well known for his strategic insights and effective strategy execution.

His extensive experience and expertise earned him several directorships at key Abans Group subsidiaries, including Abans PLC, A B Manufacturing (Pvt) Ltd, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Colombo City Centre (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Sirius Technologies (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd and Abans Engineering (Pvt) Ltd.

Mrs. Saroshi Dubash Managing Director

Appointed w.e.f 11th July 2023

A highly experienced businesswoman and an accomplished professional, Dr. Saroshi Dubash has a PhD in Philosophy, an MBA (US), and an honours degree in chemistry (London). Dr. Dubash's scope of oversight at Abans Electricals PLC extends to Group supply chain components such as import purchasing, wharf clearance, warehousing, inventory control, distribution and information systems. In addition, she also supervises the finance, human resources, training and internal audit departments.

Other key positions held by Dr. Dubash include the position of Managing Director of Abans Logistics (Pvt) Ltd, a fully-fledged logistics company that specialises in freight, transport, warehousing, distribution, container yards and other logistics operations. She is also a Director of several other Abans Group companies, including Abans PLC, Colombo City Centre Partners (Pvt) Ltd, Abans Retail Holdings (Pvt) Ltd, Abans International (Pvt) Ltd, Abans Engineering (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Crown City Developers (Pvt) Ltd and A B Manufacturing (Pvt) Ltd. As a respected and experienced businesswoman, Dr. Dubash has been elected to several leadership positions, including as the Chairperson of the Women's Chamber of Industry and Commerce and as a representative on the Ceylon Chamber of Commerce Board. She is a member of Women in Logistics and Transport (WILAT) and serves as a committee member of the Australian New Zealand Business Committee and the Canadian Business Committee. Dr. Dubash is also a member of SLID and the WCD, which is a global organisation for women directors.

Mr. R. Selvaskandan

Senior Independent Non-Executive Director

Mr. Selvaskandan was appointed to the board on 28th February 2023. An expert in corporate and commercial transactions, mergers and acquisitions, banking and financing matters, investment structuring and project development, Mr. Rajaratnam Selvaskandan is an Independent Non-Executive Director at Abans PLC, a position he has held for several years. He is an Attorney-at-Law (SL) and a Solicitor of England & Wales, Canberra and Hong Kong, with more than four decades of experience in legal practice and management.

As an Independent Non-Executive Director at Abans Electricals PLC, Selvaskandan brings a wealth of legal knowledge and business acumen to the Board. He is committed to ensuring that the Company operates with integrity and transparency and that it meets the highest standards of corporate governance.

Mr. Selvaskandan, who was admitted to the Supreme Court of Sri Lanka as an Attorney-at-Law in 1982 and is a Senior Partner at Varners, a leading law firm in Sri Lanka, where he has served since 2004. He was a State Counsel at the Attorney General's Department in Sri Lanka before serving as a Partner in a renowned law firm in Hong Kong for more than two decades and has also built an impressive career in private practice and public service. In addition to his role at Abans PLC, Selvaskandan is also a Director of CT Land Development PLC and serves on the Boards of several other prominent companies, including the Laugfs Gas PLC.

Mr. Dinal Phillips

Independent Non-Executive Director

A specialist in the field of intellectual property, commercial arbitration, Company law litigation and sports law, Mr. Phillips, was appointed to the Board in February 2018. He also serves as the Chairman of the Related Party Transactions Review Committee and is a member of both the Audit Committee and Remuneration Committee. With over 40 years of experience in the field of law, his legal expertise has provided invaluable legal counsel to facilitate business expansion.

Mr. Phillips continues to practice in the Commercial High Court and engages in litigation related to injunctions, bank recovery issues, insurance claims, family and labour disputes. He is a Member of the Court of Arbitration of the International Chamber of Commerce and Founder Member of the Austrian Business Circle of Sri Lanka. He is a former Director of the National Development Bank PLC and was a member of the National Intellectual Property Advisory Commission for 12 years and was elected Chairman twice.

Mr. Kumar De Silva

Independent Non-Executive Director

Having been appointed to the Board in February 2018, Mr. De Silva also serves as the Chairman of the Audit Committee and the Remuneration Committee and is a member of the Related Party Transactions Review Committee. Specializing in marketing with over 30 years of business management experience and a strong professional background, Mr. De Silva's marketing knowledge has been instrumental in driving business expansion.

He is an associate member of the Chartered Institute of Marketing, UK, a member of the Sri Lanka Institute of Marketing, and holds a Diploma in Marketing from the Chartered Institute of Marketing, UK. Further, Mr. De Silva is a fellow member of the Chartered Institute of Management Accountants, UK, the Institute of Global Chartered Management Accountants, UK and the Chartered Institute of Logistics and Transport, UK.

Mr. Athula Siriwardane

Executive Director

Resigned w.e.f. 29th February 2024

Mr. Siriwardane who, resigned from the Board w.e.f. 29th February 2024, was appointed as an Executive Director of Abans Electricals PLC in September 2016. With 40 years of experience in supply chain management, he played a key role in the Abans Group's success as a diversified business entity. As an expert on import clearances, he has many years of experience in engaging with state institutions and is a key Company liaison with the Ministry of Finance and other relevant authorities, helping the Abans Group to build strong relationships.

A visionary leader, who encourages modernisation and investment in technology, he established a pipeline of new leaders who will shape next-generation supply chain solutions. His careful management has also enabled the Company to implement many cost saving measures, while ensuring timely delivery of final products.

Mr. Jagath Jayasundara

Executive Director/CEO

Resigned w.e.f. 06th June 2023

Mr. Jagath Jayasundara, who counts over 21 years of hands-on experience in the fields of manufacturing, quality management, maintenance, research and development, and construction, is a multidisciplinary and experienced professional with qualifications in engineering, accounting and management. He has over 8 years of experience at senior management level, and over 5 years of work experience in the capacity as a Chief Executive Officer, guiding and directing operational aspects.

Mr. Jagath Jayasundara holds a BSc. Engineering (Hons) degree specialized in product engineering from the University of Peradeniya, Faculty of Engineering in 2001 and a Master of Business Administration degree from the Postgraduate Institute of Management, University of Sri Jayewardenepura in 2014. Mr. Jayasundara is also an Associate member of the Chartered Institute of Management Accountants, UK.

Mr. Jayasundara was appointed as the Chief Executive Officer of Abans Electricals PLC on 01st October 2017 and he was appointed to the Board of Abans Electricals PLC with effect from 08th March 2023. Mr. Jayasundara is also a Director of A B Manufacturing (Private) Limited.

Although Mr. Jayasundara resigned from the Board of Abans Electricals PLC, he remains the CEO of the Company.

Introduction

Faced with continuous changes to the regulatory and policy environment, as well as macro-economic conditions, maintaining stringent governance standards was imperative for the Company's stability and sustainability. In addition to enforcing total compliance with all legal and regulatory requirements, the Company also observed the Code of Best Practice, and came under the governance oversight of Abans PLC, as the major shareholder. The good governance practices adopted by the Company with regards to its financial as well as non-financial capitals was vital to maintain a strong financial performance during the year, in spite of market uncertainties. Overall, the Company's internal controls and operational oversights were regularly reviewed and strengthened to ensure prudent management of assets, to enable value creation for all stakeholder groups.

Status of Compliance

Compliance remained a high priority during the year, to protect the brand image and maintain market credibility within ongoing market volatility. We are pleased to report that Abans Electricals PLC has remained fully compliant with all applicable laws and regulations. The Company did not face any significant fines, or penalties, for non-compliance during the year under review. The Company is fully compliant with the mandatory provisions of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange. Wherever possible, we have also voluntarily complied with the provisions of the Code of Best Practice on Corporate Governance jointly advocated by the Securities and Exchange Commission and the Institute of Chartered Accountants of Sri Lanka.

Board of Directors

The Abans Electricals PLC Board of Directors comprised seven (07) Directors during the year under review, with three (03) of them being Non-Executive Independent Directors.

Profiles of the Directors

Please refer pages 19 to 21 of this annual report for brief profiles of the Board members.

Role of the Chairperson and Managing Director

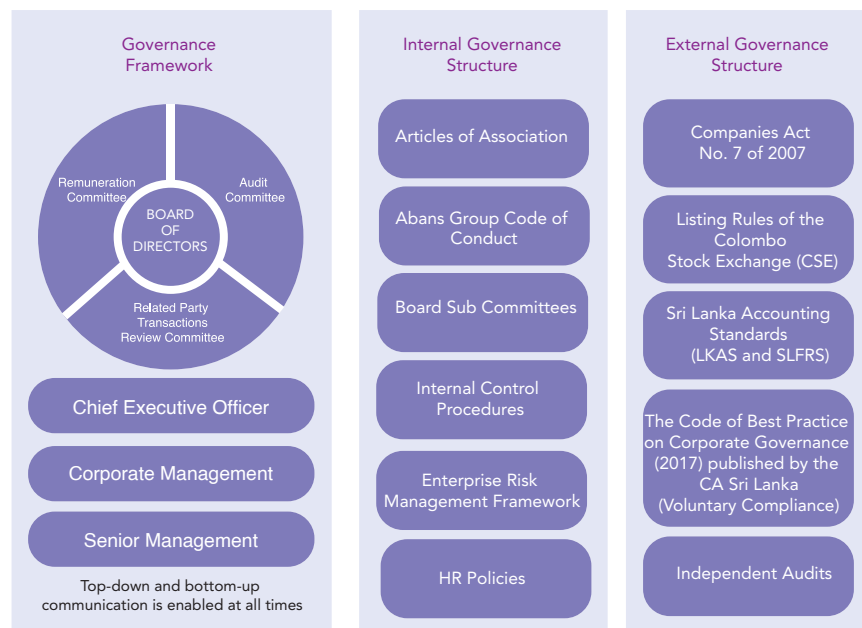
The role of the Chairperson is separate from that of the Managing Director which is in line with best practices in Corporate Governance ensuring that no one Director has unfettered power and authority.

Role of the Senior Independent Non-Executive Director

Mrs. Aban Pestonjee, the Chairperson and Mrs. Saroshi Dubash, the Managing Director of Abans Electricals PLC are close family members. Therefore, the Board of Directors of Abans Electricals PLC by its resolution adopted by circulation on 29th November 2023 has appointed Mr. Rajaratnam Selvaskandan, Independent Non-Executive Director of the Company as the Senior Independent Director in terms of Section 9.6.3 (a) iii of amended Listing Rules on Corporate Governance with effect from 29th November 2023. Also Mrs. Aban Pestonjee has relinquished her position to the Company's Executive Chairperson with effect from 29th November 2023. However, Mrs. Aban Pestonjee shall be remained as Non-Executive Chairperson of the Company. The presence of the Senior Independent Non-Executive Director ensures none of the Board Members has unbound authority over decision-making, and Board discussions facilitate independent thought by individual Directors.

Statement of the Senior Independent Director

The Senior Independent Non-Executive Director and the other non-executive directors will be meeting annually without the presence of the executive directors to discuss the operation of the Board of Directors and matters related to Abans Electricals PLC. Feedback and recommendations will be provided to the Chairperson



Internal Governance Structure

As a listed Company, the Board of Directors is the apex body with final responsibility and authority with regards to all decision making. As an integral part of the Governance structure, three Board Sub Committees and Senior Management Committees have been established and delegated authority with clearly defined mandates and authorities to above committees and were operational throughout the year. The

Company also has a Board approved set of policies and procedures to enable oversight over internal controls and risk management. The governance framework is reviewed, when necessary, to adapt to internal developments and reflects best practices. The guidelines and the framework set by the Abans Group functions such as Finance & Investments, Human Resources, Group Information Technology and Group Risk & Control support for a sustainable business operation and report to the Board of the Company.

and other Board members relating to these discussed matters duly. Since the appointment of Senior Independent Non-Executive Director has not lapsed one year and all disclosure requirements have been made accordingly within the financial year, no such meeting has been held during the year ended on 31st March 2024.



Rajaratnam Selvaskandan
Senior Independent Non-Executive Director
30th August 2024

Board Responsibilities

During the year, the Board discharged its responsibilities by conducting deliberations and maintaining close oversight of all strategic and operational targets of the Company. The scope of responsibility extends to collective and individual responsibility to formulate, implement and monitor business strategy, develop effective systems to secure the integrity of information, internal controls, business continuity and risk management, ensure compliance with laws, regulations and ethical standards, consider the interests of all stakeholders in corporate decisions and establish processes for corporate reporting.

Furthermore, Directors are required to make individual and collective judgments and are authorized to obtain internal and external professional expertise for matters relating to corporate issues, strategies, performance, setting up standards and managing and safeguarding resources.

Chairperson's Responsibilities

As the head of the Board, the Chairperson is responsible for giving leadership and facilitating discussions among all Directors towards collective and informed decision making and ensure that the Directors receive accurate, timely information to enable them to take clear and sound decisions. The Chairperson is responsible to approve the agenda for each Board meeting and also ensure regular meetings, the minutes of which are accurately recorded and

where appropriate include the individual and collective views of the Directors. The Chairperson ensures the Board is in control of the Company's affairs and is informed of obligations towards all shareholders and other stakeholders. The Chairperson is also the public representative of the Company and the Board.

Managing Director's Responsibilities

The Managing Director ensures the formulation and obtaining approvals of the Company's strategies, recommend the budgets, monitor and report Company's performance to the Board. The Managing Director also manage the financial and business risks of the company's operations and identify the potential risks of the Company and ensure compliance with all applicable legal and regulatory obligations.

CEO'S Responsibilities

The Chief Executive Officer (CEO) maintains overall executive oversight of all Company activities and directs the management to achieve Company strategic objectives and targets and policies set out by the Board.

Board Balance and Composition

As demonstrated by the Board profiles, the Company has ensured that the Board represent a relevant mix of knowledge, qualifications and experiences to equip the Company with the correct guidance at all times.

Financial Acumen

To ensure compliance with financial acumen and financial sustainability, the Board includes financially knowledgeable members and also a Board member holding membership in professional accountancy bodies. The Board also obtains external consultants for specialized information, whenever necessary.

Separation of Powers of Chairperson and CEO

The Company has complied with the segregation of powers by appointing two separate persons to the roles of Chairman and CEO, with clear segregation of powers and authority.

Board Meetings

The Board of Directors of Abans Electricals meet on a quarterly basis at minimum, and as-and-when required. During the year, the Board ensured that it convened four (04) times. When it was not possible to arrange physical meetings, the Board meetings were held through digital/hybrid platforms, ensuring continuity of Board activities.

Attendance at the Board Meetings

During the year under review, four (04) Board meetings were held, once every quarter. The meeting agendas and Board papers were circulated to all Board members prior to Board and Sub-committee meetings. Attendance at the Board meetings held during the financial year 2023/24 is as follows.

Name	Attendance
Mrs. Aban Pestonjee, Chairperson	4/4
Mrs. Saroshi Dubash, Managing Director*	3/3
Mr. Behman Pestonjee, Executive Director**	1/1
Mr. Athula Siriwardane, Executive Director***	1/4
Mr. Kumar De Silva, Independent Non-Executive Director	3/4
Mr. D M R Phillips, Independent Non-Executive Director	3/4
Mr. Rajaratnam Selvaskandan, Senior Independent Non-Executive Director	4/4
Mr. Jagath Jayasundara, Executive Director / CEO****	1/1

* Appointed w.e.f. 11.07.2023

** Passed away on 17.06.2023

*** Resigned w.e.f. 29.02.2024

**** Resigned w.e.f. 06.06.2023

Appointments / Re-election to Board

The Nomination Committee makes nominations for the appointments to the Board. Retirement and re-election of Directors are conducted under the regulatory framework, and the Company's Articles of Association. The Company has in place an evaluation criterion for the selection of members to the Board, based on the objectives of the Company.

Appraisal of the Board

Board members are evaluated for their performance by the Board and Chairperson. The external and internal environment and the degree of success in achieving goals and targets are taken into consideration.

Directors' Remuneration

The Board has appointed a Remuneration Committee to make recommendations on suitable remuneration packages to attract and retain the highest skilled experts onto the Board. Remuneration for

Non-Executive Directors is determined based on the time commitment, role and responsibilities of each individual Director, as well as industry experience. Please refer Note No. 8 & 31 to the financial statements for remuneration and other benefits of the Board of Directors.

Board Sub-Committees

The Board has appointed the below Sub-Committees, in line with regulatory requirements, to assist in its decision making:

- Audit Committee
- Remuneration Committee
- Related Party Transactions Review Committee

The Board has delegated some of its functions to these Sub-Committees, while retaining final decision-making rights. The Board Sub-Committees comprise predominantly of Independent Non-Executive Directors.

A brief description about these committees is set out in pages 35 to 37.

Communication with Shareholders

The Board maintains full transparency and accountability in all communications with shareholders and ensures equal access to information and ensures adequate and timely disclosure.

External Governance Structure

The Company is required to comply with a range of different laws and regulations in its daily operations. This includes compliance with all mandatory provisions under the Companies Act No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange. Please refer the compliance report in page no. 25 to 34 for the level of compliance in the year under review.

Assurance

The Company conducts regular internal and external audits, to obtain multiple assurances on the quality and effectiveness of internal controls and financial reporting. The audits also verify compliance with corporate governance requirements.

Internal Audit

Both operational and financial aspects of the Company are regularly audited and a comprehensive annual audit plan is prepared for this requirement. The audits highlight any deviations from existing internal controls and remedial actions are recommended in required. The Group's Internal Audit Department also reviews the Company and directly report to the Audit Committee.

External Audit

Independent external audits are conducted annually by External Auditors engaged by the Company. Messrs. Ernst & Young Chartered Accountants were appointed as External Auditors of Abans Electricals PLC and have audited the financial statements of the Company.

The External Auditors report on the adequacy and effectiveness of the Company's internal controls and provide reasonable assurance on the credibility, reliability and integrity of the information presented in financial statements.

Sub-Committee	Name of the Director
Audit Committee	Mr. Kumar De Silva (Chairman) (Independent Non-Executive Director)
	Mr. D M R Phillips (Independent Non-Executive Director)
	Mr. Rajaratnam Selvaskandan* (Senior Independent Non-Executive Director)
Remuneration Committee	Mr. Kumar De Silva (Chairman) (Independent Non-Executive Director)
	Mr. D M R Phillips (Independent Non-Executive Director)
	Mr. Rajaratnam Selvaskandan* (Senior Independent Non-Executive Director)
Related Party Transactions Review Committee	Mr. D M R Phillips (Chairman) (Independent Non-Executive Director)
	Mr. Kumar De Silva (Independent Non-Executive Director)
	Mr. Behman Pestonjee** (Executive Director)
	Mrs. Saroshi Dubash*** (Managing Director)

* Appointed on 25th July 2024

** Passed Away on 17th June 2023

*** Appointed on 24th June 2024

Secretaries

Varners International (Private) Limited has been appointed as the Company Secretary, to ensure compliance with the Companies Act and the regulations of the Colombo Stock Exchange. The Company Secretary also administers Board proceedings, maintains minutes, agendas and papers, required for Board meetings.

Statement of Compliance under Section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosure

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
I	Names of persons who were Directors of the Entity	✓	Refer page no. 19-21
II	Principal activities of the entity and its subsidiaries during the year, and any changes therein	✓	Refer page no. 42
III	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	✓	Refer page no. 87
IV	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	✓	Refer page no. 86-87
V	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year	✓	Refer page no. 44
VI	Information pertaining to material foreseeable risk factors of the Entity	✓	Refer page no. 38-41
VII	Details of material issues pertaining to employees and industrial relations of the Entity	✓	There are no material issues pertaining to employees and industrial relations.
VIII	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	✓	Refer page no. 43
IX	Number of shares representing the Entity's stated capital	✓	Refer page no. 86
X	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	✓	Refer page no. 86-87
XI	Financial ratios and market price information	✓	Refer page no. 3 & 86
XII	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	✓	Refer page no. 67-70
XIII	Details of funds raised through a public issue, rights issue and a private placement during the year	✓	There were no fund raising activities carried out to increase the stated capital
XIV	Information in respect of Employee Share Ownership or Stock Option Schemes	✓	There is no Employee Share Option Scheme, or Purchase Scheme
XV	Disclosures pertaining to Corporate Governance practices in terms of Section 9 of the Listing Rules	✓	Refer page no. 27-29
XVI	Related party transactions exceeding 10 % of the equity or 5 % of the total assets of the Entity as per audited financial statements, whichever is lower	✓	Refer page no. 78-79

Statement of Compliance under Section 7.10 of the Listing Rules of the CSE on Corporate Governance

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
7.10.1	Non-Executive Directors (NED)		
a/b/c	At least 2 members or 1/3 of the Board, whichever is higher should be NEDs	✓	Three out of Five Board members are NEDs
7.10.2	Independent Directors		
a	2 or 1/3 of NEDs, whichever is higher shall be "independent"	✓	All NED are independent
b	Each NED to submit a signed and dated declaration of his/her independence or non-independence	✓	NEDs have submitted signed confirmation of their independence.
7.10.5	Remuneration Committee (RC)		
a.1	Remuneration Committee shall comprise of NEDs, a majority of whom will be independent	✓	Refer page no. 36
7.10.6	Audit Committee (AC)		
a.1	Audit Committee (AC) shall comprise of NEDs, a majority of whom should be independent	✓	Refer page no. 35
a.2	A NED shall be the Chairman of the committee	✓	Refer page no. 35
a.3	CEO and CFO should attend AC meetings	✓	Refer page no. 35
a.4	The Chairman of the AC or one member should be a member of a recognized professional accounting body	✓	Refer page no. 21 & 35
b	Functions of the AC	✓	Refer page no. 35
b.1	Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements in accordance with Sri Lanka Accounting Standards.	✓	Refer page no. 35
b.2	Overseeing the compliance with financial reporting requirements, information requirements as per laws and regulations	✓	Refer page no. 35
b.3	Overseeing the process to ensure the internal and risk management controls, are adequate, to meet the requirements of the Sri Lanka Auditing Standards.	✓	Refer page no. 35
b.4	Assessment of the independence and performance of the Entity's External Auditors	✓	Refer page no. 35
b.5	Make recommendations to the Board pertaining to External Auditors	✓	Refer page no. 35
c.1	Names of the Audit Committee members shall be disclosed	✓	Refer page no. 35
c.2	Audit Committee shall make a determination of the independence of the External Auditors	✓	Refer page no. 35
c.3	Report on the manner in which Audit Committee carried out its functions.	✓	Refer page no. 35

Statement of Compliance under Section 9 of the Revised Listing Rules of the Colombo Stock Exchange (CSE) on Corporate Governance, effective as at 1st April 2024

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
9.1	Corporate Governance Rules		
9.1.3	A statement confirming compliance with Corporate Governance Rules	✓	Refer page no. 22
9.3	Board Committees		
9.3.1 b/c/d	Minimum required Board Committees	✓	Refer page no. 24
9.3.2	Compliance with the composition, responsibilities and disclosures required in respect of the Board Committees	✓	Refer page no 35 - 37
9.4	Meeting procedures and the conduct of all General Meetings with shareholders		
9.4.1	Records of all resolutions and the following information upon a resolution being considered at any General Meeting shall be maintained	✓	The Secretaries to the Company maintains all records and information regarding resolutions considered at General Meetings.
9.4.2 a/b/c	Communication and relations with shareholders and investors	✓	The Company publishes all corporate disclosures, announcements and financial statements via CSE web. Shareholders can communicate with the directors at the AGM and via post.
9.6	Chairperson and CEO		
9.6.1	Requirement for a SID if the positions of Chairperson and CEO are held by the same individual	✓	The Chairperson and CEO are held by two different individuals.
9.6.2	Market announcement on the rationale behind the appointment of a SID	✓	Refer page no 22
9.6.3 a-d	Requirement for a SID	✓	Refer page no 22
9.6.3 e	SID shall make a signed explanatory disclosure demonstrating the effectiveness of their duties	✓	Refer page no 22 -23
9.6.4	Rationale for the appointment of a SID set out in the Annual Report	✓	Refer page no 22
9.7	Fitness of Directors and CEO		
9.7.1- 9.7.5	Requirement to meet the fit and proper criteria stipulated by the CSE and related disclosures	✓	Directors have submitted general disclosure and declaration.
9.8	Board Composition		
9.8.3 i - viii	Requirements for meeting the criteria to be an ID	✓	The Chairperson and the Board evaluate the independence of each Director.
9.8.5 a/b/c	The Board shall annually determine the independence of IDs and name of the Directors who are determined to be 'independent'	✓	The Chairperson and the Board evaluate the independence of each Director.

Statement of Compliance under Section 9 of the Revised Listing Rules of the Colombo Stock Exchange (CSE) on Corporate Governance, effective as at 1st April 2024

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
9.9	Alternate Directors		
9.9 a-e	Appointment of Alternate Directors to be in accordance with the Rules and such requirements to be incorporated into the Articles of Association	✓	No Alternate Directors appointed
9.10	Disclosures relating to Directors		
9.10.2/ 9.10.3	Market announcement upon the appointment of a new director and any changes to the Board composition	✓	Market announcement were made through the CSE
9.10.4 a-i	Details in relation to the Board members	✓	Refer page no 19-21
9.12	Remuneration Committee		
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on EDs and individual Directors	✓	Refer page no 36
9.12.4	Remuneration for NEDs shall be based on a policy of non-discriminatory pay practices to ensure the independence	✓	The Chairperson and the Board decides the remuneration for NEDs
9.12.5	The Remuneration Committee shall have written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings	✓	Refer page no 36
9.12.6 (2)	Where the parent company and the subsidiary are Listed Entities, the Remuneration Committee of the parent company may function as the Remuneration Committee of the subsidiary	✓	The Company has established an independent committee
9.12.6 (3)	An ID shall be appointed as the Chairperson of the Remuneration Committee	✓	Refer page no 36
9.12.7	Functions	✓	Refer page no 36
9.12.8 a	Names of Remuneration Committee Chairperson and members	✓	Refer page no 36
9.12.8 b	Statement of Remuneration policy	✓	Refer page no 36
9.12.8 c	Aggregate remuneration paid to EDs and NEDs	✓	Refer page no 65 & 80
9.13	Audit Committee		
9.13.2	The Audit Committee shall have written terms of reference clearly defining its scope, authority and duties	✓	Refer page no 35
9.14	Related Party Transactions Review Committee		
9.14.2 (1)	Related Party Transactions Review Committee shall comprise of a minimum of 3 members, majority of whom should be IDs and an ID shall be appointed as the Chairperson	✓	Refer page no 37
9.14.2 (2)	Where the parent company and the subsidiary are Listed Entities, the Related Party Transactions Review Committee of the parent company may function as the Related Party Transactions Review Committee of the subsidiary	✓	The Company has established an independent committee
9.14.3	Functions	✓	Refer page no 37
9.14.4	General Requirements	✓	Refer page no 37
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	✓	Refer page no 37

Statement of Compliance under Section 9 of the Revised Listing Rules of the Colombo Stock Exchange (CSE) on Corporate Governance, effective as at 1st April 2024

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
9.14.6	Shareholder Approval	✓	There were no transactions during the year 2023/2024 require shareholder approval
9.14.8 (1)	Details pertaining to Non-Recurrent Related Party Transactions	✓	Refer page no 78 - 79
9.14.8 (2)	Details pertaining to Recurrent Related Party Transactions	✓	Refer page no 78 - 79
9.14.8 (3)	Report of the Related Party Transactions Review Committee	✓	Refer page no 37
9.14.8 (4)	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions, or a negative statement otherwise	✓	Refer page no 44
9.14.9 (1)/(2)	Shareholder approval for acquisition and disposal of substantial assets	✓	There were no acquisition or disposal of substantial assets during the year 2023/2024 require shareholder approval.
9.14.9 (4)/ (5)/ (6)	Competent independent advice on acquisition and disposal of substantial asset	✓	There were no acquisition or disposal of substantial assets during the year 2023/24 require competent independent advice.
9.16	Additional Disclosures		
(i)	Directors have disclosed all material interests in contracts and have refrained from voting when materially involved	✓	Refer page no 43
(ii)	Directors have conducted a review of the internal controls and obtained reasonable assurance of their effectiveness and adherence	✓	Refer page no 44
(iii)	Directors are aware of laws, rules and regulations and their changes particularly to Listing Rules and applicable capital market provisions	✓	Refer page no 45
(iv)	Disclosure of material non-compliance with laws and regulations and fines imposed by relevant authorities where the entity operates	✓	During the year under review, there were no material fines Incurred.

Statement of Compliance pertaining to the Companies Act No. 7 of 2007

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
168 (1) (a)	The nature of the business together with any change thereof	✓	Refer 1.2 item on page no. 54
168 (1) (b)	Signed financial statements of the Group and the Company	✓	Refer page no. 50-85
168 (1) (c)	Auditors' Report on financial statements	✓	Refer page no. 46-49
168 (1) (d)	Accounting policies and any changes therein	✓	Refer page no. 54-63
168 (1) (e)	Particulars of the entries made in the Interests Register	✓	Refer page no. 43
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company	✓	Refer note 8 on page no. 65
168 (1) (g)	Corporate donations made by the Company	✓	Refer note 8 on page no. 65
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during, and at the end of the accounting period	✓	Refer page no. 44
168 (1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	✓	Refer note 8 on page no. 65
168 (1) (j)	Auditors' relationship or any interest with the Company and its Subsidiaries	✓	Refer page no. 35
168 (1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	✓	Refer page no. 51

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
A.1	An effective Board should direct, lead and control the Company	✓	Refer page no 19-21
A.1.1	Regular Board meetings, provide information to the Board on a structured and regular basis	✓	Board meetings on quarterly basis and refer page no 23 for attendance
A.1.2	Role and Responsibilities of the Board	✓	Refer page no 23
A.1.3	Act in accordance with laws of the country. Independent professional advice	✓	Refer page no 22
A.1.5	Independent judgement	✓	Each Director brings independent judgment to bear on issues that are discussed at the Board and by having meetings of the Board equal opportunity is available for Directors to express their views independently.
A.1.6	Dedicate adequate time and effort to matters of the Board and the Company	✓	Four (04) Board meetings were held. All Non-Executive Directors have attended a majority of the meetings and have devoted their time adequately and refer page no 23 for Director participation levels at meeting.
A.1.7	Calls for resolutions by at least 1/3rd of Directors	✓	Any Director can call for a resolution to be presented to the Board if deemed necessary.
A.1.8	Board induction and Training	✓	The Directors are given the opportunity to have sufficient exposure, expertise in their relevant areas to fulfil their duties and responsibilities owing to the Board.
A.2	Chairman and CEO	✓	Refer page no 23
A.3	Chairman's role in preserving good corporate governance	✓	Refer page no 23
A.4	Availability of financial acumen	✓	Refer page no 23
A.5	Board balance		
A.5.1	The Board should include sufficient number of NEDs	✓	Three (03) NEDs out of five (05)
A.5.2	If the Board includes only 3 NEDs, they should be independent	✓	All NED are independent
A.5.3	Independence of Directors	✓	All NEDs are independent in terms of the criteria defined by CSE Listing Rules 9.8.3 on Corporate Governance, fulfill the minimum guidance prescribed by the code.
A.5.4	Annual declaration of independence by Directors	✓	Each NED of the company has made written submissions as to their independence as per Schedule J of the code.

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
A.5.5	Annual determination of independence of NEDs	✓	Based on the written submissions made by the following NEDs as per code, the Board deems the said Directors "Independent" as at 31 st March 2024. • Mr. Kumar De Silva • Mr. Dinal Phillips • Mr. R. Selvaskandan
A.5.6	Alternate Directors	✓	Not applicable as no Alternate Director was appointed during 2023/2024
A.5.7	Senior Independent Non-Executive Director	✓	Refer page no 22 - 23
A.5.8	Confidential discussion with the Senior Independent Non-Executive Director	✓	Refer page no 22 - 23
A.5.9	Annual meeting with NEDs	✓	No meeting of Non-Executive Directors was held during the period.
A.5.10	Recording of dissent in minutes.	✓	Company Secretary records any concerns raised by the Directors during the year in Board minutes with sufficient details.
A.6	Supply of Information.	✓	Agenda together with high-quality information is circulated seven days prior to the Board meeting to discharge the Board obligations effectively as a practice.
A.6.1	Management's obligation to provide appropriate and timely information	✓	Board receives adequate information from the Management in a timely manner. The Board receives regular reports and presentations on strategies and developments in relation to its business lines and performance.
A.6.2	Adequate time for effective Board meetings	✓	Executive Directors constantly brief the Board on the functional areas of Revenue, Finance and Recoveries that they oversee. The Board deals with the Managing Director or the heads of those respective departments, on other functional matters, when necessary.
A.7	Appointments to the Board and Re-election	✓	Although the formal Nomination committee is not formed by the Board, new appointments are decided based on the consent of the Chairperson and the Board of Directors, and the final decision is made by the Board.
A.7.1	Establishing a Nomination Committee, Chairman and Terms of Reference	✓	All new appointments to the Board are considered and recommended by the Board as a whole in an objective and transparent manner
A.7.2	Annual assessment of Board composition	✓	Board as a whole carried out an annual assessment of the Board's Composition to assess the level of skills, experience, qualifications, and knowledge of the Board members to address the growing strategic needs of the Company.
A.7.3	Disclosures on appointment of new directors	✓	All new Board appointments as it happens are communicated to shareholders via the Colombo Stock Exchange.
A.9	Appraisal of Board and Sub-Committee Performances	✓	The performance of the Board and sub-committee is reviewed and evaluated by the Board and Chairperson on self-appraisal basis.
A.9.1-3	Appraisal of Board Performance	✓	As explained in principle A.9 above.
A.10	Annual Report to disclose specified information regarding Directors.	✓	Information pertaining to all Directors is made available to the shareholders through the Annual Report.
A.10.1	Disclosure of information in respect of Directors	✓	Refer page no 19 - 21
A.11	Appraisal of the CEO	✓	The Board of Directors should at least annually assess the performance of the CEO.
A.11.1	Target/Goals for the CEO	✓	CEO is entrusted by the Board to conduct day to day operations effectively to attain broad strategic targets/ goals.
A.11.2	Evaluation of the performance of the CEO	✓	The performance of the CEO is evaluated in relation to the achievement of business targets.

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
B.	Directors Remuneration		
B.1	Remuneration Procedure	✓	No Director is involved in deciding his or her own remuneration package.
B.1.1	Remuneration Committee	✓	Refer page no 36
B.1.2/1.3	Composition of the Remuneration Committee	✓	Refer page no 36
B.1.4	Remuneration of Non-Executive Directors	✓	The Board has the authority on deciding the Non-Executive Directors' remuneration packages which is a collective decision. The Non-Executive Directors are paid a fee for attending Board or other Committee meetings or carrying out other Non-Executive duties based on responsibilities assigned.
B.1.5	Consultation of the Chairperson and access to professional advice	✓	When deciding on remuneration of Executive Directors, the Committee also obtains advice from the Managing Director as necessary.
B.2	Level and make-up of Remuneration	✓	Refer page no 36
B.2.1	Level and make-up of the remuneration of the Executive Directors	✓	The Remuneration Committee assesses the sufficiency of remuneration of Executive Directors to ensure a strategy of retention. Executive Directors including performance is evaluated annually and suitable remuneration levels are decided by the Committee.
B.2.2	Comparison of remuneration with other Companies	✓	Refer page no 36
B.2.3	Comparison of remuneration with other Companies in the Group	✓	Executive Directors represent other companies within the group.
B.2.4	Performance-related payments to the CEO	✓	Please refer principal B.2 and Code B.2.1 above.
B.2.5	Executive share options	✓	There was no executive share options scheme offered to any Director during 2023/2024.
B.2.6	Deciding the Executive Directors' Remuneration	✓	Please see comments given in Principle B.2 for details on Executive Director Remuneration.
B.2.7	Performance Related Remuneration to Directors	✓	Not applicable to the Board.
B.2.8	Early termination not included in the initial contract	✓	In an event of early termination of a director, remuneration will be concluded based on the scenario.
B.2.9	Remuneration of Non-Executive Directors	✓	Non-Executive Directors are paid a fee for their services as mentioned in Code B.1.4.
B.3	Disclosure of Remuneration	✓	The Remuneration Committee operates within agreed terms of reference and is committed to the principles of accountability and transparency
B.3.1	Disclosure of Remuneration	✓	Refer note no 08 on page no 65 & note no 31 on page no 80
C.	Relations with Shareholders		
C.1	Constructive use of the AGM and Other General Meetings.	✓	AGM will be held on 25 th September 2024 and all shareholders are encouraged to participate at the AGM
C.1.1	Use of proxy votes	✓	Proxy forms are made available in the Annual report that is released with adequate prior notice to all shareholders in accordance with Companies Act.
C.1.2	Separate resolution for all separate issues	✓	Company passed separate resolutions for the adoption of the "Report of the Directors" and "Statement of Financial report and the Report of the Auditors" included in the Annual Report.
C.1.3	Availability of all Board Sub-Committee Chairmen at the Annual General meeting	✓	All Board members which include Chairmen of all the Board Sub-committees, namely, Audit Committee, Remuneration Committee, and Related Party Transactions Review Committee are presented at the AGM to answer any questions coming under the purview of their Committee.
C.1.4	Adequate notice of the Annual General Meeting	✓	For the previous financial period, the Annual report of FY2022/23 was submitted to the CSE on 31 st August 2023. AGM was held on 22 nd September 2023.

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
C.1.5	Procedures of voting at General Meetings	✓	Voting procedures at the General Meetings are circulated to the shareholders.
C.2	Communication with shareholders	✓	Extensive financial and non-financial information of Company's activities are provided to shareholders through the Annual Report and the Interim Reports published on a quarterly basis.
C.2.1	Channel to reach all shareholders of the Company	✓	Formal communications with the shareholders are conducted through Notices to shareholders, Annual Report, Quarterly Financial Statements, and general meetings of shareholders. All the financial information such as Annual Reports, Interim Reports are made available to shareholders via CSE website.
C.2.2	Policy and methodology for communication with shareholders	✓	The Communication Policy is implemented through Publish of corporate disclosures, announcements and publications at CSE web site and AGM.
C.2.3	Implementation of the policy and methodology for communication with shareholders	✓	Please Refer Code – C.2.2 above.
C.2.4 / 2.6	Contact person in relation to shareholders' matters	✓	As per the general practice of the Company, main point of contact for the shareholders for their concerns and clarification is the Board of Directors.
C.2.5	Process to make all Directors aware of major issues and concerns of shareholders	✓	Material issues and concerns of the shareholders are communicated to the Board by company management and Executive Directors via quarterly meetings, emails or phone.
C.2.7	The process of responding to shareholder matters	✓	According to the Company "Communication Policy", all shareholder-related material matters are handled promptly and attentively by the Board upon being informed
C.3	Major and Material Transactions	✓	The Board has established a process to capture and disclose any material transactions proposed that would alter or vary the net asset position of Company either through its audited financial statements or in interim publication or by making announcement to the Colombo Stock Exchange.
C.3.1	Major transactions	✓	Refer note no 30 on page no 78 - 79
D.	Accountability and Audit		
D.1	Financial Reporting	✓	The Board should present a balanced and understandable assessment of the Company's financial position, performance and prospects.
D1.1	Statutory and Regulatory Reporting	✓	The Company has reported a true and fair view of its financial position and performance for the year ended 31 st March 2024 and at the end of each quarter of 2023/24 financial year. The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No. 7 of 2007, Sri Lanka Accounting Standards (LKASs and SLFRSs) and the Rules of the Colombo Stock Exchange.
D.1.2	Directors' Report in the Annual Report	✓	Refer page no 42 - 44
D.1.3	Statement of Directors' and Auditors' responsibility for the Financial Statements	✓	Refer page no 45 & 46 - 49
D.1.4	Management Discussions and Analysis	✓	Refer page no 06 - 18
D.1.5	Declaration by the Board that the business as a Going Concern	✓	Refer page no 44
D.1.6	Summoning an Extra Ordinary General Meeting (EGM) to notify serious loss of capital	✓	A situation of a serious loss of capital is unlikely to arise
D.1.7	Related party transactions	✓	Refer note no 30 on page no 78 - 79
D2	Internal Control	✓	Refer page no 35 & 38 - 41
D.2.1	Annual evaluation of the risks facing the Company and the effectiveness of the system of internal controls	✓	Refer page no 35 & 38 - 41

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
D.2.2	Internal audit function	✓	Group Internal Audit division which is centrally located provides independent and objective assurance with respect to the adequacy of the design and operating effectiveness of internal controls and governance process across the Company.
D.2.3	Review of the process and effectiveness of risk management and internal controls by the Audit Committee	✓	Refer page no 35
D.2.4	Responsibilities of Directors in maintaining a sound system of internal control	✓	Refer page no 44
D.3	Audit Committee.	✓	Refer page no 35
D.3.1	Composition of the Audit Committee	✓	Refer page no 35
D.3.2	Review of Objectivity of the External Auditor	✓	Refer page no 35
D.3.3	Terms of Reference of the Audit Committee	✓	Refer page no 35
D.3.4	Disclosures of the Audit Committee	✓	Refer page no 35
D.4	Related Party Transactions Review Committee		
D.4.1	Definition of Related Parties & Related Party Transactions	✓	Refer page no 37
D.4.2	Composition	✓	Refer page no 37
D.4.3	Terms of Reference with Authority and Duties	✓	Refer page no 37
D.5	Code of Business Conduct and Ethics		
D.5.1/5.2/5.3	Code of Business Conduct and Ethics	✓	High standards in business conduct and ethics are an integral part of Abans Group' culture. In keeping with Group's practised value system, an organization-wide human resource policy document is in place which defines clear HR policies and procedures to the employee. The Group HR has devised a formal document incorporating human resource procedures including aspects on employee conduct.
D.5.4	Affirmation by the Chairperson that there is no violation of the Code of Conduct and Ethics	✓	The Chairperson's affirmation that she is not aware of any violations to requirements of the company on specified business conduct and ethics is given in the "Chairperson's Statement.
D.6	Corporate Governance Disclosures	✓	The Board of Directors upholds adopting sound corporate governance practices while improving the overall governance year on year.
D.6.1	Disclosure of Corporate Governance	✓	Refer page no 22 - 34
E.	Institutional Investors		
E.1	Shareholders' voting	✓	Institutional shareholders are required to make considered use of their votes and are encouraged to ensure their voting intentions are translated into practice.
E.1.1	Institutional shareholders	✓	The Company has the ordinary share listing status in Colombo Stock Exchange, Main Board since 1983.
E.2	Evaluation of Corporate Governance initiatives	✓	Matters relating to governance are communicated effectively to all shareholders via the Annual Report and through AGM. Views and other material matter of shareholders are subsequently taken up at Board meetings as necessary.
F.	Other Investors		
F.1	Investing/Divesting decision		
F.1.1	Individual shareholders	✓	Individual shareholders are encouraged to carry out adequate analysis and seek independent advice prior to making investments or divestments directly in shares of the Company.
F.2	Individual shareholders voting	✓	Individual shareholders are encouraged to participate in the Annual General Meeting and to exercise their voting rights.

CA Sri Lanka issued a revised Code of Best Practice on Corporate Governance in December 2023, effective from 1st April 2024. The Company has presented its compliance in line with the 2017 Code of Best Practice on Corporate Governance, The Company has reviewed the 2023 Code for further adoption, as applicable, and relevant to the Company.

As a key component of good governance, an Audit Committee has been established by charter in order to assist the Board with regards to oversight in the areas of internal and external audit, internal controls and financial reporting.

Roles and Responsibilities

The role of the Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the Financial Statements, the Internal Control and Risk Management, Compliance with Legal and Regulatory Requirements, the External Auditor's Performance, Qualifications, Independence, and the adequacy in performance of the Internal Audit function undertaken by the Group Internal Audit Department. The Audit Committee has been established through a charter which defines its scope of authority, functions and responsibilities.

Scope of the Committee includes:

- Ensure quality, transparency, integrity, accuracy, compliance with accounting standards and laws and regulations by reviewing quarterly and annual financial statements.
- Overlooking the internal controls framework and effectiveness of established internal control procedures.
- Supporting risk management by reviewing the risk management system.
- Overlooking internal audits by reviewing the adequacy and effectiveness of internal audit arrangements.
- Overlooking external audits by recommending the appointment, re-appointment and removal of the External Auditors.
- Providing oversight of financial reporting and assurance on the financial statements.

Composition

As stipulated by the Colombo Stock Exchange Listing Rules, the Audit Committee consisted of two (02) Independent Non-Executive Directors.

- Mr. Kumar De Silva (Chairman)
- Mr. D.M.R. Phillips

Mr. R. Selvaskandan, Senior Independent Non-Executive Director was appointed to the Committee on 25th July 2024

Brief profiles of the members of the Committee are given on pages 19 to 21 of the Annual Report.

M/S Varners International (Pvt) Ltd served as the Secretary to the Audit Committee.

All Non-Executive Directors satisfy the criteria of Independence as specified within the Listing Rules of the Colombo Stock Exchange (CSE) and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

Meetings

During the current financial year, the Committee met four (04) times. The attendance of the members at these meetings were as follows.

- Mr. Kumar De Silva 4/4
- Mr. D M R Phillips 4/4

When required the Committee requests the attendance of other Directors, Senior Managers, and the External Auditors, to assist in its deliberations.

Reporting of Financial Statements

The Audit Committee reviewed the Company's quarterly and annual financial statements with other Directors, management and the internal auditors, prior to publication, to ensure compliance with the Sri Lanka Accounting Standards and other mandatory, statutory and regulatory requirements, including the appropriateness and changes in accounting policies and material judgmental matters.

The Board was kept informed of the Committee's activities every quarter, through verbal briefings, and meeting minutes.

Reporting on Risk and Controls

A Risk-Based Audit methodology has been adopted to assess the effectiveness of internal control procedures to manage significant risks faced by the Company, and the Committee provided regular oversight for this process.

Reporting on Internal Audits, Risk and Controls

Four (04) Internal Audits were conducted during the year and the Committee monitored and reviewed the efficiency, and effectiveness of the Internal Audit process by liaising with the Group Chief Internal Auditor, monitoring audit activities, assessing resource requirements of the Internal Audit Department and by advising Senior Management on precautionary

measures with regards to significant audit findings.

The Committee ensured that higher risk operations were audited more frequently and reviewed the significant findings and recommendations which were prioritized based on the level of risk.

Recommendations made by Internal Audit were noted and taken up with the Senior Management and Internal Audit Reports were made available to External Auditors.

Reporting on External Audits

The Committee assisted the Board by recommending the appointment of the External Auditor and the audit fee and by communicating the recommendations of the Auditor. The independence of the External Auditor and the effectiveness of the audit process was reviewed, as well as non-audit services provided by the auditors. The External Auditors were requested to explain their audit approach and procedure, including matters relating to the scope of the audit and the auditor's independence. The audited Financial Statements were discussed with the External Auditor, and to ensure independence, the External Auditors were consulted without management, prior to finalizing the Financial Statements to obtain an independent opinion. The Committee has recommended to the Board that Messrs. Ernst and Young, Chartered Accountants, be reappointed for the financial year ending 31st March 2025, subject to the approval of the shareholders at the next Annual General Meeting.

Conclusion

The Audit Committee discharged its responsibilities diligently during the year through continuous monitoring and guidance of the Company's financial health. Through its continuous supervision, the Committee concluded that the Company's financial reporting, internal controls and status of compliance, were adequate.

The Committee received the full support of the Board, management and auditors in the execution of its responsibilities and I would like to thank the Committee and all others who supported the Committee in discharging its duties.



Kumar De Silva
Chairman - Audit Committee
30th August 2024

Abans Electricals has a Remuneration Committee, established under a Charter and defining the scope and objectives of the Committee, for the specific purpose of providing all relevant assistance for the Board with regards to formulating remuneration within the Company. The Committee is authorized to recommend to the Board a competitive remuneration and reward structure for the organization, which incorporates performance-based incentives.

Key Objectives

- While no remuneration is paid to the Non-Executive Directors other than the Directors fees paid for participation at Board meetings, the Committee is tasked with making informed recommendations to the Board for other key positions, within the guidelines of the Board of Directors and the Abans Group's Compensation and Benefits Policy, by reviewing market comparators for similar positions.
- A key intention of the Committee is to maintain a strategic remuneration structure by regularly reviewing the existing remuneration packages in order to attract, retain and motivate suitably qualified Executive Directors and Key Management Personnel who are essential to develop and execute Company strategies.
- Remuneration packages for staff is structured according to different job profiles and is made up of the base salary, benefits and fixed allowances (which is considered as guaranteed remuneration), alongside a variable pay scheme. The Company's variable pay schemes have been designed to promote a performance based culture aligned with business goals of corporate governance. In this system, every member of staff is informed of key result areas that will be judged, along with an objective performance evaluation system.

Remuneration Policy

The Remuneration Policy of the Company is a key strategic business policy as it guides the Company in developing an effective and competitive remuneration structure for the Company. It enables the Company to attract and retain employees critical for strategy execution and to maintain a high performing culture. The Remuneration Policy also encourages an innovation mindset by motivating and rewarding high performance and innovation, while developing employee skills and enabling career progress.

Composition

The Remuneration Committee consisted of two (02) Independent Non-Executive Directors appointed by the Board of Directors.

- Mr. Kumar De Silva (Chairman)
- Mr. D.M.R. Phillips

Mr. R. Selvaskandan, Senior Independent Non-Executive Director was appointed to the Committee on 25th July 2024.

Meetings

During the year under review, three (03) meetings were held by the Committee.

The attendance at the Remuneration Committee meetings, is given below.

- | | |
|----------------------|-----|
| • Mr. Kumar De Silva | 3/3 |
| • Mr. D M R Phillips | 3/3 |

M/S Varners International (Pvt) Ltd served as the Secretary to the Committee.

Conclusion

The Committee considered the prevailing economic conditions, market demand trends and employee aspirations in its deliberations with regards to making recommendations on remuneration during the current financial year. The Committee concluded that the Company's human resource policies will have reflect market trends and recommended expansion of technologies for human resource management. However, the Committee is satisfied with the Company's current improvements to recruitment, appraisal and remuneration policies and procedures.



Kumar De Silva
Chairman - Remuneration Committee
30th August 2024

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

As stipulated by the Securities and Exchange Commission (SEC) of Sri Lanka and the Colombo Stock Exchange (CSE), with regards to oversight of related party transactions, Abans Electricals PLC has in place a Related Party Transactions Review Committee. The Committee exercises oversight, on behalf of the Board, on the Company's compliance with the Code on Related Party Transactions, of the SEC, and the Listing Rules of CSE. The Committee has also adopted best practices as recommended by the Institute of Chartered Accountants of Sri Lanka in the function of the Committee.

Policies and Procedures

A Related Party Transactions Policy has been developed by the Company in order to provide guidance and to facilitate the proper functioning of the Related Party Transactions Committee. The Company has also identified categories of persons/entities considered to be "Related Parties."

Scope of the Committee

The scope of the Related Party Transactions Committee has been clearly defined in accordance with the directions of the SEC and the CSE. The Committee is tasked with reviewing any related party transactions and their compliance and communicating its findings to the Board. Therefore, the scope of the Committee extends to:

- Ensuring compliance by managing relationships with related parties
- Approving and reviewing related party transactions, except those expressly exempted by the Rules
- Making determinations on whether specific related party transactions require Board approval, or shareholder approval
- In the case of recurrent related party transactions, establishing guidelines for senior management to follow
- Ensuring objectivity of assessments by ensuring that a Director who is a related party of a transaction, does not participate in discussions regarding the said

transaction. Such participation of a 'related party' Director is permitted only under the express invitation of the Committee and only to provide information concerning the transaction.

- Ensuring market disclosure and disclosure in the annual report, in a timely and detailed manner.
- Obtaining knowledge, or expertise to assess all aspects of proposed related party transactions where necessary, including obtaining appropriate professional and expert advice from suitably qualified persons.
- Obtaining information, the Committee requires, from Management, employees or external parties with regard to any transaction entered into, with a related party.

Composition

The Committee comprised of three (03) members with two (02) Independent Non-Executive Directors and one (01) Executive Director for the duration of the financial year 2023/2024.

- Mr. D. M. R. Phillips (Chairman)
 - Mr. Kumar De Silva
 - Mr. Behman Pestonjee *
- * Passed Away on 17th June 2023

Mrs. Saroshi Dubash, Managing Director was appointed to the Committee on 24th June 2024.

Meetings

The Committee met four (04) times during the year. The attendance at the meetings is given below.

- Mr. D. M. R. Phillips 4/4
- Mr. Kumar De Silva 4/4
- Mr. Behman Pestonjee 1/1

M/S Varners International (Pvt) Ltd, served as the Secretary to the Committee.

Review of Related Party Transactions

Under the existing arrangement, Abans PLC is the main customer of the Company and therefore, Abans PLC purchased a majority of the products manufactured and assembled by the Company.

The Company also provides repairs maintenance and technical services for household electrical and electronic appliances sold by Abans PLC. Therefore, the recurrent related party transactions were mainly related to the sale of manufactured and assembled items and provision of repairs maintenance and technical services to Abans PLC.

The total sale price offered was based on negotiations between the two Companies. Having reviewed the relevant information, the Committee concluded that related party transactions conducted during the year were recurrent in nature and necessary for the day-to-day operations of the Company and that the related party did not benefit from more favourable terms of trade.

The recommendations and observations of the Committee were communicated to the Board of Directors, every quarter via verbal briefings, in addition to tabling the minutes of the Committee meetings.

Declaration

The Board declaration regarding compliance with the rules pertaining to related party transactions, is published on page 44 of this Annual Report.

I also take this opportunity to thank all members who served in the Committee, for their contributions during the year



D. M. R. Phillips
Chairman - Related Party
Transactions Review Committee
30th August 2024

Overview of Risk Landscape in FY 2023/2024

Against the backdrop of Government and Central Bank policy changes, Abans Electricals' risk environment was subject to continuous changes within the 12 months of the current financial year, compared to the previous financial year. However, as demonstrated by the financial results for the year, the Company has responded effectively to these unavoidable macro market conditions by deploying contingency plans and developing new strategies to mitigate impacts of negative risks, while capitalizing on positive risks by converting these into business opportunities. The Company also continued to improve its risk management system during the year by fine tuning and enhancing its risk monitoring and reporting.

Improvements to Risk Management

During the year, the risk management process was continually reviewed to improve risk management and planning capabilities.

Risk Planning

- Detailed risk mitigation plans were developed that outlined specific actions, responsibilities, timelines, and resources required to address identified risks
- Thorough post-incident reviews were conducted to learn from past experiences and enhance future risk management strategies.

Risk Planning

- Real-time monitoring of key risk indicators (KRIs) was increased to detect emerging risks promptly.
- Senior management and the Board of Directors were regularly updated on risk status and mitigation activities

Feedback

- Feedback mechanisms were established to solicit input from stakeholders, employees, and external parties to improve risk management practices.

Strategic Objectives of Risk Management

The Company has already integrated its risk management system with strategic objectives to ensure the Company is prepared at all times to address existing and potential occurrences that could derail its strategic and operational plans.



Risk Governance

As the final authority of the Company, final responsibility for managing risks lies with the Board of Directors, who are supported by the Audit Committee in ensuring that all significant risks are identified, assessed and managed efficiently and effectively, apart from their responsibilities of monitoring internal controls and engaging with internal and external auditors.

The Board is also responsible for regularly reviewing defined risk functions and enhancing risk management related policies and procedures and is also responsible of defining the risk appetite, setting the risk objectives, approving risk management framework and approving policies for effective risk management.

Risk Management Process



• Risk Identification

Risks are identified by engaging with stakeholders, including significant shareholders, suppliers, employees, government, and others and by continually monitoring economic variables which directly impact demand and supply dynamics.

• Risk Measurement and Prioritization

Risks are assessed and prioritized based on impact and likelihood of occurrence

• Risk Response

Based on risk return dynamics, we respond to risks by either accepting, avoiding, or by adopting necessary actions for mitigation.

• Risk Reporting

Ongoing reports are communicated to the Board and Audit Committee

Culture and Controls

To build a risk ownership culture and establish risk controls at individual level, regular staff training and awareness programmes are conducted. Risk identification and communication is encouraged by all grades of staff and is not limited to the Board and management cadre.

The main risks applicable to the Company during the 12 months under review, and the Company's responses are detailed in page no. 39 to 41.

Economic & Business Risk		
Potential Impact	Risk Mitigation	Risk Ranking
Changes to national policies and regulations on local manufacturing, import of non-essential goods and exchange rate.	Continuous dialogues and negotiations were maintained with key government institutions, various industry associations and trade chambers.	FY2023/24 High
The easing of import restrictions on consumer durable products and revision of import duty structure were favourable towards imports negatively impact on local manufacturing.	Contingency plans were developed to respond swiftly to regulatory changes, including alternative sourcing, emergency response protocols, and crisis management strategies.	FY2022/23 High
In addition, the solar business became VAT liable from 1 st January 2024	Insurance coverage, or contractual arrangements to transfer certain risks associated with regulatory changes.	
Increase in VAT from 15% to 18% w.e.f. 1 st January 2024	- Building supply chains under favourable terms to face frequently changing national and import regulations. - Continuously reviewed the price impact of imported goods which are direct substitutes for locally manufactured products.	
Diminishing purchasing power of consumers due to increased indirect taxes and increased prices, impacted profitability and market share.	- Setting prices to balance risks and rewards. - Negotiating with suppliers to reduce purchase costs and for more favourable purchasing terms.	FY2023/24 High
	Implementing cost reduction initiatives throughout the value chain.	FY2022/23 High
The political and macroeconomic landscape stabilized significantly compared to the previous year, creating a conducive environment for business. However, consumer disposable incomes declined due to price increases of essential goods, utility services and upward revision of taxes.	- Macro-economic changes were closely monitored, and business strategies were adapted to respond to external developments. - The Board and the Senior Management Team regularly reviewed the impact of economic conditions on the Company's strategic plans.	FY2023/24 High FY2022/23 High
Market Risk		
Potential Impact	Risk Mitigation	Risk Ranking
Market competition		
The high degree of competition impacted market share and financial performance of the Company. The demand for solar power related, and locally manufactured products continued to emerge, indicating prospective market opportunities. However, delays in meeting customer demand will have a negative impact.	- Increasing digital marketing to improve visibility. - Deploying new pricing strategies and revising the existing prices based on market conditions.	FY2023/24 Medium FY2022/23 Medium
Reputational risk		
Uncontrollable events, or negative public perception can damage the Company's reputation, including unavailability and quality concerns regarding products, and delays in service delivery.	- Regular customer feedback was obtained to monitor customer satisfaction levels. - Operational teams responded promptly and acted on complaints and suggestions. - Complied with statutory and environmental regulations and quality standards (ISO 9001: 2008). - Continuous training, quality management and assurance programmes were conducted to improve product quality.	FY2023/24 High FY2022/23 High

Financial Risk		
Potential Impact	Risk Mitigation	Risk Ranking
Currency risk		
Foreign currency appreciation, or depreciation impacts the cost of imports of the Company, which finally impacts to the cost of production.	- Exchange rate fluctuations were taken into consideration in costing and pricing. - Monitor exchange rate movements and forecast exchange rates, to place import purchase orders and negotiate settlement terms. - Utilize exchange rate dips to maintain minimal stock levels and place new orders.	FY2023/24 Medium
Sri Lanka's foreign exchange risk remained high due to its political uncertainties, reliance on external support, and the ongoing economic recovery challenges.		FY2022/23 High
The Sri Lankan rupee appreciated rapidly and by a large amount against the US dollar. Liquidity of the market increased due to tourism and worker remittance growth. Approvals of IMF funding arrangements also contributed to the improvement of foreign currency reserves		
Liquidity risk		
Liquidity risk refers to the availability of sufficient funds to meet short and medium-term capital and funding obligations. During the year, increased operating activities generated sufficient cash flow and access to credit also increased, at competitive prices.	- The liquidity position was regularly reviewed and working capital risk was managed effectively. - Negotiated with financial institutions to obtain credit facilities under favourable terms. - Undrawn, committed credit facilities were maintained to meet short, medium and long-term funding requirements, and any unforeseen commitments.	FY2023/24 Medium
		FY2022/23 High
Credit risk/Repayment delays		
The risk that a counterparty will not meet its obligations, leading to a financial loss. Abans PLC is the main client of the Company, while the balance are corporate clients, government and individual customers. Increased sales volumes expanded the customer base.	- Regularly monitored debt follow up and collection process, and necessary action was initiated against long outstanding debtors. - Regular reviews and monitoring of creditworthiness and debtor age. - Implemented contractual agreements with customers whenever necessary and significant payments were secured through bank guarantees and letters of credit. - Company credit policy was shortened and tightened, and credit terms were allowed only for selected customers.	FY2023/24 Medium
		FY2022/23 Medium
Interest rate risk		
Changes in interest rates can increase, or decrease the cost of borrowing. During the year, market interest rates declined.	- Renegotiated with lenders to revise interest rates. - Closely monitored the treasury management function to optimize and reduce borrowing costs. - Maintained a strong relationship with lenders and leveraged the strength of the Abans Group to negotiate favourable terms of credit.	FY2023/24 Medium
		FY2022/23 High

Operational Risk Potential Impact	Risk Mitigation	Risk Ranking
Supply chain risk		
The Company engages with a large pool of international and local suppliers and failure of such key suppliers and service providers could interrupt business operations. Potential losses could arise from supply disruptions, or delays in procurement or due to poor quality of materials.	Advanced purchase orders were placed to secure adequate stocks.	FY2023/24 Medium
	- Procurement and distribution plans were continually reviewed. - Alternative sourcing avenues were sought. - Strong, long lasting relationships are maintained with both foreign and local suppliers for preferential treatment.	FY2022/23 High
Information technology risk		
As the Company increasingly relies on IT systems, any significant system failure will disrupt operations and impede the decision making process. Work-from-home models were continued. Cybersecurity threats and the threat to data security increased due to expansion of digital systems.	IT related policies and procedures for network and information security are available.	FY2023/24 Medium
	- Data bases and critical information were regularly backed up. - Investments were made in advanced cyber security software and infrastructure. - IT infrastructure and information security controls were improved due to increased trends in cyber infiltrations.	FY2022/23 Medium
People related risk		
Failure to retain key staff could result in skill gaps that could prevent achievement of Company targets and objectives. During the year, many employees left the country for foreign employment, which led to a talent deficit. This has had significant implications, both in terms of sourcing suitable talent and retaining key talent at key positions.	All attempts were made to recruit the best people with the right skills.	FY2023/24 Medium
	- A performance base reward system, succession planning and career development programmes have been implemented. - Remuneration packages are periodically evaluated to correspond with industry pay rates. - Procedures are in place to handle grievances and staff complaints. - Employee welfare activities expanded, and financial support was provided when required.	FY2022/23 Medium
Health and safety risk		
Threats to employees' psychological and physical health from adverse socio-economic events and business operations. The socio-economic pressures due to political turmoil and economic distress has deteriorated living standards, reduced savings, increased job insecurity and heightened frustration.	Security facilities for premises were enhanced	FY2023/24 Medium
	- Adequate preliminary level medical facilities are provided, and insurance policies are available for all employees. - Stringent health and safety measures have been implemented across all operations and personal protective equipment are provided. - Conducting awareness programmes on psychological wellbeing.	FY2022/23 High
Environment related risk		
The Company is exposed to risks from losses that arises due to negative environmental impacts from business activities and/ or, non-compliance with environmental regulations. Consumption of plastics, chemicals, rubber, steel, and energy, increased during the year, due to growth in local manufacturing.	Industry best practices and ISO standards have been adopted.	FY2023/24 Medium
	- All premises and processes comply with environmental regulations. - Collaborated regularly with relevant environmental regulatory bodies. - Continued to recycle and reuse damaged and quality rejected plastic components to minimize non-degradable waste. - All waste is disposed through approved organizations. - Have adopted Solar power for renewable energy.	FY2022/23 Medium

The Directors of Abans Electricals PLC extend a warm welcome to all shareholders at the 42nd Annual General Meeting, of the Company and present the annual report of the Board of Directors, and the audited financial statements for the year ended 31st March 2024. In addition, this annual report provides material information pertaining to financial and non-financial resources of the Company as at the end of the year, under the capital chapters. Verifying the accuracy of the information contained herein, this report was approved by the Board of Directors on 30th August 2024.

Principal Activities

Manufacturing, assembling and installation of selected consumer durable products, repair and maintenance services for a range of household electric and electronic appliances and installation of roof top Solar PV Systems, are the main activities of the Company, via two separate divisions described below.

(a) Manufacturing Division

Under the Manufacturing Division, the Company produces a number of consumer durables both under the "Abans" brand name, and in collaboration with internationally recognised brand names. The Division also installs roof top Solar PV Systems and manufactures some plastic components for selected consumer durable products.

(b) Service Division

The Service Division provides installation, repair, maintenance and after sales services of electrical and household appliances sold by the Abans Group.

Review of Business Operations

In addition to the audited financial statements, an extensive description of the Company's operations and performance during the year, are described within this report for the benefit of all stakeholders.

The Company's overall performance is summarized in the Chairperson's Statement. The financial status of the Company as at end March 2024 and the status of the Company's non-financial resources are described in the Management Discussion and Analysis section of this report.

Financial Statements and the Report of the Auditors

The Financial Statements are an integral part of this annual report and are presented from pages 50 to 85 of this annual report.

The Directors hereby confirm that the Company is in full compliance with all applicable laws and regulations and best practices in the preparation and presentation of the Financial Statements.

The Company has complied with the Sri Lanka Accounting Standards (SLFRS/ LKAS) and the Financial Statements have been certified by the two divisional Heads of Finance and approved by two Directors in compliance with the Companies Act. Pages 46 to 49 present the Independent Auditors' Report on the Financial Statements.

		2023/24	2022/23
Revenue	LKR '000	6,123,806	5,246,866
Profit/(Loss) before Tax	LKR '000	569,981	184,857
Tax Saving/(Expense)	LKR '000	(131,261)	(51,338)
Profit/(Loss) after Tax	LKR '000	438,720	133,520
Total Comprehensive Income net of Tax	LKR '000	434,591	124,367
Profit Available for Appropriation	LKR '000	1,611,962	1,180,319
Ordinary Dividend per Share (Paid)	LKR	5.00	5.00

Accounting Policies

All significant accounting policies used in the Financial Statements are mentioned in the Notes to the financial statements. The Accounting Policies adopted by the Company did not change significantly during the current year, compared to the previous financial year.

Dividends

The Directors have recommended a first and final dividend of LKR 10.00 per ordinary share for the financial year ended 31st March 2024.

This recommendation is based on the Board of Directors' review of the finances of the Company under Section 56(2) of the Companies Act No 7 of 2007 and determining that the Company satisfies the solvency test in accordance with Section 57 of the Companies Act No 7 of 2007. Certification have been obtained from the auditors confirming this status.

Capital Expenditure

The total capital expenditure for the financial year 2023/24 was LKR 41,139,874/- Compared to LKR 59,918,092/- in the previous financial year. Please refer Note 12 to the financial statements for all related information and movements

pertaining to this expenditure. There were no further additions to intangible assets during the financial year 2023/2024 (FY 2022/2023 – Nil). All the related information and movements in this regard have been disclosed in Note 15 to the financial statements.

Valuation of Land, Buildings and Investment Properties

All investment properties at Panadura were revalued as at 31st March 2024, and the carrying value amounted to LKR 49.30 Million (2022/2023 LKR 47.00 Million).

In the current financial year, the carrying value of land and buildings was LKR 942.84 Million compared to LKR 1,033.94 Million in the previous financial year. Please refer the table in page no 43 for the valuation of the Company's land, buildings and other properties.

Land Location	No. of Buildings	Perches	Market Value LKR	Revalued Date
Colombo 06	1	39.58	484,000,000	31.03.2023
Ratmalana	3	95.21	244,936,100	31.03.2023
Kandy	1	18.70	92,000,000	31.03.2023
Boralesgamuwa	-	83.10	75,800,000	31.03.2023
Negombo	1	31.10	46,100,000	31.03.2023
Panadura	-	44.90	49,300,000	31.03.2024

Investments

The long-term investments held by the Company as at 31st March 2024, are disclosed in Note 16 to the financial statements.

Stated Capital

The state capital of the Company was unchanged as at 31st March 2024, at LKR 186.7 Million (As at 31st March 2023 LKR 186.7 Million). The movement and composition of the stated capital are disclosed in the Statement of Changes in Equity and in Note 22 to the financial statements.

Revenue Reserves

The retained earnings of the Company was LKR 1,611.96 Mn as at 31st March 2024 compared to LKR 1,180.32 Million as at 31st March 2023. The movement and composition of the revenue reserves are disclosed in the Statement of Changes in Equity.

Share Information

Information regarding shares and the shareholders of the Company as at 31st March, 2024 are given in page no 86 - 87 of the annual report. This includes the composition and distribution of shareholders and the details relating to earnings, dividends, net assets, market value per share and share trading, market capitalisation, public holding percentage and number of public shareholders are given on the same.

Major Shareholders

The names and percentage of shareholdings, of the 20 largest shareholders of the Company, are listed in page no 87 of the annual report.

Equitable Treatment of Shareholders

The equitable treatment of all shareholders has continued to remain a good governance practice of the Company and the Company has at all times ensured this principle in application during the year.

Information Pertaining to the Board of Directors

Brief profiles of the Directors are given in the Board of Directors section of this annual report.

The following persons were the Directors of the Company as at 31st March 2024.

- Mrs. Aban Pestonjee
Chairperson
- Mrs. Saroshi Dubash
Managing Director
- Mr. Kumar De Silva
Independent Non - Executive Director
- Mr. D M R Phillips
Independent Non - Executive Director
- Mr. Rajaratnam Selvaskandan
Senior Independent Non - Executive Director

Mr. Rajaratnam Selvaskandan was appointed as the Senior Independent Director in terms of Section 9.6.3(A)II of Listing Rules of Colombo Stock Exchange on corporate governance with effect from 29th November 2023.

In terms of Article 89 of the Articles of Association of the Company to re-elect Mr. Kumar De Silva, a Director of the Company who retires by rotation. Mr. Kumar De Silva's re-appointment is recommended by the Directors.

A resolution for the re-appointment of Mrs. Aban Pestonjee as a Director who is over 70 years of age will be proposed at the Annual General Meeting in terms of Section 211 of the Companies Act No.07 of 2007. Mrs. Aban Pestonjee's re-appointment is recommended by the Directors. practices including retirement and re-election to the Board and review of the performance of the Board and Board Committees.

Mr. Behman Pestonjee
Passed Away 17th June 2023.

Mr. Jagath Jayasundara
resigned w.e.f. 06th June 2023.

Mr. Athula Siriwardane
resigned w.e.f. 29th February 2024.

Directors' Interests

Directors' interests in contracts of the Company are included in Note 31 to the financial statements.

The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct, or indirect, interest in any other contract, or proposed contract, of the Company.

Directors' and CEO's Shareholdings

Name		Beginning of the Year No. of Shares	End of the Year No. of Shares
Mrs. Aban Pestonjee	Director	293,438	293,438
Mr. Behman Pestonjee*	Director	171,505	171,505
Mrs. Saroshi Dubash**	Director	334,628	334,628
Mr. Athula Siriwardane***	Director	Nil	Nil
Mr. Kumar De Silva	Director	Nil	Nil
Mr. D. M. R. Philips	Director	Nil	Nil
Mr. R. Selvaskandan	Director	Nil	Nil
Mr. Jagath Jayasundara****	CEO	Nil	Nil
* Passed Away on 17 th June 2023		** Appointed w.e.f. 11 th July 2023	
*** Resigned w.e.f. 29 th February 2023		**** Resigned w.e.f. 06 th June 2023	

Directors' Remuneration

Details of the remuneration and other benefits received by the Directors are disclosed in Note 08 and 31 to the financial statements.

Related Party Transactions

The Company has complied with Rule 09 of the Listing Rules of the Colombo Stock Exchange on related party transactions, during the financial year. The Company's transactions with Related Parties are given in Note 30 to the Financial Statements. These transactions are in accordance with the Colombo Stock Exchange Listing Rule 9.14 and the Code of Best Practice on Related Party Transactions, under the Securities and Exchange Commission Directive, issued under Section 13(c) of the Securities and Exchange Commission Act.

Employment

Please refer the Human Capital chapter for details regarding the Company's human resources and human resources policies.

Corporate Governance

The Company has continued to observe good governance practices while maintaining prompt compliance with all applicable laws and regulations. Please refer the Corporate Governance chapter of this report for the governance framework and compliance status.

Board Sub-Committees

The Company has three properly constituted Board Sub-Committees that met regularly during the year. Please refer the Corporate Governance chapter for additional information and for the reports of the Board Sub-committees please refer pages 35 to 37.

Donations

The Company made donations to the value of LKR 62,000.00 during the year, compared to LKR 300,180.00 in the previous year.

Statutory Payments

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

Compliance with Laws and Regulations

To the best of the knowledge and belief of the Directors, the Company has not engaged in any activity, which contravenes laws and regulations of the country.

Risk Management and Internal Control

The Company has continued to review and improve the risk management systems of the Company in order to protect Company assets and achieve business objectives. Please refer the Risk Management Report on pages 38 to 41 for details on the Company's risk management during the year.

Events Subsequent to the Balance Sheet Date

There are no circumstances since the Balance Sheet date, which would require adjustments to, or disclosure in the accounts, other than those disclosed in Note 33 to the financial statements.

Major Transactions

There were no major transactions of material effect, other than those which are disclosed in the annual report.

Going Concern

The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future, to justify adopting the going concern basis in preparing these financial statements.

Independent Auditors

The Board of Directors have resolved to appoint Messrs Ernst & Young, Chartered Accountants as the Auditors of the Company and a resolution proposing their appointment, authorising the Directors to determine the remuneration of the Auditors, will be tabled at the Annual General Meeting, as stipulated under Section 158 of the Companies Act No. 07 of 2007. The Audit Committee is involved in reviewing the appointment of the Auditors, their effectiveness, independence and relationship with the Company, including fees paid to the Auditors.

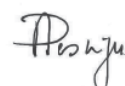
Reports to the Public

All material disclosures have been made in a timely and transparent manner to ensure stakeholders have access to timely and relevant information regarding the Company. These include the quarterly financial statements and annual report, that were published on time, enabling stakeholders and the public to make a fair and informed appraisal of the Company's performance.

Annual General Meeting

We hereby notify that the 42nd Annual General Meeting of Abans Electricals PLC will be held as a virtual meeting on 25th September 2024 at 10.00 am.

This Annual Report is signed for, and on behalf, of the Board of Directors.



Mrs. Aban Pestonjee - Chairperson



Mrs. Saroshi Dubash - Managing Director



Varners International (Private) Ltd.
Company Secretaries

30th August 2024

Statement of Compliance

The Directors of Abans Electricals PLC hereby confirm that they have complied with the requirements listed below during the current financial year.

- Under sections 150 (1), 151, 152 (1) & 153 of the Companies Act No. 7 of 2007, the Directors are held responsible for the preparation of the financial statements of the Company in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS).
- Under the same provision, Directors are responsible for the selection and application of appropriate accounting policies, reasonable and prudent judgments and estimates, on a consistent basis. In complying with the above responsibilities, any material departures, have been duly disclosed and explained.
- The Directors must make sure of availability of adequate resources to justify the use of the going concern basis in the preparation of financial statements.
- Under the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange, the Directors must ensure that the financial statements present the relevant disclosures and required information.
- The Directors are responsible for the establishment of a proper internal control system for the prevention and detection of fraud and other financial irregularities, to safeguard assets. In addition, the Directors are also held responsible to execute and record all transactions with proper authorisation.

- The Directors are required to provide the external auditors with every opportunity to carry out reviews and tests, to perform their responsibilities and express their opinion regarding the financial statements of the Company.

The Directors are of the view that they have discharged their responsibilities as set out in this statement. In addition, the responsibility of Independent Auditors is set out in the Independent Auditors' report, with regards to the financial statements prepared in accordance with the provision of Companies Act No. 07 of 2007 ("the Act") and SLFRS.

The financial statements have been presented according to the Sri Lanka Accounting Standards (SLFRS/LKAS). The Statement of Profit and Loss and Other Comprehensive Income presents a true and fair view of the profit and loss of the Company for the financial year, and the Statement of Financial Position, presents a true and fair view of the state of affairs of the Company as at the end of the financial year and complies with the requirements of The Companies' Act and SLFRS.

The Audit Committee of the Company met periodically with the internal auditors and the independent external auditors, to review the progress of the annual audit plan and to discuss key matters pertaining to auditing, internal controls, and financial reporting. Following a review and recommendation by the Audit Committee, the Board of Directors approved the Interim Financial Statements prior to release. The internal auditors have also conducted periodic audits to ensure the established policies and procedures were consistently followed.

Compliance Report

The Directors of Abans Electricals PLC provide the assurance that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

By order of the Board

Mrs. Aban Pestonjee
Chairperson

Mrs. Saroshi Dubash
Managing Director

30th August 2024

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company") which comprise the Statement of Financial Position as at 31 March 2024, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 March 2024 and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp), W D P L Perera ACA

A member firm of Ernst & Young Global Limited

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

Key Audit Matter	How our audit addressed the key audit matter
Existence and carrying value of Inventories As at 31 March 2024, the carrying value of inventories amounted to Rs. 1,503 Mn after considering a provision of Rs. 128 Mn for slow moving inventory, as disclosed in Note 4.5 and 17 to the financial statements. Existence and carrying value of inventories was a key audit matter due to: - Materiality of the reported inventory balance which represented 29% of the Group's total assets; - Inventories being held at multiple locations comprising warehouses and service centres; and - Judgements applied by the management in determining the provision for slow-moving inventories as disclosed in Note 4.5 to the financial statements.	Our audit procedures included the following key procedures: - observed physical inventory counts at selected locations and reconciled the count results to the inventory listings compiled by management to support amounts reported as at the year end - tested, whether Inventory was stated at the lower of cost and net realizable value, by comparing cost with subsequent selling prices of such items - assessed the reasonableness of management judgements applied in determining provision for slow-moving inventory. Our procedures included testing the accuracy and completeness of inventory age reports used in the estimation of provision for slow moving inventory. We also evaluated the adequacy of the disclosures in Note 4.5 and 17 to the financial statements.
Revenue The Company derived its revenue of Rs. 6,124 Mn from sale of consumer durable goods and provision of repair & maintenance services, as disclosed in note 5 and 4.1 to the financial statements. Revenue was a key audit matter due to: - the materiality of revenue reported for the year; and - the increase of 17% it represents, over the previous year.	Our audit procedures included the following key procedures: - evaluated the design and tested the relevant key controls relating to the sales of goods and provision of repair & maintenance services. Our procedures included testing the general IT control environment and the relevant key IT application controls relating to the most significant IT systems relevant to revenue - performed analytical procedures to understand and assess the reasonableness of reported revenue - tested the revenue transactions by reviewing the sales invoices, delivery notes & service contracts. Our procedures included testing revenue cut-off at the period-end date to determine whether transactions are recorded in the proper period and to the proper accounts - assessed whether income recognised over the period from service contracts, is in line with the Company's accounting policy for revenue recognition. We also assessed the adequacy of related disclosures in Note 4.1 and 5 to the financial statements.

Other information included in the 2024 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4184.



30th August 2024
Colombo

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 MARCH 2024

	Note	2023/2024 Rs.	2022/2023 Rs.
Revenue	5	6,123,805,633	5,246,865,597
Cost of sales		(4,747,027,356)	(4,370,530,257)
Gross profit		1,376,778,277	876,335,340
Other income	6	46,881,781	41,898,305
Change in fair value of investment property	14	2,300,000	4,450,000
Marketing and distribution expenses		(264,055,669)	(119,539,761)
Administrative expenses		(442,461,058)	(380,768,592)
Operating profit		719,443,331	422,375,292
Finance cost	7.1	(202,767,029)	(297,154,152)
Finance income	7.2	53,304,766	59,635,908
Profit before taxation	8	569,981,068	184,857,048
Tax expenses	9	(131,260,634)	(51,337,533)
Profit for the year		438,720,434	133,519,515
Other comprehensive income net of tax			
Items that will not be reclassified subsequently to comprehensive income:			
Actuarial gain or (loss) on defined benefit obligations net of tax		(4,129,436)	(16,184,876)
Gain on revaluation of property, plant and equipment net of tax		-	7,032,054
Other comprehensive income for the year-net of tax		(4,129,436)	(9,152,822)
Total comprehensive income for the year		434,590,998	124,366,693
Earnings per share - basic/ diluted	10	85.85	26.13
Dividends per share (Paid)	11	5.00	5.00

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

AS AT 31 MARCH 2024

	Note	31.03.2024 Rs.	31.03.2023 Rs.
Non Current Assets			
Property, plant and equipment	12	1,297,921,235	1,428,745,744
Right of use assets	13	14,818,305	20,097,855
Investment property	14	49,300,000	47,000,000
Financial investments	16.1	-	52,404,002
Total Non Current Assets		1,362,039,540	1,548,247,601
Current Assets			
Inventories	17	1,503,252,489	1,543,615,642
Trade and other receivables	18	720,829,904	251,134,224
Advances, deposits and prepayments	19	266,260,746	292,323,790
Amounts due from related parties	20	791,351,485	838,560,900
Investment in short term deposits	16.2	364,693,439	368,471,657
Cash in hand and at bank	21	139,840,806	54,884,113
Total Current Assets		3,786,228,869	3,348,990,326
Total Assets		5,148,268,409	4,897,237,927
Capital and Reserves			
Stated capital	22	186,732,000	186,732,000
Revaluation reserve	22.1	467,759,623	490,365,165
Retained earnings		1,611,962,344	1,180,318,604
Total Equity		2,266,453,967	1,857,415,769
Non Current Liabilities			
Interest bearing loans and borrowings	23.1	30,176,067	46,809,888
Contract Liabilities	28	41,906,545	50,976,855
Retirement benefit obligation	24	106,204,862	94,638,446
Deferred tax liability	25	164,403,113	198,718,062
Total Non Current Liabilities		342,690,587	391,143,251
Current Liabilities			
Trade and other payables	26	1,350,529,953	789,646,204
Income tax payable	27	132,612,595	34,812,225
Contract Liabilities	28	115,185,538	127,017,320
Amounts due to related parties	29	84,088,702	30,839,270
Interest bearing loans and borrowings	23.2	856,707,067	1,666,363,888
Total Current Liabilities		2,539,123,855	2,648,678,907
Total Liabilities		2,881,814,442	3,039,822,158
Total Equity and Liabilities		5,148,268,409	4,897,237,927

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.



Head of Finance
 (Manufacturing Department)



Head of Finance
 (Service Department)

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board of Directors by;



 Director



 Director

Colombo
 30th August 2024.

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 MARCH 2024

	Stated capital Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total equity Rs.
Balance as at 1 April 2022	186,732,000	483,333,111	1,088,536,765	1,758,601,876
Net profit for the year	-	-	133,519,515	133,519,515
Other comprehensive income for the year	-	7,032,054	(16,184,876)	(9,152,822)
Final dividend 2021/2022	-	-	(25,552,800)	(25,552,800)
Balance as at 31 March 2023	186,732,000	490,365,165	1,180,318,604	1,857,415,769
Net profit for the year	-	-	438,720,434	438,720,434
Other comprehensive income for the year	-	-	(4,129,436)	(4,129,436)
Transfer of reserve on disposal	-	(22,605,542)	22,605,542	-
Final dividend 2022/2023	-	-	(25,552,800)	(25,552,800)
Balance as at 31 March 2024	186,732,000	467,759,623	1,611,962,344	2,266,453,967

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 MARCH 2024

	Note	2023/2024 Rs.	2022/2023 Rs.
Net profit before taxation	8	569,981,068	184,857,048
Adjusted for:			
(Profit)/ Loss profit from sale of property, plant and equipment	6	(1,716,786)	(344,035)
Depreciation and amortisation	8	80,297,537	89,868,186
Amortization of right of use assets	8	5,279,550	23,970,180
Defined benefit plan costs	24	26,023,555	19,255,144
Finance expenses	7.1	202,767,029	297,154,152
Interest income	7.2	(53,304,766)	(59,635,908)
Bad debts (reversal) / provisions	18.1	7,925,144	(21,276,068)
Provision for slow moving inventory	17.1	37,869,525	12,002,239
Change in fair value of investment property	14	(2,300,000)	(4,450,000)
Impairment of financial investment		11,454,000	-
Lease - Gain on modification	6	-	(1,840,335)
Deferred income	28.1	(20,902,089)	(199,548,993)
Cash flow from operating activities before working capital changes		863,373,765	340,011,611
(Increase) / decrease in trade and other receivables		(477,620,824)	67,437,108
(Increase) / decrease in deposits, advances and prepayments		26,063,044	2,384,197
(Increase) / decrease in inventories		2,493,627	607,111,079
(Increase) / decrease in amounts due from/to related companies		100,458,847	(334,161,093)
Increase / (decrease) in trade and other payables		560,883,749	(897,755,948)
		1,075,652,210	(214,973,046)
Tax paid	27	(66,005,454)	(23,340,161)
Interest paid		(215,967,161)	(279,893,257)
Gratuity paid	24	(20,356,333)	(32,351,250)
Net cash flows (used in) / from operating activities		773,323,262	(550,557,713)
Investing activities			
Interest income	7.2	53,304,766	59,635,908
Purchase of property, plant and equipment	12	(41,139,874)	(59,918,092)
Proceeds from disposal of property, plant and equipment		93,383,632	6,607,112
Net investment in fixed deposits		44,728,219	(53,956,961)
Net cash flows (used in) / from investing activities		150,276,744	(47,632,033)
Financing activities			
Dividend paid		(25,552,800)	(25,552,800)
Repayments of long term loans	23.3	(41,850,000)	(46,800,000)
Repayments of long term lease liabilities	23.4	(16,999,381)	(35,361,485)
Net movement in short term loans		(543,862,734)	502,520,898
Net cash flows (used in) / from financing activities		(628,264,915)	394,806,613
Net increase / (decrease) in cash and cash equivalents		295,335,092	(203,383,133)
Cash and cash equivalents at the beginning of the year		(164,394,768)	38,988,365
Cash and cash equivalents at the end of the year		130,940,324	(164,394,768)
Cash and cash equivalents at the beginning of the year			
Cash in hand and at bank		54,884,113	200,802,753
Bank overdrafts		(219,278,881)	(161,814,388)
		(164,394,768)	38,988,365
Cash and cash equivalents at the end of the year			
Cash in hand and at bank	21	139,840,806	54,884,113
Bank overdrafts	23.2	(8,900,482)	(219,278,881)
		130,940,324	(164,394,768)

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2024

1. CORPORATE INFORMATION

1.1 General

Abans Electricals PLC is a public limited liability Company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the Company is located at 498, Galle Road, Colombo 03 and the principal place of business is situated at 126, Airport Road, Ratmalana, and 506B Galle Road, Colombo 06.

1.2 Principal activities and nature of operations

The principal activities of the Company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services of similar type of appliances and installation of roof top Solar PV systems.

1.3 Parent entity

The Company does not have an identified Parent. However, Abans PLC has a significant influence over the Company through the holding of 48% equity stake.

1.4 Date of authorization for issue

The financial statements of the Company for the year ended 31 March 2024 was authorized for issue by a resolution of the Board of Directors on 30 August 2024.

1.5 Directors' Responsibility Statement

The Board of Directors acknowledges their responsibility for financial statements as set out in the "Annual Report of the Board of Directors".

2. BASIS OF PREPARATION

2.1 Statement of compliance

The financial statements of the Company (statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) is prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2 Basis of measurement

The financial statements have been prepared on a historical cost basis, except for the defined benefit obligation, Land and buildings and financial assets which are measured as explained in the respective notes in the financial statements.

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the Company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.3.1 Foreign Currency

Transactions in foreign currencies are initially recorded by the Company at their respective functional currency spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated or Loss, in which case the increase is recognised in the statement of profit or loss.

2.4 Comparative information

The accounting policies have been consistently applied by the Company and are consistent with those used in the previous year.

Previous year's figures and phrases have been rearranged whenever necessary to conform to the current presentation.

2.5 Going concern

The Directors have made an assessment of the Company's ability to continue as a going concern by considering the factors of the recent economic crises and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the financial statements continue to be prepared on the going concern basis.

2.6 Changes in Accounting Policies

The accounting policies adopted by the Company are consistent with those used in the previous financial year. The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

2.7 Materiality and aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of profit or loss and other comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the Company to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period.

However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the Company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The Company is subject to income taxes and other taxes including Value Added Tax, Excise duty and Social Security Contribution Levy. Significant judgment was required to determine the total provision for current, deferred and other taxes.

The Company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and, deferred tax amounts in the period in which the determination is made.

b) Useful life-time of the property, plant and equipment, intangible assets

The Company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) Fair value measurement of property, plant and equipment (Land and buildings) and investment property

Property, plant and equipment and investment property of the Company are measured at fair value for the purposes of preparing the financial statements. Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the Company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment property are disclosed in note 14

d) Impairment losses on financial assets – Trade receivables

The Company determines the impairment losses on trade receivables based on expected loss model. This involves significant judgments in determining the future losses expected to be derived, due to the default in future payments, by the debtors.

e) Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future salary increase rate of the Company.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Company in preparation of its financial statements are included below.

4.1 Revenue recognition

The Company recognizes revenue from contracts with customers when control of the goods or services is transferred to the customer at an amount that reflects the consideration that the Company is to be entitled in exchange for those goods or services. Determining the timing of the transfer of control of goods or services, at a point in time or over time, requires judgements taking into consideration the nature of goods or services that Company offers.

When contracts include multiple deliverables, where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the standalone selling prices. Where these are not directly observable, they are estimated based on expected cost plus margin.

Sale of goods

Revenue from the sale of goods is recognised at the point in time when control of the goods is transferred to the customer, usually on delivery of the goods. Sales are measured at the fair value of the consideration received or receivable excluding amounts collected on behalf of third parties (e.g. Sales taxes).

Rendering of services

Revenue from rendering of services is recognised when the service is performed.

Revenue recognised over the period

The Company recognises revenue from free services/maintenance over time, using an input method to measure progress towards satisfaction of the free services/maintenance over time. Company recognize the deferred revenue arisen from future free services/maintenance and charge it to the revenue subsequently as above mentioned.

4.1.1 Contract liabilities

Advances received from the customers for the future maintenance services are recognized as deferred service income at the time of related payment is made by the customers. This has been categorized as a contract liability as per SLFRS 15. Upon the delivery of such maintenance services the related consideration is recognized in the revenue.

Deferred income

The service income of the Company is recognized over the warranty period, since the Company is obliged to provide service for the agreed warranty period.

4.1.2 Interest income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.3 Dividend income

Dividend income is recognised in the statement of profit or loss and other comprehensive income on an accrual basis when the Company's right to receive the dividend is established.

4.1.4 Other income

Other income is recognized on an accrual basis.

4.1.5 Gains and losses

Gains and losses on disposal of an item of property, plant & equipment are determined by comparing the net sales proceeds with the carrying amounts of property, plant & equipment and are recognised net within "other income" in profit or loss.

4.2 Expenditure recognition

Expenses are recognized in the statement of statement of profit or loss and other comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of statement of profit or loss and other comprehensive income.

4.2.1 Finance Costs

Finance costs comprise interest expense on borrowings and financial leases that are recognised in the statement of profit or loss. The interest expense component of finance lease payments is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that the Company incurs in connection with the borrowing of funds.

4.3 Taxation

4.3.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

4.3.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised, or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

4.3.3 Sales Tax

Expenses and assets are recognised net of the amount of sales tax, except:

- When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable

- When receivables and payables are stated with the amount of sales tax included

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the Statement of Financial Position.

4.3.3.1 VAT on Financial Services

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto.

4.4 Non-financial asset

4.4.1 Property, plant and equipment

Recognition and measurement

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost model

The Company applies the cost model to property plant and equipment except for freehold land and building.

Revaluation model

The entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. The fair value of land and buildings are determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets. Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in statement of profit or loss and other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement, in which case the increase is recognised in the statement of profit or loss and other comprehensive income to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the profit or loss and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the profit or loss. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2024

Subsequent measurement

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment.

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rate of depreciation is based on the estimated useful life.

Category of asset	Useful life	
	2024	2023
Buildings and installations	Over 40 years	Over 40 years
Plant and machinery	Over 10 years	Over 10 years
Furniture and fittings	Over 10 years	Over 10 years
Fixtures and fittings	Over 10 years	Over 10 years
Office equipment	Over 10 years	Over 10 years
Tools	Over 10 years	Over 10 years
On loan assets	Over 5 years	Over 5 years
Motor vehicles	Over 4 years	Over 4 years
Computer equipment	Over 4 years	Over 4 years

The asset's residual values, useful life and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of profit or loss and other comprehensive income in the year the asset is de-recognised.

4.4.2 Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (LKAS 40) –Investment Property. The cost of the investment property comprises of its purchase price and any directly attributable expenditure and changes to fair value recognized in Profit or loss

4.4.3 Intangible assets – computer software

Basis of recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software cost incurred, licensed to be used by the Company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the statement of financial position under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent expenditures

Subsequent expenditures on software assets are capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortization

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is estimated as four years.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

De-recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of such intangible assets is included in profit or loss when the item is derecognised.

4.4.4 Leases

Lease liability

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee.

The Company as a lessee

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable;

The lease liability is presented in note 23 to the financial statements.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

The Company did not make any such adjustments during the periods presented.

Right of use assets

The Company recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment. The Company did not have any short-term or low-value lease assets.

The right-of-use assets are presented as a separate line in the statement of financial position.

The Company applies LKAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non-financial assets' policy.

4.5 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw materials:	At actual cost on FIFO (first-in first-out) basis
Work-in-progress:	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour
Manufactured finished goods:	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods:	At actual cost on first-in first-out basis
Consumables and spares:	At actual cost on first-in first-out basis
Goods in transit:	At actual cost

4.6 Financial instruments – recognition and measurement

4.6.1 Financial assets

Financial assets are initially recognised at fair value plus directly attributable transaction costs.

However, when a financial asset measured at fair value through Profit or Loss is recognised, the transaction costs are expensed immediately. Subsequent remeasurement of financial assets is determined by their categorisation, which is revisited at each reporting date. The settlement date is used for both initial recognition and subsequent derecognition of financial assets, as these transactions are generally under contracts that terms which require delivery within the time frame established by regulation or convention in the market place (regular-way purchase or sale)

The classification of financial assets is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. On initial recognition, a financial asset is classified and as measured either:

- At Amortised Cost;
- At Fair Value through Other Comprehensive Income (FVOCI); or
- At Fair Value through Profit or Loss (FVTPL)

All financial assets not classified as measured at amortised cost or FVOCI are measured at FVTPL. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI, as at FVTPL, if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent Measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through Other Comprehensive Income (FVTOCI)
- Financial assets at fair value through profit or loss

However, the financial assets of the Company are limited to the categories of financial assets at amortised cost (debt instrument) and financial assets fair value through other comprehensive income (FVOCI)

a) Equity investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss

Companies Financial Assets Classified Fair Through OCI which is in other investments Note 16.

b) Financial assets at amortised cost (debt instruments)

The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Company's financial assets at amortised cost includes cash and short-term deposit, trade and other receivables and other financial assets

4.6.2 Impairment of Financial Assets

The Company recognizes expected credit losses for trade receivables. The ECL allowance is based on the credit losses expected to arise over the life of the asset. For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 365 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

4.6.3 Financial liabilities at amortised cost

Financial liabilities are initially recognised at the fair value of consideration received, less directly attributable transaction costs.

Subsequent to the initial measurement, financial liabilities are recognised at amortised cost. The difference between the initial carrying amount of the financial liabilities and their redemption value is recognised in the statement of profit or loss and other comprehensive income over the contractual terms using the effective interest rate method. This category includes trade and other payables, as well as other financial liabilities.

Financial liabilities at amortised cost are further classified as current and non-current depending on whether these will fall due within 12 months after the reporting date or beyond.

Financial liabilities are derecognised (in full or partly) when the obligation specified in the contract is either discharged, cancelled, expired or replaced by a new liability with substantially modified terms.

a) Loans and Borrowings (Financial Liabilities at Amortised cost)

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss. This category generally applies to interest-bearing loans and borrowings. For more information, refer to Note 23

4.6.4 Derecognition of Financial Assets and Financial Liabilities

(a) Derecognition of Financial Assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset, if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset
- or
- It retains the rights to cash flows but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

(b) Derecognition of Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

4.7 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

4.8 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.9 Employee Benefits

4.9.1 Defined benefit plan – gratuity

The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The Company's obligations under the said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.9.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee

benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' Trust Fund

The Company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.10 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is higher of asset's or cash generating units' (CGU) fair value less costs to sell and its value in use.

It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

Impairment losses of continuing operations, including impairment on inventories, are recognised in the Statement of Profit or Loss in those expense categories consistent with the function of the impaired asset, except for a property previously revalued where the revaluation was taken to other comprehensive income.

In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation. For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of

the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

4.11 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any reimbursement.

4.12 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.13 Segmental information

For management purposes, the Company has organized two operating segments based on Operating Divisions, as follows:

- Manufacturing
- Services

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a Company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.14 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

4.15 Effect of Accounting Standards Issued but Not Yet Effective

The following SLFRS have been issued by the Institute of Chartered Accountants of Sri Lanka that have an effective date in the future and have not been applied in preparing these financial statements.

SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain

guarantees and financial instruments with discretionary participation features. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17. However, SLFRS 17 will be neither affected nor applied to the Company since Company has not been engaged in Insurance contracts.

International Tax Reform-Pillar Two Model Rule - Amendments to LKAS 12

The amendments to LKAS 12 introduce a mandatory exception in LKAS 12 from recognising and disclosing deferred tax assets and liabilities related to Pillar Two income taxes. An entity is required to disclose that it has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

The amendments are effective for annual periods beginning on or after 1 January 2024. The amendments are not expected to have a material impact on the Company's financial statements.

Classification of Liabilities as Current or Non-current - Amendments to LKAS 1

Amendments to LKAS 1 relate to classification of liabilities with covenants as current or non-current. The amendments clarify that if an entity's right to defer settlement of a liability is subject to the entity complying with the required covenants only at a date subsequent to the reporting period ("future covenants"), the entity has a right to defer settlement of the liability even if it does not comply with those covenants at the end of the reporting period. The requirements apply only to liabilities arising from loan arrangements.

The amendments are effective for annual periods beginning on or after 1 January 2024. The amendments are not expected to have a material impact on the Company's financial statements.

Disclosures: Supplier Finance Arrangements - Amendments to LKAS 7 and SLFRS 7

The amendments clarify the characteristics of supplier finance arrangements and require an entity to provide information about the impact of supplier finance arrangements on liabilities and cash flows, including terms and conditions of those arrangements, quantitative information on liabilities related to those arrangements as at the beginning and end of the reporting period and the type and effect of non-cash changes in the carrying amounts of those arrangements.

The amendments are effective for annual periods beginning on or after 1 January 2024. The amendments are not expected to have a material impact on the Company's financial statements.

Lease Liability in a Sale and Leaseback - Amendment to SLFRS 16

The amendments to SLFRS 16 Leases specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains. A seller-lessee applies the amendment retrospectively in accordance with LKAS 8 to sale and leaseback transactions entered into after the date of initial application.

The amendments are effective for annual periods beginning on or after 1 January 2024. The amendments are not expected to have a material impact on the Company's financial statements.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

	Note	2023/2024 Rs.	2022/2023 Rs.
5. Revenue			
Manufacturing department	5.1	4,836,168,205	4,360,487,059
Service department	5.2	1,287,637,428	886,378,538
		<u>6,123,805,633</u>	<u>5,246,865,597</u>
5.1 Manufacturing department			
Over the period		94,535,159	100,233,742
Point in time		4,741,633,046	4,260,253,317
		<u>4,836,168,205</u>	<u>4,360,487,059</u>
5.2 Service department			
Over the period		112,341,115	98,310,652
Point in time		1,175,296,313	788,067,886
		<u>1,287,637,428</u>	<u>886,378,538</u>
6. Other income			
Scrap and sundry parts sales		25,562,450	18,527,996
Transport and warehouse income		16,000,620	17,819,166
Insurance claim		1,821,217	89,754
Interest on employee loans		36,362	120,140
Profit from sale of property, plant and equipment		1,716,786	344,035
Rent income		1,353,000	1,921,500
Mobile phone reimbursement income		391,346	370,370
Registration fees income		-	80,000
Gain on lease modifications		-	1,840,335
Covid 19 rent concession		-	785,009
		<u>46,881,781</u>	<u>41,898,305</u>
7 Net finance cost			
7.1 Finance cost			
Term loan interest		8,895,623	12,802,911
Overdraft interest		12,592,155	36,071,092
Interest on import and short term loans		177,566,907	244,291,857
Interest on employee loans		29,748	429,720
Lease interest		3,682,596	3,558,572
		<u>202,767,029</u>	<u>297,154,152</u>
7.2 Finance income			
Interest income		53,304,766	59,635,908
		<u>53,304,766</u>	<u>59,635,908</u>
Net finance cost		<u>149,462,263</u>	<u>237,518,244</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

	Note	2023/2024 Rs.	2022/2023 Rs.
8. Profit before taxation			
Profit from operations is stated after charging all expenses including the followings :			
Directors remuneration		3,292,337	3,292,337
Depreciation and amortisation	12.1	80,297,537	89,868,186
Depreciation of right of use assets	13	5,279,550	23,970,180
Staff costs (excluding defined contribution plan and defined benefit plan)		414,160,890	401,359,314
Defined contribution plan cost		56,416,796	55,399,857
Defined benefit plan cost		26,023,555	19,255,144
Donations		62,000	300,180
Auditor's remuneration - Audit services		1,600,000	1,248,847
Auditor's remuneration - Non Audit services		617,014	480,200
Legal fees		37,603	303,880
9. Tax expenses			
Income tax expense			
Current year	9.1	172,832,083	36,682,152
(Over) / under provision for the last year		(9,026,259)	(17,333,381)
		163,805,824	19,348,771
Deferred tax expense			
Origination / (reversal) of deferred tax assets		(21,621,185)	(11,990,660)
Origination / (reversal) of deferred tax liabilities		(10,924,005)	43,979,422
		(32,545,190)	31,988,762
Tax expense		131,260,634	51,337,533
9.1 Reconciliation of accounting profit and taxable income			
Profit for the year		438,720,434	133,519,515
Current tax expense	27	163,805,824	19,348,771
Origination / (reversal) of deferred tax assets		(21,621,185)	(11,990,660)
Origination / (reversal) of deferred tax liabilities		(10,924,005)	43,979,422
Profit before tax		569,981,068	184,857,048
Tax rates applicable		30%	14%, 24% 18% & 30%
Income tax at 14% - Rental		-	700,618
Income tax at 24% - Services		-	10,111,065
Income tax at 18% - Manufacturing		-	5,610,280
Income tax at 30%		170,994,320	33,656,348
Total income tax for the year		170,994,320	50,078,311
Tax effect on disallowable expenses		49,106,978	28,758,447
Tax effect on allowable expenses		(39,776,377)	(28,504,220)
Tax effect on income from other sources and exempt income		(1,222,210)	(32,155,432)
Tax effect on deferred service income received during the year		(6,270,628)	18,505,047
Assessable income		172,832,083	36,682,152
Less: Deductions		-	-
Total current tax		172,832,083	36,682,152

Deferred tax for the year was calculated at 30% (2023 - 30%)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

10. Earnings per share - basic/ diluted

Basic earning per share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.

	2023/2024 Rs.	2022/2023 Rs.
Amount used as the numerator		
Profit attributable to ordinary shareholders	438,720,434	133,519,515
Amount used as the denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per share - Basic / diluted	85.85	26.13
11. Dividends per share		
Dividends per share (paid)	5.00	5.00

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

12. Property, plant and equipment

Net book value of freehold assets
Capital work in progress

	Note	31.03.2024 Rs.	31.03.2023 Rs.
		1,275,558,780	1,406,383,289
	12.1	22,362,455	22,362,455
		1,297,921,235	1,428,745,744

	As at 01.04.2022 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfers Rs.	Revaluation Rs.	As at 31.03.2023 Rs.
12.1 Freehold assets						
Cost / revaluation						
Land and land development	700,177,500	-	-	-	37,702,003	737,879,503
Buildings	285,070,957	116,933	-	(22,434,244)	33,302,951	296,056,597
Plant and machinery	606,457,017	31,714,131	(8,400)	-	-	638,162,749
Furniture and fittings	20,987,298	258,318	(1,381,770)	-	-	19,863,846
Fixtures and fittings	149,240,202	150,000	-	-	-	149,390,202
Office equipment	28,932,669	198,684	(5,365,878)	-	-	23,765,474
Tools	65,214,394	2,360,787	(727,449)	-	-	66,847,732
Computer equipment	88,265,776	2,756,784	(7,698,064)	-	-	83,324,496
Motor vehicles	104,425,953	-	-	-	-	104,425,953
On loan assets	1,927,677	-	-	-	-	1,927,677
Total	2,050,699,443	37,555,637	(15,181,562)	(22,434,244)	71,004,954	2,121,644,229
Capital Work in Progress	-	22,362,455	-	-	-	22,362,455
Total gross carrying amount	2,050,699,443	59,918,092	(15,181,562)	(22,434,244)	71,004,954	2,144,006,684

12.1 Freehold assets

Cost / revaluation

Land and land development
Buildings
Plant and machinery
Furniture and fittings
Fixtures and fittings
Office equipment
Tools
Computer equipment
Motor vehicles
On loan assets

	As at 01.04.2023 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfers Rs.	Revaluation Rs.	As at 31.03.2024 Rs.
	737,879,503	-	(45,016,003)	-	-	692,863,500
	296,056,597	-	(46,083,997)	-	-	249,972,600
	638,162,749	25,402,172	(30,616)	-	-	663,534,305
	19,863,846	-	(1,230,091)	-	-	18,633,755
	149,390,202	1,025,195	-	-	-	150,415,397
	23,765,474	815,400	(472,138)	-	-	24,108,736
	66,847,732	7,266,333	(28,013,430)	-	-	46,100,635
	83,324,496	6,630,774	(7,032,856)	-	-	82,922,414
	104,425,953	-	(10,576,907)	-	-	93,849,046
	1,927,677	-	-	-	-	1,927,677
Total	2,121,644,229	41,139,874	(138,456,038)	-	-	2,024,328,065
Capital Work in Progress	22,362,455	-	-	-	-	22,362,455
Total gross carrying amount	2,144,006,684	41,139,874	(138,456,038)	-	-	2,046,690,520

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

12.1 Freehold assets (Contd...)

	As at 01.04.2022 Rs	Depreciation during the year Rs.	Disposals during year Rs.	Transfer of accumulated depreciation Rs.	As at 31.03.2023 Rs.
Depreciation					
Buildings	8,320,052	8,406,810	-	(16,726,863)	-
Plant and machinery	349,366,586	47,179,009	(1,537)	-	396,544,058
Furniture and fittings	16,106,152	1,238,203	(1,364,408)	-	15,979,947
Fixtures and fittings	37,469,825	19,378,908	-	-	56,848,733
Office equipment	20,852,868	1,475,831	(5,069,103)	-	17,259,597
Tools	45,092,543	4,371,738	(494,421)	-	48,969,860
Computer equipment	79,655,991	4,814,028	(7,696,394)	-	76,773,624
Motor vehicles	97,953,786	3,003,657	-	-	100,957,443
On loan assets	1,927,678	-	-	-	1,927,678
	656,745,481	89,868,186	(14,625,865)	(16,726,863)	715,260,940
	As at 01.04.2023 Rs	Depreciation during the year Rs.	Disposals during year Rs.	Transfer of accumulated depreciation Rs.	As at 31.03.2024 Rs.
Depreciation					
Buildings	-	9,375,304	(1,051,370)	-	8,323,934
Plant and machinery	396,544,058	38,966,017	(28,695)	-	435,481,380
Furniture and fittings	15,979,947	1,135,933	(1,230,091)	-	15,885,789
Fixtures and fittings	56,848,733	19,002,670	-	-	75,851,403
Office equipment	17,259,597	1,206,025	(472,138)	-	17,993,484
Tools	48,969,860	4,110,278	(26,397,135)	-	26,683,003
Computer equipment	76,773,624	3,839,678	(7,032,856)	-	73,580,446
Motor vehicles	100,957,443	2,661,632	(10,576,907)	-	93,042,168
On loan assets	1,927,678	-	-	-	1,927,678
	715,260,940	80,297,537	(46,789,192)	-	748,769,285

12.2 Property, plant and equipment (Contd.)

Revaluation on land and buildings

All Freehold land and buildings of the entity was valued by Mr. Lochana I. Silva, an independent professional valuer on 31 March 2023 and the excess of Rs.71,004,954/- over the net book value as at 31 March 2023 has been credited to the revaluation reserve.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March	Land extent	Building area	No of buildings	Date of valuation	Fair value (Rs.)
Property, plant and equipment					
Property at Kandy	Perches 18.7	Sq.ft 5,081	1	31.03.2023	92,000,000
Land at Boralesgamuwa	Perches 83.1	-	-	31.03.2023	75,800,000
Property at Negombo	Perches 31.1	Sq.ft 1,500	1	31.03.2023	46,100,000
Property at Colombo 06	Perches 39.58	Sq.ft 31,713	1	31.03.2023	484,000,000
Property at Rathmalana 1	Perches 83.41	Sq. ft.29,198	2	31.03.2023	223,974,300
Property at Rathmalana 2	Perches 11.80	Sq. ft.3,654	1	31.03.2023	20,961,800
					<u>942,836,100</u>

Fair value hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

Land and Buildings

	Level 1 (Rs.)	Level 2 (Rs.)	Level 3 (Rs.)	Total (Rs.)
31 March 2024	-	-	942,836,100	942,836,100

The fair value measurement has been categorised as level 3 fair value based on the inputs to the valuation techniques used.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of Land and buildings, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Property at Kandy	Open market	Price per perch and sq.ft	3,750,000/- per perch and 4,305 per Sq.ft
Land at Boralesgamuwa	Open market	Price per perch	912,154/- per perch
Property at Negombo	Open market	Price per perch and sq.ft	1,448,553/- per perch and 700 per Sq.ft
Property at Colombo 06	Open market	Price per perch and sq.ft	9,700,000/- per perch and 3,156 per Sq.ft
Property at Rathmalana 1	Open market	Price per perch and sq.ft	1,250,000/- per perch and 4,100 per Sq.ft
Property at Rathmalana 2	Open market	Price per perch and sq.ft	1,250,000/- per perch and 1,700 per Sq.ft

Increase/decrease in price per perch/Sq.ft has a positive correlation with the fair value of the land and buildings.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

The carrying amount of revalued land and buildings at cost less depreciation and impairment, would be as follows:

	31.03.2024 Rs.	31.03.2023 Rs.
Land and land development		
Cost	177,269,665	177,269,665
Disposals	(26,480,000)	-
Carrying value	150,789,665	177,269,665
Buildings		
Cost	259,319,180	259,319,180
Disposals	(32,326,369)	-
Accumulated depreciation and impairment	(75,889,576)	(83,121,420)
Carrying value	151,103,235	176,197,760
13. Right of use assets - Buildings		
Cost		
Balance at the beginning of the year	116,058,355	120,921,132
Additions during the year	-	5,250,704
Disposals / modifications	-	(10,113,481)
Balance at the end of year	116,058,355	116,058,355
Accumulated amortisation		
Balance at the beginning of the year	95,960,500	71,990,320
Amortisation for the year	5,279,550	23,970,180
Balance at the end of the year	101,240,050	95,960,500
Net book value of the right of use of assets	14,818,305	20,097,855
14. Investment property - Market value		
Balance at the beginning of the year	47,000,000	42,550,000
Net gain / (loss) from fair value adjustment	2,300,000	4,450,000
Balance at the end of the year	49,300,000	47,000,000
Amount recognised in profit or loss for investment properties		
Direct operating expense from property that did not generate rental income	84,000	1,010,153
Fair value gain recognized as other income	2,300,000	4,450,000

Fair value investment property

Investment property at Panadura was valued by Mr. Lochana I. Silva, an independent professional valuer on 31 March 2024 and the excess of Rs.2,300,000 over the net book value as at 31 March 2024 has been credited to statement of profit or loss.

As at 31 March	Land extent	Date of valuation	Fair value (Rs.)
Investment property			
Land at Panadura	Perches 44.9	31.03.2024	49,300,000

The fair value measurement has been categorised as level 3 fair value based on open market valuation technique.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Land at Panadura	Open market	Price per perch	1,097,996/- per perch

Increase/decrease in price per perch have a positive correlation with the fair value of the land.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

	Note	31.03.2024 Rs.	31.03.2023 Rs.
15. Intangible assets - Computer software			
Cost			
Balance at the beginning of the year		14,457,433	14,457,433
Additions during the year		-	-
Disposals during the year		-	-
Balance at the end of the year		14,457,433	14,457,433
Amortization			
Balance at the beginning of the year		14,457,433	14,457,433
Additions during the year		-	-
Disposals during the year		-	-
Balance at the end of the year		14,457,433	14,457,433
Net book value		-	-
16. Financial investments			
16.1 Non-current financial investments			
Other investments		-	11,454,000
Bank deposits at amortised cost		-	40,950,002
		-	52,404,002
16.2 Current financial investments			
Bank deposits at amortised cost		364,693,439	368,471,657
		364,693,439	368,471,657
		364,693,439	420,875,659
17. Inventories			
Raw materials		1,038,013,301	1,429,191,183
Work-in-progress		436,800,182	16,972,978
Finished goods - Manufactured		47,847,110	164,809,482
Goods in transit		109,022,801	23,203,379
		1,631,683,394	1,634,177,022
Less: Provision for slow moving inventory	17.1	(128,430,905)	(90,561,380)
		1,503,252,489	1,543,615,642
17.1 Movement for the provision for slow moving inventory			
Balance at the beginning of the year		90,561,380	78,559,141
Provisions made		37,869,525	12,002,239
Balance at the end of the year		128,430,905	90,561,380

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

	Note	31.03.2024 Rs.	31.03.2023 Rs.
18. Trade and other receivables			
Financial assets			
Trade debtors		690,645,685	249,791,813
Less: Allowance for impairment of debtors	18.1	(26,697,806)	(18,772,662)
		663,947,879	231,019,151
Retention and installment receivables		1,273,180	1,062,435
Loans to employees		106,963	299,498
		665,328,022	232,381,084
Non financial assets			
Other receivables		55,501,882	18,753,140
		720,829,904	251,134,224
18.1 Movement of the allowance for impairment of debtors ;			
Balance at the beginning of the year		18,772,662	40,048,730
(Reversal of impairment) / impairment loss recognized during the year		7,925,144	(21,276,068)
Balance at the end of the year		26,697,806	18,772,662

As at 31 March, the ageing analysis of trade receivables are, as follows ;

	Total Rs.	Neither due nor impaired Rs.	Past due but not impaired				
			0 - 30 days Rs.	31 - 60 days Rs.	61 - 90 days Rs.	91-120 days Rs.	Over 120 days Rs.
2024	690,645,685	601,360,507	6,875,467	30,166,412	3,047,385	23,390,830	25,805,084
2023	249,791,813	205,267,942	12,732,596	4,494,131	3,669,232	2,979,123	20,648,789

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables.

	31.03.2024 Rs.	31.03.2023 Rs.
19. Advances, deposits and prepayments		
Advances	235,354,704	264,573,274
Deposits	19,600,869	12,104,582
Prepayments	11,305,173	15,645,934
	266,260,746	292,323,790
20. Amounts due from related parties		
Related Party - Trade Receivables	785,667,950	836,553,977
Related Party - Non-Trade Receivables	5,683,535	2,006,923
	791,351,485	838,560,900

Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.

21. Cash at bank and in hand		
Cash in hand	4,516,735	2,947,097
Cash at bank	135,324,071	51,937,016
	139,840,806	54,884,113

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

	Note	No. of Shares	Value. of Shares Rs.
22. Stated capital			
At 31 March 2024		5,110,560	186,732,000
At 31 March 2023		5,110,560	186,732,000
		31.03.2024	31.03.2023
		Rs.	Rs.
22.1 Revaluation reserve			
Balance at the beginning of the year		490,365,165	483,333,111
Revaluation gains		-	71,004,954
Deferred tax on revaluation surplus		9,688,089	(63,972,900)
Transfer of reserve on disposal		(32,293,631)	-
Balance at the end of the year		467,759,623	490,365,165
23. Interest bearing loans and borrowings			
23.1 Long term borrowings			
Term loan	23.3	20,000,000	33,750,000
Lease liability	23.4	10,176,067	13,059,888
		30,176,067	46,809,888
23.2 Short term borrowings			
Lease liability	23.4	11,768,430	22,201,394
Term loans	23.3	15,000,000	43,100,000
Import loans		710,621,021	1,140,744,654
Short term loans		107,265,315	221,004,416
Accrued for interest		3,151,819	20,034,543
Bank overdrafts		8,900,482	219,278,881
		856,707,067	1,666,363,888
23.3 Term loans from banks			
Balance at the beginning of the year		76,850,000	123,650,000
Payment made during the year		(41,850,000)	(46,800,000)
Balance at the end of the year		35,000,000	76,850,000
Amounts re-payable within 1 year		15,000,000	43,100,000
Amounts re-payable after 1 year		20,000,000	33,750,000
23.4 Lease liability			
Balance at the beginning of the year		35,261,282	73,767,306
Additions during the year		-	5,250,705
Interest cost		3,682,596	3,558,572
Disposals / Modifications		-	(10,113,481)
Gain on modification		-	(1,840,335)
Payment made during the year		(16,999,381)	(35,361,485)
Balance at the end of the year		21,944,497	35,261,282
Amounts re-payable within 1 year		11,768,430	22,201,394
Amounts re-payable after 1 year		10,176,067	13,059,888

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

23.6 Terms and conditions of borrowing facilities

Facility	Security
Import and hypothecation loans	
People's Bank	- LKR 250.0Mn mortgage over trade receivables and undertaking of Abans PLC to settle invoices within 60days
Hatton National Bank PLC	- Primary floating mortgage bond for LKR 400.0Mn over stocks and book debts
Sampath Bank PLC	- Floating hypothecation bond for LKR 362.0Mn over stocks and book debts
Commercial Bank of Ceylon PLC	- Floating Primary Mortgage for LKR 550.0Million over Stocks and Book Debts
DFCC Bank PLC	- LKR 350.0Mn mortgage over stocks and book debts
Nation Trust Bank PLC	- LKR 150.0Mn mortgage over stock and book debts
Term loan facilities	
Commercial Bank of Ceylon PLC	- Floating Primary Mortgage for LKR 550.0 Mn over Stocks and Book Debts
Short term loan facilities	
DFCC Bank PLC	- LKR 350.0Mn mortgage over stocks and book debts
Overdraft Facilities	
Hatton National Bank PLC	- Primary floating mortgage bond for LKR 60.0Mn over land and buildings situated at No. 126, Airport Road, Ratmalana
Sampath Bank PLC	- Floating hypothecation bond for LKR 362.0Mn over stocks and book debts, LKR 20.0 Mn over the company trading Stock
Bank of Ceylon	- LKR 10.0 Mn over the company trading Stock
People's Bank	- LKR 30.0Mn mortgage over stocks
Union Bank of Colombo PLC	- LKR 30.0 Mn over the company trading Stock
Commercial Bank of Ceylon PLC	- Floating primary mortgage for LKR 550.0Mn over stocks and book debts
DFCC Bank PLC	- LKR 350.0Mn mortgage over stocks and book debts
Nation Trust Bank PLC	- LKR 10.0Mn mortgage over stocks and book debts
Lease Facility	
Commercial Bank of Ceylon PLC	- Mortgage over leased assets
Letter of Guarantee Facility	
Sampath Bank PLC	- Master counter indemnity of the company for LKR 5.0Mn
DFCC Bank PLC	- LKR 350.0Mn mortgage over stocks and book debts
Nation Trust Bank PLC	- LKR 150.0 Mn mortgage over stocks and book debts.
Forward Exchange Contract	
Hatton National Bank PLC	- Forward Exchange Contracts

Unutilised banking facilities are amounting to Rs. 233.82Mn overdraft facilities and Rs.590.35Mn import short term loan facilities as at 31 March 2024.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

24. Retirement benefit obligation

	31.03.2024 Rs.	31.03.2023 Rs.
Balance at the beginning of the year	94,638,446	81,964,076
Interest cost	16,088,535	11,966,755
Current service cost	9,935,020	7,288,389
Actuarial (gain) / loss	5,899,194	25,770,476
	126,561,195	126,989,696
Less : payments made during the year	(20,356,333)	(20,485,796)
Less : transfers during the year	-	(11,865,454)
Balance at the end of the year	106,204,862	94,638,446

The retirement benefit liability of the company is based on the actuarial valuation carried out by Actuarial & Management Consultants (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method". The principal assumptions used in determining the cost of retirement benefits were:

	31.03.2024	31.03.2023
Discount rate	12.0%	17.0%
Expected rate of salary increase	12.0%	15.0%
Retirement age	55 & 60	55 & 60

The amounts recognised in the comprehensive income are as follows:

	2023/2024 Rs.	2022/2023 Rs.
Current service cost	9,935,020	7,288,389
Interest cost	16,088,535	11,966,755

The amount recognised in the other comprehensive income is as follows:

	2023/2024 Rs.	2022/2023 Rs.
Actuarial (gain) / loss	5,899,194	25,770,476

Sensitivity Analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation and defined benefit obligation would be ;

	31.03.2024 Rs.	31.03.2023 Rs.
+1% point increase on discount rate	103,064,011	89,220,349
-1% point decrease on discount rate	109,564,033	100,768,265
+1% point increase on salary increment rate	110,012,539	101,255,629
-1% point decrease on salary increment rate	102,582,928	88,704,238

Maturity analysis of the payments

The following payments are expected on employee benefit plan - gratuity in future years.

	31.03.2024 Rs.	31.03.2023 Rs.
Within the next 12 months	25,980,374	13,858,705
Between 1 and 2 years	35,590,718	19,448,672
Between 2 and 5 years	28,356,337	20,073,803
Between 5 and 10 years	12,628,187	18,127,626
Beyond 10 years	3,649,246	23,129,640
Total expected payments	106,204,862	94,638,446

Weighted average duration (years) of defined benefit obligation

	31.03.2024	31.03.2023
Manufacturing department	4.0	3.1
Service department	3.0	9.5

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

25. Deferred tax liability

Balance at the beginning of the year
Amount originated / (reversed) during the year
- Statement of profit or loss
- Statement of other comprehensive income
Balance at the end of the year

	31.03.2024 Rs.	31.03.2023 Rs.
	198,718,062	112,342,000
	(32,545,190)	31,988,762
	(1,769,758)	54,387,300
	164,403,113	198,718,062

Net deferred tax asset / liability are attributed to the following as at the year end;

	Deferred tax liability			Deferred tax asset			Total Rs.
	Property, plant and equipment Rs.	Intangible assets Rs.	Investment properties Rs.	Right to use assets Rs.	Provisions Rs.	Retirement benefit obligation Rs.	
Temporary differences							
Balance at 1st April 2022	201,612,980	95,855	5,373,600	(1,226,969)	(73,866,609)	(19,646,856)	112,342,000
Recognised in profit or loss	41,301,021	-	2,678,400	533,493	(12,400,831)	(123,322)	31,988,762
Recognised in other comprehensive income	63,972,900	-	-	-	-	(9,585,600)	54,387,300
Balance at 1st April 2023	306,886,901	95,855	8,052,000	(693,476)	(86,267,440)	(29,355,778)	198,718,062
Recognised in profit or loss	(11,614,005)	-	690,000	565,549	(20,633,377)	(1,553,357)	(32,545,190)
Recognised in other comprehensive income	-	-	-	-	-	(1,769,758)	(1,769,758)
Balance at 31st March 2024	295,272,896	95,855	8,742,000	(127,927)	(106,900,817)	(32,678,893)	164,403,113

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

	Note	31.03.2024 Rs.	31.03.2023 Rs.
26. Trade and other payables			
Financial liability			
Trade creditors		214,197,694	146,240,845
Foreign supplier payable		244,294,165	299,533,415
Accrued charges		417,557,780	64,560,056
Other payables		161,349,040	94,920,408
Import related payables		-	10,443,678
		1,037,398,679	615,698,402
Non financial liability			
Provisions		43,831,563	36,023,224
Advances from customers		258,680,227	89,946,702
Social security contribution levy payable		8,668,391	12,791,218
Value added tax payable		1,951,093	35,186,658
		313,131,274	173,947,802
		1,350,529,953	789,646,204
27. Income tax payable			
Balance at the beginning of the year		34,812,225	38,803,615
Income tax for the year	9.1	163,805,824	19,348,771
		198,618,049	58,152,386
Income tax paid		(66,005,454)	(23,340,161)
Balance at the end of the year		132,612,595	34,812,225
28. Contract Liabilities			
28.1 Deferred service income			
Balance as at the beginning of the year		177,994,175	226,234,371
Deferred service income received		185,974,182	151,308,797
Deferred service income amortized		(206,876,274)	(199,548,993)
Balance at the end of the year		157,092,083	177,994,175
Amount to be amortized within 1 year		115,185,538	127,017,320
Amount to be amortized after 1 year		41,906,545	50,976,855
Deferred service income consists of the income received for under - warranty charges for selected products and customer advances received for future maintenance services to be performed.			
29. Amounts due to related parties			
Related Party - Trade Payables		69,481,156	30,839,270
Related Party - Non-Trade Payables		14,607,546	-
		84,088,702	30,839,270

Dues to related parties are payable on demand bears no interest, further there was no collateral issued.

30. Related party disclosures

30.1 Details of transactions carried out with related companies

Company	Relationship	Nature of Transaction	2023/2024 Received/ (paid) Rs.	2022/2023 Received/ (paid) Rs.
Abans PLC	Significant Shareholder	Sales of goods/ services Rent income Wharf expenses Purchases/Services	2,807,273,663 1,555,950 (9,082,084) (221,664,749)	2,431,711,407 1,890,000 (20,631,123) (28,894,688)
Abans Marketing (Pvt) Ltd	Affiliate	Rent expenses	(4,200,000)	(3,000,000)
Crown City Developers (Pvt) Ltd	Affiliate	Logistic expense	(140,900)	(52,464)
Abans Engineering (Pvt) Ltd	Affiliate	Purchases/Services Sales of goods/ services	(43,201,814) 6,009,853	(309,033) 6,094,759
ABS Courier (Pvt) Ltd	Affiliate	Courier charges	(7,012,484)	(5,224,646)
Abans Finance PLC	Affiliate	Interest income Invest in fixed deposits Sales of goods/ services	- - -	11,409,446 102,802,082 324,457
AB Securitas (Pvt) Ltd	Affiliate	Security charges	(36,466,286)	(22,623,992)
Abans Environmental (Pvt) Ltd	Affiliate	Cleaning charges	(5,555,431)	(4,176,499)
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance Sales of goods/ services	(79,868) 366,816	(1,099,726) -
Abans Logistic (Pvt) Ltd	Affiliate	Purchases/ services Sales of goods/ services	(24,852,898) 385,079	(28,398,857) -
Sirius Technologies Services (Pvt) Ltd	Affiliate	Network maintain expenses	(55,087,981)	(39,954,687)
ABS Gardiner Dixon Hall International (Pvt) Ltd	Affiliate	Printing and advertisement, building maintenance expenses	(13,454,438)	(2,539,396)
A B Manufacturing (Pvt) Ltd	Affiliate	Sales of goods / services Purchases/Services	589,513,999 (95,204,121)	974,286,238 (58,790,791)
Abans Tourist Hotels Ltd	Affiliate	Other Services	-	(400,000)

The balance outstanding as at the reporting date disclosed under note 20 and 29. The above transactions have been carried out in normal commercial terms.

30.2 Recurrent transaction with related parties

Name of the related Party	Relationship	Nature of Transaction	Aggregate value of the related party transactions entered into during the financial year	Aggregate value of the related party transactions as a % of net revenue/income	Terms and conditions of the related party transactions
Abans PLC	Significant shareholder	Sales of goods and services	2,807,273,663	46%	Normal commercial terms
AB Manufacturing (Pvt) Ltd	Affiliate	Sales of goods and services	589,513,999	10%	Normal commercial terms

Other than above transaction, There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of gross revenue/income.

30.3 Non-Recurrent Transaction with Related Parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

31. Transaction with Key Management Personal (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the Board of Directors and Chief Executive Officer of the Company.

	2023/2024	2022/2023
	Rs.	Rs.
Post employee benefits	3,326,400	2,475,000
Short term employee benefits	15,670,000	14,738,400
	18,996,400	17,213,400

32. Commitments

There are no material commitments outstanding as at the reporting date.

33. Events after the reporting period

There have been no material events occurring after the reporting date that require adjustments to or disclosure in the Financial Statements except for below.

33.1 First and Final Dividends Declared

On 29th August 2024, the board of directors of the Company via a board resolution decided to declare first and final dividend for the financial year ended 31 March 2024 amounting to Rs. 51,105,600/- (Rs. 10/- per share).

34. Contingent liabilities

There were no contingent liabilities as at the end of the reporting date other than Letter of Credit opened with banks favouring suppliers amounting to LKR 247.43 Mn and the pending litigation as mentioned below.

Nature of the liability

Case No

Case by Deelima Usuf against Abans Electricals (PLC) against unlawful termination

LT/44/796/2021

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

35. Business segmental information

The company comprises the following three business segments.

Segment

Products and Services

Manufacturing and assembling

Manufacturing, assembling and sale of selected range of consumer durable products and design, installation, maintenance & servicing of rooftop Solar PV systems.

Service

Installation, repairs and maintenance, including all after sales services, of electrical and household appliances sold by Abans PLC.

Segmentation analysis is as below ;

	2023/2024			2022/2023		
	Manufacturing	Services	Total	Manufacturing	Services	Total
Turnover and results						
Revenue - Manufacturing and assembling	1,956,271,806	-	1,956,271,806	2,291,708,190	-	2,291,708,190
-Services	358,554,113	1,287,637,428	1,646,191,541	304,663,535	886,378,538	1,191,042,074
-Trading	291,550,787	-	291,550,787	868,888,800	-	868,888,800
-Solar installation	2,229,791,499	-	2,229,791,499	895,226,534	-	895,226,534
Total	4,836,168,205	1,287,637,428	6,123,805,633	4,360,487,059	886,378,538	5,246,865,597
Profit for the year - before taxation	435,884,603	134,096,466	569,981,068	190,489,898	(5,632,850)	184,857,048
Operating assets and liabilities						
Segment assets	3,521,134,267	1,627,134,142	5,148,268,409	3,174,087,522	1,723,150,405	4,897,237,927
Segment liabilities	2,302,281,901	579,532,541	2,881,814,442	2,249,105,084	790,717,074	3,039,822,158
Other information						
Capital expenditure	32,254,801	8,885,073	41,139,874	34,264,707	25,653,385	59,918,092
Recognition of right of use assets	-	-	-	195,915	5,054,790	5,250,705
Depreciation and amortization	68,200,702	12,096,835	80,297,537	75,847,840	14,020,346	89,868,186
Amortization of right of use assets	-	5,279,550	5,279,550	15,318,863	8,651,317	23,970,180
Provision for retirement benefit obligation	10,257,590	15,765,965	26,023,555	6,383,349	12,871,795	19,255,144

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

36. "Financial risk management

Financial risk comprises the potential loss to earnings and /or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, Management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for long term borrowings and there by interest rate risk can be reduced. Short term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The foreign supplier payables shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk), credit risk and liquidity risk.

1. Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The company's activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Interest rate risk

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprice in a given period.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movements in basis points	Effect on profit and equity	
	2023/2024 Rs.	2022/2023 Rs.
+50	(2,574,264)	(6,342,454)
-50	2,574,264	6,342,454

b) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

The Company is not exposed to equity risk as they do not have equity investments.

c) Foreign currency risk

The company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure to foreign currency risk where it has foreign currency transactions which are affected by foreign exchange movements.

The company imports considerable amount of its total product offerings which are subject to the risk of foreign exchange rate increase that would adversely affect cost of purchases.

36. Financial risk management
c) Foreign currency risk (Contd...)

As explained above, the company exposed to foreign currency risk mainly from foreign supplier payables.

Sensitivity analysis of the exchange rate risk on foreign supplier payables.

	Foreign exchange value	Currency	Exchange rate	Rupee value as at 31 March	Exchange rate increase in Rs.1/-	Exchange rate increase in Rs.2/-	Exchange rate increase in Rs.3/-	Exchange rate increase in Rs.4/-
31 March 2024	409,679	Dollars	305.00	124,951,943	125,361,621	125,771,300	126,180,978	126,590,657
31 March 2023	767,897	Dollars	330.00	253,405,997	254,173,894	254,941,791	255,709,688	256,477,585
Potential loss compared to 31 March 2024 % of loss					409,679 0.33%	819,357 0.66%	1,229,036 0.98%	1,638,714 1.31%
Potential loss compared to 31 March 2023 % of loss					767,897 0.30%	1,535,794 0.61%	2,303,691 0.91%	3,071,588 1.21%
31 March 2024	53,450	Euros	332.00	17,745,400	17,798,850	17,852,300	17,905,750	17,959,200
31 March 2023	65,400	Euros	358.30	23,432,820	23,498,220	23,563,620	23,629,020	23,694,420
Potential loss compared to 31 March 2024 % of loss					53,450 0.30%	106,900 0.60%	160,350 0.90%	213,800 1.20%
Potential loss compared to 31 March 2023 % of loss					65,400 0.28%	130,800 0.56%	196,200 0.84%	261,600 1.12%
31 March 2024	3,188	CNY	41.68	132,880	136,068	139,256	142,444	145,632
31 March 2023	16,117	CNY	48.15	776,038	792,155	808,273	824,390	840,507
Potential loss compared to 31 March 2024 % of loss					3,188 2.40%	6,376 4.80%	9,564 7.20%	12,752 9.60%
Potential loss compared to 31 March 2023 % of loss					16,117 2.08%	32,234 4.15%	48,351 6.23%	64,468 8.31%

2) Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from Company's cash at bank, trade receivables and amount due from related parties, financial investments at amortised cost.

A review of age analysis of trade receivables and follow-up meetings are carried out by the Finance division with respective business unit managers on weekly basis.

The Company has taken necessary steps to monitor creditors more closely and frequently to ensure that the payables are settled on time.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	Gross Exposure		Net Exposure	
	As at 31.03.2024	As at 31.03.2023	As at 31.03.2024	As at 31.03.2023
Cash at bank	135,324,071	51,937,016	135,324,071	51,937,016
Amounts due from related parties	791,351,485	838,560,900	791,351,485	838,560,900
Trade and other receivables	692,025,828	251,153,745	692,025,828	251,153,745
Financial instruments at amortized cost	364,693,439	409,421,659	364,693,439	409,421,659

Financial asset and financial liabilities carrying value approximate to its fair value.

3) Liquidity risk

This is the risk that the Company will encounter in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. In the management of liquidity risk, the Company monitors and maintains a level of cash and cash equivalents deemed adequate by the management to finance the Company's operations and to mitigate the effects of fluctuations in cash flows. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, finance leases and bank loans. Access to sources of funding is sufficiently available.

In order to minimize the impact on the liquidity position, the company has taken several initiatives which include applying for refinancing and rescheduling arrangements of banking facilities and curtailing of non-essential capital and revenue expenditures and deferment of some capital expenditures and recruitments. The company also taking measures to expedite the debtor recovery process and proactively engaging with suppliers to renegotiate of payment terms to manage the liquidity position.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

Following table represents undiscounted contractual maturity analysis;

	Less than 3 months	3-6 months	6-12 months	Total
Current Liabilities				
31 March 2024				
Current liabilities, other than lease liability and deferred income	2,283,654,825	29,739,381	98,775,682	2,412,169,887
Lease liability	2,855,633	2,968,242	5,944,554	11,768,430
	2,286,510,458	32,707,623	104,720,237	2,423,938,317
31 March 2023				
Current liabilities, other than lease liability and deferred income	1,912,681,186	567,079,006	19,700,000	2,499,460,192
Lease liability	5,491,133	5,529,986	11,180,275	22,201,394
	1,918,172,319	572,608,992	30,880,275	2,521,661,586
	1-3 Years	More Than 3 Years	Total	
Non current liabilities				
31 March 2024				
Borrowings	20,000,000	-	20,000,000	
Lease liability	6,416,746	3,759,321	10,176,067	
	26,416,746	3,759,321	30,176,067	
31 March 2023				
Borrowings	33,750,000	-	33,750,000	
Lease liability	13,059,888	-	13,059,888	
	46,809,888	-	46,809,888	

01. STATED CAPITAL

As at 31 st March	2024		2023	
	No. of shares	Value in Rs.	No. of shares	Value in Rs.
Ordinary voting shares	5,110,560	186,732,000	5,110,560	186,732,000

* Voting Rights - One vote per ordinary share

02. STOCK EXCHANGE LISTING

The issued shares of the Company are listed with the Colombo Stock Exchange

03. MARKET VALUE PER SHARE

The transacted values of an ordinary share of Abans Electricals PLC are as follows;

As at 31 st March	2024 Rs.	2023 Rs.
Highest Price	177.50	190.00
Lowest Price	125.00	127.00
As at balance sheet date	159.50	158.00

04. MARKET CAPITALIZATION

As at 31 st March	2024 Rs.	2023 Rs.
Market capitalization value	815,134,320	807,468,480
Float adjusted market capitalization	319,532,653	342,285,889

* The Company has complied with the minimum public holding requirement under Option 05.

05. PUBLIC HOLDING

As at 31 st March	2024	2023
Total number of shares issued	5,110,560	5,110,560
No of shares held by the public	2,003,340	2,166,366
Percentage of shares held by the public	39.20%	42.39%
No of public shareholders	1,353	1,341

06. DISTRIBUTION OF SHAREHOLDING

Shareholding	31 st March 2024			31 st March 2023		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
1-1,000	1,203	152,273	2.98	1,191	151,345	2.96
1,001-10,000	122	390,393	7.64	122	385,626	7.55
10,001-100,000	27	784,183	15.34	27	791,785	15.49
100,001-1,000,000	5	1,330,644	26.04	5	1,328,737	26.00
Over 1,000,000	1	2,453,067	48.00	1	2,453,067	48.00
Grand total	1,358	5,110,560	100.00	1,346	5,110,560	100.00

07. COMPOSITION OF SHAREHOLDING

Category	31 st March 2024			31 st March 2023		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
Individual	1,301	2,321,615	45.43	1,290	2,324,570	45.49
Institutional	57	2,788,945	54.57	56	2,785,990	54.51
Grand total	1,358	5,110,560	100.00	1,346	5,110,560	100.00

08. ANALYSIS OF SHAREHOLDERS

Category	31 st March 2024			31 st March 2023		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
Resident	1,343	5,013,932	98.11	1,332	5,026,488	98.35
Non-resident	15	96,628	1.89	14	84,072	1.65
Grand total	1,358	5,110,560	100.00	1,346	5,110,560	100.00

09. TWENTY MAJOR SHAREHOLDERS OF THE COMPANY

Name	31 st March 2024		31 st March 2023	
	No. of Shares	% of Issued Capital	No. of Shares	% of Issued Capital
1 Abans PLC	2,453,067	48.00	2,453,067	48.00
2 Mr R. Pestonjee	396,073	7.75	398,166	7.79
3 Mrs S. Dubash	334,628	6.55	334,628	6.55
4 Mrs A. Pestonjee	293,438	5.74	293,438	5.74
5 Mr B. Pestonjee	171,505	3.36	171,505	3.36
6 Mr A.J.M. Jinadasa	135,000	2.64	131,000	2.56
7 Hatton National Bank PLC / Kandaiah Kanapathipillai Shujeevan	84,215	1.65	84,331	1.65
8 Dr K. Poologasundram	72,076	1.41	72,076	1.41
9 People's Leasing & Finance PLC / L.P. Hapangama	56,839	1.11	56,839	1.11
10 Seylan Bank PLC/Karagoda Loku Gamage Udayananda	55,019	1.08	54,019	1.06
11 Mr S. Abishek	51,436	1.01	51,436	1.01
12 Mr G.C. Goonetilleke	46,475	0.91	46,475	0.91
13 Mrs B.S. Rasanayagam	43,680	0.85	43,680	0.85
14 Mr A. Sithampalam	31,809	0.62	31,809	0.62
15 Tranz Dominion, L. L. C.	31,611	0.62	31,611	0.62
16 Mr T. Liyanage	23,868	0.47	23,868	0.47
17 People's Leasing & Finance PLC/ L.H.L.M.P. Haradasa	23,670	0.46	23,670	0.46
18 Mr J.D. Jorge Calderon	23,344	0.46	23,344	0.46
19 Mr G.C.W. De Silva	21,960	0.43	21,960	0.43
20 Mr S.S. Sithambaranathan	21,732	0.43	24,940	0.49
Others	739,115	14.46	738,698	14.45
Total	5,110,560	100.00	5,110,560	100.00

For the Year Ended 31st March

	2024			2023		
	Manufacturing Rs.	Service Rs.	Total Rs.	Manufacturing Rs.	Service Rs.	Total Rs.
Economic Value Generated						
Revenue	4,836,168,205	1,287,637,428	6,123,805,633	4,360,487,059	886,378,539	5,246,865,597
Finance Income	1,785,338	51,519,428	53,304,766	586,711	59,049,197	59,635,908
Profit on Sale of Assets	-	1,716,786	1,716,786	344,035	-	344,035
Other Income	23,040,157	22,124,838	45,164,995	26,986,529	14,911,776	41,898,305
Valuation Gain from Investment Property	-	2,300,000	2,300,000	-	4,450,000	4,450,000
	4,860,993,700	1,365,298,480	6,226,292,180	4,388,404,334	964,789,511	5,353,193,845
Economic Value Distributed						
Operating Cost	3,945,238,954	811,561,312	4,756,800,266	3,638,780,359	564,232,595	4,203,012,954
Employee Wages and Benefits	290,396,194	386,055,466	676,451,660	242,232,058	340,523,657	582,755,715
Payments to Providers of Funds - Equity	25,552,800	-	25,552,800	25,552,800	-	25,552,800
Payments to Providers of Funds - Debt	175,700,742	27,036,538	202,737,280	267,962,787	28,761,645	296,724,432
Payments to Government	3,970,639	62,034,815	66,005,454	13,912,740	9,430,122	23,342,862
	4,498,923,505	1,228,623,955	5,727,547,460	4,188,440,744	942,948,019	5,131,388,763
Economic Value Retained						
Depreciation & Amortization	68,200,702	17,376,385	85,577,087	91,166,703	22,671,663	113,838,366
Profits after Dividends	293,869,493	119,298,141	413,167,634	108,796,886	(830,171)	107,966,715
	362,070,195	136,674,526	498,744,721	199,963,589	21,841,492	221,805,081

31 March	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
OPERATING RESULTS IN LKR '000										
Revenue	6,123,806	5,246,866	4,329,171	3,129,718	2,986,136	2,870,558	3,492,566	4,028,610	3,506,809	2,731,611
Gross Profit	1,376,778	876,335	548,665	473,355	441,348	397,554	392,845	434,017	479,398	387,355
EBIT	772,748	482,011	216,058	232,733	202,539	144,017	154,356	159,937	180,957	131,117
Finance Cost	202,767	297,154	81,569	69,118	77,278	67,470	62,417	79,298	40,609	31,116
Profit before Tax	569,981	184,857	134,488	163,615	125,261	76,546	91,939	80,639	140,348	100,001
Tax Expense/(Reversal)	131,261	51,338	30,273	(1,673)	38,688	2,202	48,237	25,239	41,525	6,257
Profit after Tax	438,720	133,520	104,215	165,288	86,573	74,344	43,701	55,400	98,823	93,744
FINANCIAL POSITION IN LKR '000										
Property Plant & Equipment (PPE)	1,297,921	1,428,746	1,393,954	1,299,223	1,290,046	1,220,449	966,037	608,224	572,881	541,111
Non Current Assets other than PPE	64,118	119,502	141,774	450,739	429,759	339,385	202,279	147,586	131,375	84,512
Current Assets	3,786,229	3,348,990	3,801,972	2,043,286	1,476,782	1,234,689	1,424,676	1,724,440	1,313,034	995,235
Current Liabilities	2,539,124	2,648,679	3,232,819	1,782,387	1,326,524	1,062,520	1,161,260	1,507,926	1,066,761	756,965
Non Current Liabilities	342,691	391,143	346,280	354,072	438,588	382,352	252,467	132,065	172,556	171,453
Shareholders' Fund	2,266,454	1,857,416	1,758,602	1,656,789	1,431,475	1,349,651	1,179,265	840,259	777,973	692,440
Total Debt	886,883	1,713,174	1,224,789	821,295	623,412	632,088	413,040	723,228	559,996	408,119
CASH FLOWS IN LKR '000										
Net cash flows from/(used in) Operating Activities	773,323	(550,558)	(46,994)	(125,531)	226,503	55,249	100,903	(37,201)	179,723	142,108
Net cash flows from/(used in) investing activities	150,277	(47,632)	(179,624)	(9,331)	(127,667)	(273,419)	(16,327)	(109,015)	(134,255)	(123,543)
Net cash flows from/(used in) financing activities	(628,265)	394,807	199,066	188,685	(122,970)	195,772	(29,051)	118,875	(31,232)	(32,040)
Net increase/(decrease) in cash and cash equivalents	295,335	(203,383)	(27,552)	53,822	(24,135)	(22,398)	55,525	(27,341)	14,236	(13,475)
KEY INDICATORS										
Basic Earnings per Share	85.85	26.13	20.39	32.34	16.94	14.55	8.55	10.84	19.34	18.34
Dividend per Share (Paid)	5.00	5.00	3.00	1.50	3.00	2.00	3.00	3.00	3.00	2.50
Interest Coverage	3.81	1.62	2.65	3.37	2.62	2.13	2.47	2.02	4.46	4.21
Current Ratio	1.49	1.26	1.18	1.15	1.11	1.16	1.23	1.14	1.23	1.31
Gearing (D/D+E)	28.13	47.98	41.05	33.14	30.34	31.90	25.94	46.26	41.85	37.08
Net Asset per Share	443.48	363.45	344.11	324.19	280.10	264.09	230.75	164.42	152.23	135.49
Market Price per Share	159.50	158.00	161.75	159.50	60.30	52.00	84.30	88.20	111.10	105.70
Return on Equity	19.36	7.19	5.93	9.98	6.05	5.51	3.71	5.56	12.70	13.54

Dear Shareholders,

The Board of Directors of Abans Electricals PLC has decided to hold its 42nd Annual General Meeting (AGM) by way of a Virtual Meeting on 25th September 2024, at 10.00 a.m. following the issuance of guidelines by the Colombo Stock Exchange (CSE) and Legal advice received thereon for hosting of Virtual AGMs for the following purposes:

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2024 and Report of the Auditors thereon.
2. To declare first and final dividend of Rs. 10/- per share for the year ended 31st March 2024 as recommended by the Directors.
3. To re-elect Mr. Kumar De Silva, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Kumar De Silva, as a Director of the Company.
4. To Pass the following Ordinary Resolution pertaining to the re-appointment of Mrs. Aban Pestonjee, as a Director who is over 70 years of age, in compliance with Section 211 of the Companies Act No.7 of 2007; and whose re-appointment is recommended by the Board of Directors.

Ordinary Resolution

That the age limit of 70 years referred to in Section 210 of the Companies Act No.7 of 2007 shall not apply to Mrs. Aban Pestonjee, who is over 70 years of age and accordingly that Mrs. Aban Pestonjee be and is hereby re-appointed as a Director of the Company in terms of Section 211 of the Companies Act No.7 of 2007.

5. To re-appoint M/S Ernst & Young, Chartered Accountants, as auditors of the Company and to authorize the Directors to determine their remuneration.

By order of the Board

Sgd.

Varners International (Private) Limited

Company Secretaries

Level 14, West Tower, World Trade Center,
Echelon Square, Colombo 01.

30th August 2024

1. A shareholder entitled to attend, speak and vote at the above-mentioned meeting, is entitled to appoint a proxy to attend, speak and vote instead of him/her. Such proxy need not be a Shareholder of the Company.
2. A shareholder is not entitled to appoint more than one proxy to attend on the same occasion.
3. A Form of Proxy is enclosed.

METHOD OF HOLDING THE AGM / ELECTRONIC PLATFORM

Only the key officials who are essential for the administration of the formalities of the meeting will be physically present in the venue and all others including shareholders will participate via an online meeting platform in line with the guidelines issued by the Colombo Stock Exchange (CSE) for conducting of virtual AGMs.

REGISTRATION PROCEDURE

Those Shareholders and Proxy holders, who wish to participate via the Online Meeting Platform, should notify the Company of such intention by completing the attached **Registration of Shareholder Details Form**.

Registration of Shareholder Details Form will also be made available on the website of the Colombo Stock Exchange (<https://www.cse.lk/pages/company-profile/company-profile.component.html?symbol=ABAN.N0000>). Arrangements will be made for shareholders who wish to participate in the AGM via an online meeting platform, with login information being forwarded to shareholders in advance of the meeting.

In order to enable such facilities, shareholders who wish to participate in the AGM via the online meeting platform are requested to forward us their details, by duly completing the Annexure 1, (**Registration of Shareholder Details Form**) by way of emailing it to the Company to the emailing address aelagm2024@abansgroup.com or send the duly completed form, by post to reach the Company secretaries, **48 hours prior to the time fixed for the meeting** to the below address;

Varners International (Private) Limited, Level 14, West Tower, World Trade Center, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04.

APPOINTMENT OF PROXY HOLDERS

The Shareholders may vote by Proxy through the appointment of a Proxy to present, speak and vote at the meeting on his/her behalf in line with instructions contained herein.

The Form of Proxy will also be made available on the corporate website of the Company and the website of the CSE and those shareholders who wish to submit their Form of Proxy should duly complete the same as per the instructions given herein.

The duly completed **Form of Proxy** should be forwarded to the Company by way emailing it to the Company emailing address aelagm2024@abansgroup.com or send the duly completed form, by post to reach the Company Secretaries, **Varners International (Private) Limited, Level 14, West Tower, World Trade Center, Echelon Square, Colombo 01, or No. 5, Bethesda Place, Colombo 04, 48 hours prior to the time fixed for the meeting.**

QUERIES OF SHAREHOLDERS

Shareholders who are unable to participate at the virtual meeting via the designated online meeting platform are invited to forward their suggestions, questions & concerns (if any) relating to items on the agenda, to the following email address aelagm2024@abansgroup.com to reach the Company **48 hours prior to the time fixed for the meeting**, the Board will ensure that they are discussed and addressed at the AGM, if relevant.

I/We *
 of being a shareholder / shareholders of Abans Electricals PLC, hereby
 appoint; of
 bearing NIC No. / Passport No. or failing him/ her*
 Mrs. Aban Pestonjee of Colombo or failing her
 Mrs. Saroshi Dubash of Colombo or failing her
 Mr. Kumar De Silva of Colombo or failing him
 Mr. Dinal Mario Rex Phillips of Colombo or failing him
 Mr. Rajaratnam Selvaskandan of Colombo
 as my/our proxy to represent me/us on my/our behalf at the Forty Second Annual General Meeting of the Company to be held
 on 25th September 2024 at 10.00 a.m by means of audio or audio and visual technology, and at any adjournment thereof and at
 every poll which may be taken in consequence thereof.

	FOR	AGAINST
1 To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31 st March 2024 and Report of the Auditors thereon		
2 To declare first and final dividend of Rs. 10/- per share for the year ended 31 st March 2024 as recommended by the Directors		
3 To re-elect Mr. Kumar De Silva, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Kumar De Silva, as a Director of the Company		
4 To re-appoint Mrs. Aban Pestonjee, who is over 70 years of age as a Director of the Company by adopting the ordinary resolution set out in the notice of the meeting		
5 To re-appoint M/S Ernst & Young, Chartered Accountants, as auditors of the Company and to authorize the Directors to determine their remuneration		

Signed this day of 2024

Signature/s

Note:

* Please delete the inappropriate words.

Please refer the instructions to complete the form on the next page.

INSTRUCTIONS FOR COMPLETION OF THE PROXY FORM

1. To be valid, the completed Form of Proxy should be deposited at Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04. or electronic document with e-signature or scan of the signed document emailed to **aelagm2024@abansgroup.com** with the subject title **Abans Electricals PLC AGM** not less than **48 hours before the time appointed for the holding of the Meeting**.
2. In perfecting the form, please ensure that all details are legible. If you wish to appoint a person other than the Board members as your Proxy, please fill in your full name and address, the name, address and email address of the Proxy holder and sign in the space provided and fill in the date of signature.
3. The instrument appointing a Proxy shall, in the case of an individual, be signed by the appointer or by his Attorney and in the case of a Corporation must be executed under its Common Seal or in such other manner prescribed by its Articles of Association or other constitutional documents.
4. If the Proxy Form is signed by an Attorney, the relevant Power of Attorney or a notarially certified copy thereof, should also accompany the completed Form of Proxy, if it has not already been registered with the Company.
5. In the case of joint holders, only one need to be signed. The votes of the senior holder who tenders a vote will alone be counted.
6. In the case of non-resident Shareholders, the stamping will be attended to upon return of the completed Form of Proxy to Sri Lanka.

ABANS ELECTRICALS PLC GUIDELINES AND REGISTRATION PROCESS FOR THE ANNUAL GENERAL MEETING (AGM) VIA ONLINE MEETING PLATFORM

Shareholders/Proxy holders who wish to participate in the Annual General Meeting of ABANS ELECTRICALS PLC to be held via an Online Meeting Platform (Virtual AGM), could do so by using a smart phone or a desktop computer.

If a Shareholder/Proxy holder intends to join the Virtual AGM via a smart device, it is necessary for him/her to download the **"Zoom Mobile App"** onto his /her smart device.

Similarly, if a Shareholder/Proxy holder wishes to attend the Virtual AGM via a Laptop/Desktop computer, the link can be opened by downloading the **"Zoom Desktop App"** to the respective Laptop/Desktop computer (compatible web browser: **Google Chrome**).

1. Shareholders who wish to participate in the Virtual AGM of ABANS ELECTRICALS PLC either by themselves or through their Proxies are requested to forward their details to the Company Secretaries as per the attached **REGISTRATION FORM**.
2. The duly completed and signed **REGISTRATION FORM** should be delivered to the Company Secretaries, Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04 / E-mail: **aelagm2024@abansgroup.com** to be received by the Secretaries by 10.00 a.m. on or before 23rd September 2024. If participation in the meeting through a Proxy, the duly completed and signed **FORM OF PROXY** should accompany the **REGISTRATION FORM**.

Note:

If a Proxy is appointed, the information set out in the **REGISTRATION FORM** pertaining to the Proxy holder should tally with the information indicated in the duly completed **FORM OF PROXY** submitted by the Shareholder.

3. The Company will verify all registration requests and identification details received as aforesaid, against the details of Shareholders set out in the Shareholders' Register and accept the registrations for the Virtual AGM if it is satisfied with the request and supporting documents (if any).

Shareholders whose registration requests are accepted will receive an email confirmation from the Company acknowledging the acceptance of their request.

4. The Shareholders whose registration requests have been accepted will receive a further email from the Company 24 hours prior to the commencement of the AGM. This email will provide a web link for online registration referred to as **"Virtual AGM Registration"**. If the Shareholder has appointed a valid Proxy this email will be forwarded to the relevant Proxy holder.
5. (i) The Shareholders/Proxy holders are requested to use the web link, which will be forwarded by the Company as referred to in 4 above and click on the **"Virtual AGM Registration"** in order to complete online registration for the Virtual AGM.
- (ii) On clicking the link **"Virtual AGM Registration"**, Shareholders/Proxy holders will be redirected to an interface where they will be requested to enter their **first name, last name, email address, re- enter email address and NIC No. / Passport No. / Co. Reg. No** (In entering these details the participants are required to ensure that correct details as included in the **REGISTRATION FORM** referred to in 2 above are entered in the said online registration process, since any mismatch will be considered as an unsuccessful login)
- (iii) After successful completion of entering of the details as referred to in 5 (ii) above, the participants are requested to click on **"REGISTER"** which will be prompted on their screens enabling them to receive the meeting link.
6. The Shareholders who successfully complete their online registration as set out in 5 above, will receive the login link for participation in the meeting referred to as **"Click here to Join the Virtual Meeting"** and credentials.
7. In order to join the Virtual AGM, participants are required to click on **"Click here to Join the Virtual Meeting"**. In some instances, the system call for the credentials and if that is required, please enter the credentials to gain access to the Virtual AGM.
8. On completion of this process, you will be directed to the Virtual AGM Zoom Platform, where you can participate in the Virtual AGM.

It is recommended that the Shareholders/Proxy holders complete the process outlined in 5, 6, 7 and 8 above and join the AGM at least ten (10) minutes before the start of the AGM. The Online Meeting Platform will be active thirty (30) minutes before the time appointed for the commencement of the meeting.

9. Shareholders / Proxy holders may use the Q & A tab or the **Hand Raise** (🙋) icon appearing on the screen respectively, to submit their questions or concerns in typed format or verbally. The system will allow a pop-up message to **unmute the microphones and to allow video options**.
10. After completion of the process outlined in 7 above in respect of all eligible Shareholders and Proxy holders, the Company will forward a separate email to the Shareholders/Proxy holders or representatives (as applicable) who are entitled to vote, providing a separate link to vote on all resolutions included in the Notice of Annual General Meeting dated **25th September 2024**.
11. Shareholders/Proxy holders who intend participating in the meeting are requested to open the said link and be prepared to cast their vote when each resolution is taken up for voting by the Chairman. Participants are advised to **"REFRESH"** the voting page and cast the vote as per their discretion in the given space and click **"SUBMIT"** enabling the Company to receive the responses.
12. When declaring the voting on a resolution, Chairman will take into account the voting of the Shareholders/ Proxy holders participating virtually.
13. **60 seconds** will be allocated for Shareholders/ Proxy holders to cast their vote in respect of each resolution.
14. The results will be processed and announced by the Chairman **30 seconds** after the end of the time slot allocated for voting.
15. In a situation where a Poll is demanded and Shareholders are required to vote on the Poll, a mechanism similar to that referred to for voting, will be applicable. This will be moderated by the Chairman of the meeting.

It is advised to check the online AGM access at least 3 hours prior and also ensure that your devices have an audible sound system so that you could participate in the AGM comfortably.

Note:

1. Shareholders are requested to provide their email address in the space provided in order to forward the Virtual AGM Zoom link & necessary instruction, if they wish to attend the AGM through the online platform.
2. In case of a Company/Corporation, the Shareholder Details Form must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association.
3. In case of a Power of Attorney, the Shareholder Details Form signed by the Power of Attorney must be deposited at the Registered Office of the Company for registration.

All documents relating to the AGM must be forwarded to the Company Secretaries by post, **Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04** or by way emailing it to the Company emailing address **aelagm2024@abansgroup.com** 48 hours prior to the time fixed for the meeting. The Notice of meeting, Form of Proxy, and other related documents will also made available on the website of the Colombo Stock Exchange (<https://www.cse.lk/home/market>). The Company will endeavour to dispatch the aforementioned documents by ordinary post to the shareholders in due course.

DOCUMENTS ATTACHED

The following documents are attached to this circular to shareholders:

- Notice of Meeting
- Form of Proxy
- Circular to Shareholders giving Guidelines & Registration Process for the Annual General Meeting
- Online Meeting Registration Form

By Order of the Board of ABANS ELECTRICALS PLC
Varners International (Private) Limited
 Company Secretaries
 Level 14, West Tower, World Trade Center,
 Echelon Square, Colombo 01.

30th August 2024

ONLINE MEETING REGISTRATION FORM

ABANS ELECTRICALS PLC
ANNUAL GENERAL MEETING 2024
REGISTRATION OF SHAREHOLDER DETAILS FOR ONLINE VIRTUAL MEETING

To: (Company Name & Address)

1. Full Name of the Shareholder:
2. Shareholder's Address:
3. Shareholder's NIC No. / Passport No. / Co. Reg No.:
4. Shareholder's Contact No.: (Residence) (Mobile)
5. Name of the Proxy Holder:
6. Proxy holder's NIC No. / Passport No. / Co. Reg. No.:
7. Proxy holder's Contact No.: (Residence) (Mobile)
8. Shareholder's/ Proxy holder's E-mail:
9. Participation at the AGM via an online platform: YES /NO
10. Name of Joint holder/s (If any):
 (i)
 (ii)
11. National Identity Card number/s of Joint holder/s:
 (i)
 (ii)

.....
 Shareholder's signature

Date:

.....
 1st Joint holder's signature

Date:

.....
 2nd Joint holder's signature

Date:

CORPORATE INFORMATION

NAME OF THE COMPANY	Abans Electricals PLC
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on the 25 th of November 1981.
REGISTRATION NO	PQ 188 (Former Registration No.PVS 7974) The company was re-registered in accordance with Companies Act No. 7 of 2007 on 18 th August 2008.
STOCK EXCHANGE LISTING	Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7 th March 1983.
REGISTERED OFFICE	No.498, Galle Road, Colombo 03, Sri Lanka.
WEB SITE	www.abansgroup.com
DIRECTORATE	Mrs. A. Pestonjee (Chairperson) Mr. Behman Pestonjee* Mrs. Saroshi Dubash** Mr. Athula Siriwardane*** Mr. Kumar De Silva Mr. D. M. R. Phillips Mr. R. Selvaskandan Mr. Jagath Jayasundara**** * Passed Away on 17th June 2023 ** Appointed w.e.f. 11th July 2023 *** Resigned w.e.f. 29th February 2024 **** Resigned w.e.f. 06th June 2023
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank of Colombo PLC Commercial Bank of Ceylon PLC DFCC Bank PLC Nations Trust Bank PLC National Development Bank PLC Pan Asia Banking Corporation PLC
LAWYERS	Varners Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, Sri Lanka.
AUDITORS	Ernst & Young, Chartered Accountants, Rotunda Towers, No.109, Galle Road, P. O. Box 101, Colombo 03, Sri Lanka.
SECRETARIES	Varners International (Pvt) Ltd, Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, Sri Lanka.
TELEPHONE NO	011-201 9244 / 49
FAX NO	011-263 5157

www.abansgroup.com